

Muluki Civil Code, 2017

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Muluki Civil Code, 2074

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Amending Acts

1. Act to Amend Some Nepal Acts relating to the Muluki Code, 2075 2076.1.02
2. Act to Amend Some Nepal Acts relating to the Muluki Code, 2080 2080.4.12

Act No. 34 of the year 2074

Preamble: Whereas it is desirable to amend and consolidate the provisions relating to civil matters contained in the Muluki Ain and other laws and to make them up-to-date in order to maintain law and order in the country, uphold the morality, etiquette, integrity and convenience as well as economic interests of the general public, and to maintain harmonious relations among various castes, races or communities by establishing a just system in the economic, social and cultural fields;

Now, therefore, the Legislature-Parliament, pursuant to sub-article (1) of Article 296 of the Constitution of Nepal, has enacted this Act. Part-1

Preliminary

Chapter-1

General Provisions

1. Short Title and Commencement: (1) The name of this Act is Amended by the Act to Amend Some Nepal Acts relating to the Muluki Code, 2075."Muluki Civil Code, 2074".

(2) This Code shall come into force from the 1st day of Bhadra of the year 2075. 2. Definitions: Unless the subject or context otherwise requires, in this Code,-

(a) "Court" means the Supreme Court, High Court or District Court, and the said term also includes any other court, judicial body or official authorised by law to conduct proceedings and adjudicate certain types of civil cases.

(b) "Law" means the law in force for the time being.

(c) "Person" means a natural person, and the said term also includes a legal person.

(d) "Plaint" means a plaint, and the said term also includes any other type of complaint, claim, counterclaim, or petition of a similar nature.

(e) "Minor" means a child who has not completed the age of eighteen years.

(f) "Local Level" means a Rural Municipality or Municipality.

(g) "Property" means movable or immovable property.

(h) "Legatee" means a person who is in the priority order to receive inheritance pursuant to section 239. 3. Not to Affect Special Legal Provisions: If there is a separate provision in the law in force in matters regulated by this Code, the provision of this Code shall not have any effect on such matter. Chapter-2
General Principles of Civil Law

4. Principles and Provisions Generally Applicable: The principles and provisions mentioned in this Chapter shall generally apply to matters of civil law. 5. Ignorance of Law Not Excusable: Ignorance of law shall not be excusable. Everyone shall be presumed to know the law. 6. No Act Contrary to Public Interest: No one shall do any act contrary to public interest. 7.

Act Contrary to Law Void: An act contrary to law shall be void. 8. Person at Fault to Bear Loss: (1) If, while doing or causing to do any act, any person suffers loss or damage due to the fault of another, the liability for such loss or damage shall be borne by the person who committed or caused the fault. (2) Every person shall bear the consequences of his or her own wrongful act. (3) Except where otherwise provided in this Code or law, the person concerned shall pay compensation to fulfill the liability pursuant to sub-section (1). (4) The determination of compensation shall be as provided by law. 9. No Act to Cause Suffering to Others: No one shall do or cause to do any act which causes suffering, harassment, or damage to the reputation, prestige or property of another person. 10. No Benefit from Own Fault: No one shall take benefit from a fault committed by himself or herself. 11. Act Contrary to Interest Void: An act done contrary to the interest of a person who is under one's guardianship, supervision, control or influence or who may be influenced shall be void. 12. Recognition of Personality Required: Every person must recognize the personality of another person. 13. Good Neighborliness to be Maintained: Every person must maintain good neighborliness in a manner that does not cause harm or loss to the community or neighbors of the place where he or she resides. 14. No Exemption from Civil Liability: A person shall not be exempted from civil liability under law merely on the ground that criminal proceedings have been initiated or not initiated against him or her. 15. Customs or Traditions Contrary to Law Not Recognized: Customs or traditions contrary to law shall not be recognized in the course of justice. 16. Also Applicable to Foreigners: Unless the subject, context or nature makes a legal provision applicable only to Nepali citizens, this Code or other provisions relating to civil law shall also apply equally to foreigners. Chapter-3 Provisions Relating to Civil Rights 17. Equality in the Eyes of Law: (1) Every citizen shall be equal in the eyes of law. (2) No citizen shall be deprived of the equal protection of law. 18.

No Discrimination: (1) In the application of general law, there shall be no discrimination on grounds of origin, religion, color, caste, race, sex, physical condition, disability, health status, marital status, pregnancy, economic condition, language or region, ideological conviction or any other similar grounds. (2) No person shall be discriminated against in private and public places on grounds of origin, religion, color, caste, race, community, profession, occupation, sex, physical condition, disability, health status, marital status, pregnancy, economic condition, language or region, ideological conviction or any other similar grounds; and no person shall, on such grounds, be prevented from using services, facilities or utilities available for public use, or from entering public places or public religious places, or from performing religious acts according to his or her desire. (3) No one shall be discriminated against in remuneration and social security on grounds of gender for equal work. (4) Appointment of a citizen to a government or public office shall be made only on the basis of the qualifications determined by law. In making such appointment, no citizen shall be discriminated against on grounds of origin, religion, color, caste, race, sex, economic condition, language or region, ideological conviction or any other similar grounds. 19. Special Provisions Not Deemed Discrimination: Notwithstanding anything written in sections 17 and 18, if special provisions are made by law for the protection, empowerment or development of women, Dalits, indigenous, indigenous nationalities (Adivasi

Janajati), Madhesi, Tharu, Muslims, oppressed class, backward class, minorities, marginalized groups, farmers, laborers, youth, children, senior citizens, gender and sexual minorities, persons with disabilities, pregnant persons, incapacitated or helpless persons, backward areas and economically poor Khas Arya including citizens who are socially or culturally backward, such provisions shall not be deemed to be discrimination. 20.

Freedom and Rights: (1) No person shall be deprived of personal liberty except in accordance with law. (2) Subject to law, every citizen shall have the following freedoms and rights:- (a) to hold and express opinions, (b) to assemble peaceably without arms and to hold gatherings and conferences, (c) to form unions or associations, (d) to move about, reside and settle in any part of Nepal, (e) to pursue any profession, employment, industry or business, (f) to acquire education of one's choice or in one's mother tongue, (g) to acquire, enjoy, transfer property and to do any other transaction of property, (h) to adopt and practice one's own religion as handed down from time immemorial, having regard to public morality and tradition, (i) to preserve and promote the language, script or culture of one's community, (j) to maintain the free existence of one's religious community and to operate religious sites and religious trusts (guthi), (k) to protect or keep confidential one's body, residence, property, documents, correspondence or information. 21. When Right to Privacy Deemed Infringed: (1) If any person does any of the following acts without the consent of the person concerned except in accordance with law, the right to privacy shall be deemed to have been infringed:- (a) if he or she enters into the residence of any person, (b) if he or she opens or uses anyone's letters, or tapes or records or listens to conversations, speech, or sound made through telephone or other technologies, (c) if he or she discusses, publishes, broadcasts or propagates the private life conduct or behavior of any person, (d) if he or she captures the image or photograph of anyone, (e) if he or she impersonates another's name, image, photograph or voice and makes it public. (2) Notwithstanding anything written in clause (d) or (e) of sub-section (1), if anyone does any act mentioned in those clauses for literary or artistic purposes or for public interest, the right to privacy shall not be deemed to have been infringed. 22. Right to Make Contract: Every citizen shall have the right to make a contract subject to law. 23. No Tax Except According to Law: No tax shall be levied on the property or income of any person except in accordance with law. 24. No Compulsory Labor Against Will: No person shall be compelled to do any work against his or her will. 25. No Acquisition, Requisition, Auction or Confiscation of Property: (1) Except for public interest in accordance with law, the State shall not acquire, requisition, or create any other right over any person's property.

Provided that this provision shall not apply to property acquired illegally. (2) No one's property shall be auctioned or confiscated except in accordance with law. 26. Right to Complain: (1) An arrested or detained person himself or herself, or anyone on his or her behalf, may lodge a complaint in the Supreme Court, High Court or District Court for a writ of habeas corpus. (2) If any person lodges a complaint in more than one court, the complaint lodged in the higher court shall stand. (3) If any person does or is about to do any act contrary to this Chapter, and there is sufficient apprehension thereof, the person likely to be harmed by such act may lodge a complaint in the High Court or District Court having territorial jurisdiction for the exercise of his or her right. (4) Upon inquiry into a complaint lodged pursuant to sub-section (1), if it appears that the arrest or detention was contrary to law, the concerned court shall order the immediate release of the arrested or detained person. (5) Upon inquiry into a complaint lodged pursuant to sub-section (3), if it appears that the opposite party has caused or is about to cause damage to the complainant's right, the concerned court may issue an order to the opposite party not to do or cause to do any act that would damage the complainant's right, and if any act has already been done, to refrain from further act, or to cause to do some act. 27. Compensation to be Awarded: (1) Upon inquiry into a complaint lodged pursuant to section 26, if it is determined that the opposite party has maliciously done any act causing damage to the complainant, the

concerned court shall, having regard to the circumstances, order the opposite party to pay reasonable compensation to the complainant. (2) If a functionary or employee working in any government or public body is found to have knowingly violated the civil rights mentioned in this Chapter, the amount of compensation under sub-section (1) shall be borne by such functionary or employee himself or herself. 28.

If False Complaint Found, Compensation to be Awarded: (1) If any person is found to have filed a false complaint with the intention of causing suffering or loss or damage to another, the concerned court shall order the complainant who filed such false complaint to pay reasonable compensation to the opposite party. (2) The compensation awarded under sub-section (1) shall include the expenses incurred by the opposite party in defending himself or herself in court, court fees, and legal practitioner's fees. 29. Limitation: A person aggrieved by any act done under this Chapter may file a plaint within six months from the date of such act, except that in the case of arrest or detention, a plaint may be filed at any time. Part-2 Law Relating to Persons Chapter-1 Provisions Relating to Natural Persons 30. Recognition as Person: Every person shall acquire recognition as a person immediately upon birth, and shall be entitled to enjoy rights according to law as long as he or she is alive. 31. Right to Name: (1) Every person shall have the right to a name immediately upon birth and shall be entitled to use his or her name in a dignified manner. (2) Every person shall have the right to protect his or her name, honor and reputation, and such right shall not be transferable to another person. (3) No one shall misuse the name of another person. 32. Attaining Capacity: (1) Every person who has completed the age of eighteen years shall be deemed to be an adult, and by virtue of that status, he or she shall be deemed to be legally competent. (2) A person competent under sub-section (1) may, subject to law, exercise any right, discharge any liability, and perform any duty. 33. Deemed Incompetent: (1) Notwithstanding anything written in section 32, a person who has not completed the age of ten years, or who, even if having reached such age, is unable to protect his or her own rights and interests due to being not in a sound state of mind, shall be deemed to be legally incompetent. Explanation: For the purposes of this Code, "being not in a sound state of mind" means being in a condition, due to physical or mental illness, where one cannot normally understand one's own actions and their consequences. (2) An incompetent person shall not have to bear any kind of legal liability, and while exercising any right, it must be done with the consent of a guardian or caretaker, or through a guardian or caretaker. (3) When any document is required to be made on behalf of an incompetent person, it shall be made through his or her guardian or caretaker.

34. Deemed Semi-Incompetent: (1) A person who has completed ten years but has not completed eighteen years of age shall be deemed to be semi-incompetent.

(2) A semi-incompetent person may, subject to law, exercise any right, discharge any liability, and perform any duty.

(3) While exercising any right, a semi-incompetent person must do so with the consent of a guardian or caretaker, or through a guardian or caretaker.

(4) When making any document of a semi-incompetent person, it must be made in the presence of a guardian or caretaker. 35. As per Court Decision: If a dispute arises regarding the competency, incompetency, or semi-incompetency of any person, it shall be determined by the decision of the court. 36. May Undergo or Cause Medical Examination or Organ Change: (1) Any person may, subject to law, undergo or cause to undergo medical examination, treatment, organ change, or collection of any part of any organ or any sample thereof of his or her body.

(2) If a person is incapacitated to give consent himself or herself, a guardian or caretaker may do or cause to do the acts under sub-section (1) for his or her benefit. 37. May Determine Method of Cremation, Mortuary

Rites or Last Rites: (1) Any person may, during his or her lifetime, determine the method of cremation, mortuary rites or last rites to be performed after his or her death.

(2) If a person has determined the method of cremation, mortuary rites or last rites under sub-section (1), the legatee must also perform the cremation, mortuary rites or last rites of the deceased according to the deceased's wish.

(3) If a person has not determined the method of his or her cremation, mortuary rites or last rites under sub-section (1), the legatee must perform the cremation, mortuary rites or last rites of the deceased according to prevailing traditions and customs. 38. May Donate Body or Organs: (1) Any person may express in writing his or her intention to donate his or her body, any organ of the body, or any part thereof to someone for use or to cause to use for a specific purpose after death.

(2) If an intention is expressed under sub-section (1), the legatee must also use the deceased's body, organ or any part thereof according to the deceased's intention.

(3) Notwithstanding anything written in sub-section (2), if the person accepting such body, organ or any part thereof is not available, or if it is not possible to separate such body, organ or any part thereof, the cremation, mortuary rites or last rites of such body shall be performed according to section 37. 39.

Deemed Address of Residence: (1) When determining the address of residence of any person, if that person has given an address for that purpose, that address shall be taken as his or her address of residence; and if no such address has been given, the place within Nepal where he or she permanently resides shall be taken as his or her address of residence. (2) If the residence of any person is not determined under sub-section (1), or if the residence cannot be traced, the place where such person currently resides shall be taken as his or her address of residence. (3) If the residence of any person is not determined under sub-section (1) or (2), or if his or her residence cannot be traced, and if he or she carries on any trade, business, employment or transaction, the place where such trade, business, employment or transaction is carried on shall be taken as his or her address of residence. (4) Notwithstanding anything written in sub-section (1), (2) or (3), if the address of residence of any person has changed, the place where such person currently resides shall be taken as his or her address of residence. (5) When determining the residence of an incompetent or semi-incompetent person, the place where such person permanently resides shall be taken, and if such place is not certain, the place where the guardian or caretaker of such person resides shall be taken as his or her address of residence. (6) Notwithstanding anything written elsewhere in this section, if any person has treated an address as his or her residence for a specific purpose, such address shall be taken as his or her address of residence. 40. Deemed Dead: (1) If any person is missing without information continuously for twelve years, or if the person who would naturally receive information about such person has not received any information for twelve years, such person shall be deemed to have died, except where proof of his or her being alive is obtained.

Provided that, in the following circumstances, such person shall be deemed to have died after the expiry of the following periods:-

(1) In the case of a person who has completed the age of eighty years ? five years,

(2) In the case of a soldier deployed in a war zone ? four years from the date of the conclusion of the war,

(3) In the case of a person who traveled in an aircraft, ship or other vehicle that met with an accident ? three years from the date of such accident.

(2) Notwithstanding anything written in clause (3) of the proviso to sub-section (1), if a person has died in an

accident, and no proof of the survival of another person involved in the same accident is obtained, such other person shall also be deemed to have died at the same time.

(3) If more than one person die simultaneously in an accident, unless proved otherwise, each person dying in such accident shall be deemed to have died simultaneously. Provided that, if for any specific purpose a question arises as to which person died first in such accident, unless proved otherwise, the person who was older at the time of death shall be deemed to have died first.

(4) If a person who has an interest files a petition stating that a person has been missing without information or has been involved in a disaster or accident, clearly mentioning the date, place, cause and basis of the disappearance or death, seeking a judicial declaration regarding his or her death, the court may, after hearing evidence, order a judicial declaration of death of such person.

(5) If a person who has been declared dead under sub-section (4) returns alive and files a petition for annulment of the previous judicial declaration, or if a claimant of such person files a petition for amendment of the death declaration on the ground that the date of death differs from the date of the judicial declaration, the court shall, after making necessary inquiry in this regard, amend or annul the order of judicial declaration made under sub-section (4). Provided that,-

(1) If a surviving wife has married another person after such declaration, the marital relationship with the declared person shall not be re-established.

(2) There shall be no adverse effect on the legal rights of the person declared dead.

(3) No adverse effect shall be caused to any act already done under the previous judicial declaration due to the establishment of a new date of death.

(4) There shall be no effect on the right, interest or concern acquired by any person under law from the act done pursuant to clause (3). 41.

Limitation: A person aggrieved by any act done under this Chapter may file a plaint as follows:- (a) In the case of section 36, within three months from the date of such act, (b) In the case of sub-section (5) of section 40, within one year from the date of knowledge of such act, (c) In cases other than those mentioned in clauses (a) and (b), within six months from the date of such act. Chapter-2 Provisions Relating to Legal Persons 42. Legal Person to Acquire Capacity: (1) An incorporated body established according to law shall acquire legal personality, and by virtue of that status, shall acquire legal capacity. (2) To acquire legal capacity under sub-section (1), a body must be registered according to law. (3) For registration under sub-section (2), except where a separate provision is made by law, a petition must be submitted to the concerned authority stating the following:- (a) Name of the incorporated body, (b) Principal office of the incorporated body and the address of such office, (c) Objectives and functions of the incorporated body, (d) Details of the capital structure of the incorporated body, if any, (e) Other necessary details. (4) After the body is registered under sub-section (2), such body shall be deemed to be established. (5) A legal person shall have a corporate personality and shall use a separate seal for its activities. (6) A body established under this section shall be a continuous succession, autonomous, and incorporated body, and subject to law, may, in that capacity, do the following acts like a person:- (a) To acquire, hold, earn, possess, use, sell or otherwise manage property, (b) To make contracts, exercise rights and discharge liabilities under contracts, or otherwise assume any right or liability in any manner, (c) To make by-laws or regulations necessary for conducting its work, activities or business, Amended by the Act to Amend Some Nepal Acts relating to the Muluki Code, 2075.(d) To appoint employees subject to its by-laws for performing its work, (e) To open branches or other offices subject to its by-laws and regulations, (f) To open and operate accounts in any bank or financial institution, (g) To perform other functions according to law. (7) A legal person may sue or take

other legal proceedings in its own name, and may also be sued or have other legal proceedings taken against it in the same name. 43.

Acquisition of Legal Capacity After Establishment: (1) After the establishment of a legal person, such person shall acquire legal capacity to perform civil and commercial activities in addition to the acts mentioned in section 42. (2) The capacity acquired under sub-section (1) shall remain until the liquidation, dissolution or other termination of the legal person according to law. 44. Deemed to Have Automatically Acquired Legal Capacity: Notwithstanding anything written in section 42, the following bodies shall be deemed to have automatically acquired capacity as a legal person:- (a) The State of Nepal, (b) Government of Nepal, (c) Federal Parliament or Legislature-Parliament, (d) Courts, constitutional bodies or any offices under such bodies, (e) Ministries, secretariats, departments or any other government offices of the Government of Nepal, (f) Provinces, (g) Provincial governments or government offices at the provincial level, (h) Provincial Assembly, (i) Rural Municipalities, Municipalities or District Assemblies, or local level government offices under such bodies, (j) Commissions, committees or similar other bodies established by law by the Government of Nepal, Provincial Government or Local Level Government, (k) Corporations, incorporated bodies or entities established according to law, (l) Institutions established for public purposes such as monasteries (math), temples (mandir), shrines (devalaya), stupas (chaitya), gumbas, mosques, churches, rest houses (dharmashala), pavilions (pati), rest shelters (sattal), cremation grounds (antyasthithal) which have been operating since ancient times and possess property, (m) Community schools or colleges or universities established for public purposes. 45. Address of Legal Person: The address of a legal person shall be the address mentioned at the time of establishment of the incorporated body; if not so mentioned, the address of the principal office or registered office of such body; and if such office or address is also not determined, the address of the main administrative office or the address where the business and operations are carried out shall be deemed to be its address. 46. Management and Operation of Legal Person: (1) Unless otherwise provided by law, the management and operation of a legal person shall be as provided in the by-laws of such person, and in the absence of such provision, shall be by one or more directors. (2) The legal person shall be responsible for the management and operation conducted by the directors under sub-section (1). 47. Execution of Acts of Legal Person: (1) When an act is required to be performed on behalf of a legal person, unless otherwise provided by law, it shall be done by decision of the directors of such person. (2) While performing an act under sub-section (1), the directors may authorize any director or any other person to perform any act. 48.

49. Legal Person May Be Agent: A legal person may, subject to law, act as the agent of another person. 50. No Participation in Decision if Conflict of Interest: (1) A member or director of any institution or body shall not participate in the decision-making process regarding a matter involving his or her personal interest. (2) If a decision is affected due to the involvement of personal interest under sub-section (1), such decision shall be void. 51. Legal Person to be Responsible: If anyone does any act on behalf of a legal person and causes any kind of loss or damage to anyone, the responsibility for that shall be of such legal person, and the compensation thereof shall be borne by the concerned legal person. Provided that, if any loss or damage is caused to anyone by an act done outside the objectives or scope of the legal person, or done maliciously, the director or person who did such act shall be personally responsible. 52. Settlement of Property or Liability: If a legal person is dissolved for any reason, the property and liabilities of such person shall be settled according to law. 53. Limitation: A person aggrieved by any act

49. Legal Person May Be Agent: A legal person may, subject to law, act as the agent of another person. 50. No Participation in Decision if Conflict of Interest: (1) A member or director of any institution or body shall not participate in the decision-making process regarding a matter involving his or her personal interest. (2) If a decision is affected due to the involvement of personal interest under sub-section (1), such decision shall be void. 51. Legal Person to be Responsible: If anyone does any act on behalf of a legal person and causes any kind of loss or damage to anyone, the responsibility for that shall be of such legal person, and the compensation thereof shall be borne by the concerned legal person. Provided that, if any loss or damage is caused to anyone by an act done outside the objectives or scope of the legal person, or done maliciously, the director or person who did such act shall be personally responsible. 52. Settlement of Property or Liability: If a legal person is dissolved for any reason, the property and liabilities of such person shall be settled according to law. 53. Limitation: A person aggrieved by any act

done under this Chapter may file a plaint within three months from the date of knowledge of such act in the case of section 50, and within six months from the date of such act in other cases. Chapter-3 Provisions Relating to Insolvency of Natural Persons 54.

Explanation: (1) For the purposes of this Chapter, "estate" means the property currently held by the concerned person or property that may be acquired or may become available until the completion of insolvency proceedings under this Chapter.

(2) For the purposes of clause (c), "creditor" means, if there is more than one creditor, the creditor or group of creditors whose debt constitutes fifty percent or more of the total debt of the person about to become insolvent.

(3) If, under this Chapter, the debts or claims of creditors are settled from a person's estate, such person shall be deemed to have been declared insolvent.

(4) The court shall send the record of the person declared insolvent under sub-section (3) to the Insolvency Administration Office established for that purpose.

(5) The record under sub-section (4) shall be kept updated by the Insolvency Administration Office.

(6) If a person is declared insolvent under sub-section (3), he or she shall not be required to pay or fulfill any other debts or liabilities except those settled under this Chapter.

(7) Notwithstanding anything written in sub-section (6), after a person is declared insolvent, he or she must fulfill the following liabilities arising from the trade, business or transactions commenced after such declaration:-

(a) Amended by the Act to Amend Some Nepal Acts relating to the Muluki Code, 2075. Taxes, fees or charges payable to the Government of Nepal, Provincial Government or Local Level,

(b) Amount payable as penalty or fine pursuant to a court order

(2) Notwithstanding anything contained in sub-section (1), a person who has been declared insolvent may, by paying the entire liability payable to the creditor at the time of being declared insolvent, along with evidence thereof, file a petition in the court to terminate his status as an insolvent.

(3) Upon receipt of a petition filed pursuant to sub-section (2), the court shall issue an order summoning all creditors who have received partial payment or no payment at the time of insolvency, granting a period of fifteen days in addition to the transit period.

(4) When hearing a petition filed pursuant to sub-section (2), if it appears that the insolvent person has paid all the debts and liabilities remaining to be paid at the time of his insolvency, the court may cancel the order made at the time of such insolvency.

(5) If an order is canceled pursuant to sub-section (4), the insolvent status of such person shall be deemed to have ended one year after the date of such cancellation. 66.

Limitation: A person aggrieved by any act or action done under this Chapter may file a suit within the following period from the date on which the cause for initiating the insolvency proceedings arose: (a) Within three years from the date on which the cause for filing a suit under Section 54 arose, (b) Within two years from the date of knowledge of matters relating to Sections 62 and 64, (c) In cases other than those mentioned in clauses (a) and (b), within six months from the date of the act or action. Part-3 Family Law Chapter-1 Provisions Relating to Marriage 67. Marriage deemed to have been solemnized: If a man and a

woman accept each other as husband and wife through any ceremony, ritual, formal or other act, the marriage shall be deemed to have been solemnized. 68. Marriage an inviolable social bond: (1) Marriage shall be a permanent, inviolable, and sacred social and legal bond based on free consent, established between a man and a woman to commence conjugal and family life. (2) The marital bond under sub-section (1) shall remain in effect until terminated pursuant to Section 82. 69. Freedom to marry: (1) Every person shall have the freedom to marry, establish a family, and lead a family life, subject to law. (2) Regardless of the manner in which a marriage is solemnized, such marriage shall be made or caused to be made public. (3) The family life of every person shall be inviolable. 70. Marriage may be solemnized: (1) Subject to this Chapter, marriage may be solemnized between a man and a woman in the following circumstances: (a) If the man and the woman consent to accept each other as husband and wife, (b) If the man and the woman are not related within the degrees of prohibited relationship for which incest is punishable by law, (c) If neither the man nor the woman has an existing marital relationship, (d) If the age of twenty years has been completed. (2) Notwithstanding anything contained in clause (b) of sub-section (1), there shall be no bar to marrying or giving in marriage a relationship permitted by the custom prevailing in one's ethnic community or clan. 71.

Marriage not to be solemnized or caused to be solemnized: (1) No person shall marry or cause to marry a man or woman who does not meet the conditions for marriage under Section 70. (2) No person shall marry or cause to marry a man or woman under the following circumstances by deception: (a) Having the Human Immunodeficiency Virus (HIV) or Hepatitis B, or suffering from incurable serious disease of a similar nature, (b) Having no genitalia, being impotent, or having been proven to lack the capacity to procreate, (c) Being completely unable to speak or hear, completely blind, or a leper, (d) Being of unsound mind, (e) Being already married, (f) Being pregnant, (g) Having been convicted by a court of a criminal offense involving moral turpitude. (3) A person aggrieved by a marriage performed by deception under sub-section (2) may seek annulment of such marriage and claim reasonable compensation from the person who married or caused the marriage by deception. 72. Marriage void: (1) A marriage solemnized under the following circumstances shall be void ab initio: (a) Marriage solemnized without the consent of the man or woman, (b) Marriage solemnized between persons related within the degrees of prohibited relationship for which incest is punishable, Added by the Act Amending Some Nepal Acts Related to the Civil Code, 2075.(c) Marriage contrary to clause (d) of sub-section (1) of Section 70, Added by the Act Amending Some Nepal Acts Related to the Civil Code, 2075.(d) Another marriage contracted by a married man or woman while the marital relationship subsists, except where they have separated by partition of shares as per law. (2) A marriage under sub-section (1) shall be invalid from the beginning. (3) Notwithstanding anything contained in clause (b) of sub-section (1), a marriage solemnized pursuant to sub-section (2) of Section 70 shall not be void. 73. Marriage may be annulled: (1) A marriage solemnized under the following circumstances may be annulled if either party to such marriage does not consent: Deleted by the Act Amending Some Nepal Acts Related to the Civil Code, 2075.(a) (b) If marriage is performed or caused to be performed by deception under sub-section (2) of Section 71. (2) Notwithstanding anything contained in sub-section (1), if a woman becomes pregnant or gives birth to a child as a result of the marriage, the marriage may be annulled only with her consent. 74.

Marriage deemed upon birth of a child from physical relationship: (1) Notwithstanding anything contained in sub-section (2) of Section 69, if it is proven that a woman conceived and gave birth to a child from physical relationship with a man, such man and woman shall be deemed to be automatically married. (2) Notwithstanding anything contained in sub-section (1), even if a child is born from physical relationship with a man under the following circumstances, it shall not be deemed that the man and woman are automatically married solely on that ground: (a) If the woman conceived and gave birth to a child as a result of rape, (b) If

the woman conceived and gave birth to a child from physical relationship with a man related within the degrees of prohibited relationship for which incest is punishable, except in the case of relationships permissible for marriage under sub-section (2) of Section 70, Added by the Act Amending Some Nepal Acts Related to the Civil Code, 2075.(c) If the age for marriage under clause (d) of sub-section (1) of Section 70 has not been completed, Added by the Act Amending Some Nepal Acts Related to the Civil Code, 2075.(d) If a situation of polygamy exists. 75. No effect on legal rights of a child already born: If a marriage is void under Section 72 or annulled under Section 73, or if a child is born under sub-section (2) of Section 74, the legal rights of such child shall not be affected. 76. Marriage to be registered: (1) A husband and wife shall submit an application to the authority prescribed Amended by the Act Amending Some Nepal Acts Related to the Civil Code, 2075. by law and have their marriage registered. Provided that, in the case under sub-section (1) of Section 74, both or either of the husband and wife may submit an application for marriage registration. (2) A husband and wife residing outside Nepal may submit an application for marriage registration to the Nepalese Embassy or Consulate General in the country where they reside. (3) Upon receipt of an application for marriage registration under sub-section (1) or (2), the concerned authority shall, within fifteen days of receiving the application, register the marriage in the marriage records kept in his office and issue a certificate of marriage registration to the applicant in the format prescribed Amended by the Act Amending Some Nepal Acts Related to the Civil Code, 2075. by the prevailing law.

Explanation: For the purposes of this Chapter, "concerned authority" means the officer authorized to register marriages.

(4) If the marriage cannot be registered according to the application under sub-section (1) or (2), the concerned authority shall, within seven days of receiving the application, inform the applicant in writing stating the reason thereof.

(5) If one party is not present regarding the registration of marriage according to the proviso to sub-section (1), the concerned authority shall inquire of such person and register the marriage.

(6) If, upon inquiry under sub-section (5), the other party expresses disagreement with the marriage registration, the concerned authority shall not register the marriage and shall inform the applicant that the matter shall be as decided by the court.

(7) The concerned authority shall maintain a secure record of the details of marriage registration under this section.

(8) Couples who were married before the commencement of this Code and have not registered their marriage may, if they so wish, register their marriage under this section. Provided that, the marriage of such couple shall not be deemed to have lost legal recognition merely because it was not registered. 77. Marriage may be solemnized by registration: (1) Notwithstanding anything contained in sub-section (2) of Section 69 and Section 74, if a man and a woman wish to marry by registration, they shall submit an application to the concerned District Court, if within Nepal, or to the Nepalese Embassy or Consulate General, if outside Nepal, stating their name, surname, age, address, occupation, names of father, mother, grandfather, grandmother, whether previously married, and if married, the details of termination of marital relationship, and the names of at least two witnesses.

(2) To submit an application under sub-section (1), the man or woman or both must have been residing in the concerned district for at least fifteen days prior to the application if applying to a District Court, or in the concerned country where the Embassy or Consulate General is situated for at least fifteen days prior to the

application. 78. Decision on whether marriage shall be solemnized: (1) Upon receiving an application for marriage by registration under Section 77, the concerned authority shall make necessary inquiries and decide within seven days from the date of application whether the marriage shall be solemnized or not.

(2) Notwithstanding anything contained in sub-section (1), if the concerned authority stationed abroad has any doubt regarding the proposed marriage, he shall submit the matter to the Government of Nepal and act according to the decision of the Government of Nepal. 79.

Consent deed to be prepared: If it is decided that the marriage between the applicants shall be solemnized under Section 78, the concerned authority shall prepare a consent deed stating the matters mentioned in the application and that the parties to the marriage have consented to accept each other as husband and wife according to law, obtain the signatures or thumb impressions of the parties and the witnesses present in his presence, and affix his own signature or thumb impression on such consent deed. 80. Provisions relating to marriage registration: (1) After obtaining signatures or thumb impressions on the consent deed under Section 79, the concerned authority shall register such marriage in the marriage register book and affix or cause to affix signatures or thumb impressions of himself, the parties to the marriage, and the witnesses present. (2) After registering the marriage under sub-section (1), the concerned authority shall issue a certificate of marriage registration to the parties to the marriage in the format prescribed Amended by the Act Amending Some Nepal Acts Related to the Civil Code, 2075. by the prevailing law. (3) From the date of receiving the certificate of marriage registration under sub-section (2), the marriage between the applicants shall be deemed to have been solemnized. 81. Provision relating to use of surname by married woman: (1) A married woman may, after marriage, use the surname used by her father or mother, or the surname of her husband, or both surnames. (2) In case of any question regarding the surname of a married woman, she shall be deemed to have used her husband's surname, unless proved otherwise. (3) If a woman who has used her husband's surname gets divorced, she may, if she wishes, use the surname used by her father or mother. 82. Marital relationship deemed terminated: The marital relationship between husband and wife shall be deemed terminated in any of the following circumstances: (a) If the marriage is void under Section 72 or annulled under Section 73, (b) If the husband and wife are divorced according to law, (c) If the wife marries another without having obtained a divorce according to law. 83. Remarriage may be contracted: Notwithstanding anything contained elsewhere in this Chapter, a man or woman may remarry in any of the following circumstances: (a) If the marital relationship between husband and wife has terminated under Section 82, (b) Upon the death of the husband or wife, (c) If the husband or wife has separated by partition of shares as per law. 84. Limitation: A person aggrieved by any act or action done under this Chapter may file a suit within three months from the date of such act or action.

Chapter-2 Provisions Relating to Consequences of Marriage 85. Deemed husband and wife: If a marriage is solemnized between a man and a woman, they shall be deemed to be husband and wife to each other as long as such marital relationship subsists. 86. Relationship and duties of husband and wife: (1) There shall be mutual love and goodwill between husband and wife. (2) Unless otherwise provided by mutual agreement, husband and wife shall live together, establish family life, and make a living. (3) Husband and wife shall provide mutual assistance, protection, and respect to each other. 87. Husband's home deemed residence: Unless husband and wife have determined a separate residence by mutual agreement, the wife's residence shall be deemed to be established at the husband's home. 88. Deemed mutual representatives: Unless otherwise provided by law or in case of legal dispute between husband and wife, the husband or wife shall be deemed to be each other's representative in ordinary household affairs. 89. Treatment according to status: Husband or wife shall provide or cause to provide food, clothing, and medical treatment to each other

according to their honor and capacity. 90. Household to be managed by consent: (1) Husband and wife living in a joint family shall manage the household on the basis of mutual consent, in accordance with their property, income, and status. (2) When selling or otherwise transferring property in their own name, husband or wife shall obtain consent from each other, unless otherwise provided by law. 91. Not to prevent profession, business, or work: Husband or wife or any family member shall not prevent each other from engaging in any profession, business, or work according to their skill, qualification, or capacity. 92. Limitation: A person aggrieved by any act or action done under this Chapter may file a suit within three months from the date of such act or action. Chapter-3 Provisions Relating to Divorce 93. Divorce by mutual consent: Husband and wife may divorce at any time if both so wish. 94.

Husband may seek divorce: A husband may seek divorce, even without the wife's consent, in any of the following circumstances: (a) If the wife has been living separately without the husband's consent for a continuous period of three years or more, except where they have been living separately by taking a share or separating the share according to law, (b) If the wife has denied the husband food and clothing or expelled him from home, (c) If the wife has committed any act or deception causing the husband bodily harm or any other great physical or mental suffering, (d) If the wife is found to have had sexual relations with another man. 95. Wife may seek divorce: A wife may seek divorce, even without the husband's consent, in any of the following circumstances: (a) If the husband has been living separately without the wife's consent for a continuous period of three years or more, except where they have been living separately by taking a share or separating the share according to law, (b) If the husband has denied the wife food and clothing or expelled her from home, (c) If the husband has committed any act or deception causing the wife bodily harm or any other great physical or mental suffering, (d) If the husband has married another, (e) If the husband is found to have had sexual relations with another woman, (f) If the husband is found to have raped the wife. 96. Application to be filed for divorce: A husband or wife wishing to divorce shall file an application with the Amended by the Act Amending Some Nepal Acts Related to the Civil Code, 2075. concerned District Court. 97. Reconciliation of husband and wife: Upon receiving an application for divorce under Section 96, the court shall, as far as possible, counsel and make efforts to reconcile both parties. 98. Divorce to be granted: If, despite counseling under Section 97, the husband and wife cannot be reconciled and it is deemed more appropriate to dissolve the marriage than to maintain it, the court shall grant them a divorce. Provided that, if the husband and wife do not consent despite the court's counseling efforts for reconciliation under Section 97, the court shall grant the divorce after one year from the date of application. 99.

Partition of shares to be made before divorce: (1) In a situation where divorce is to be effected due to the husband's fault, if the wife so demands, the concerned court shall cause the partition of shares between the husband and wife before granting the divorce. (2) If the wife files an application for divorce on the grounds under clause (b), (c), (d), (e), or (f) of Section 95, it shall be deemed, for the purposes of sub-section (1), that the divorce is due to the husband's fault. (3) If the joint property is in the names of both husband and wife or in the name of either of them, partition of such property shall be made between them according to law before the divorce. (4) If the husband who is to be divorced has not yet obtained a share from his father or other coparcener, the court shall require both parties to disclose the coparceners, and if there are other coparceners for partition, after inquiring with them if necessary, demand a schedule of shares from them, and separate and cause the partition of the shares of the husband and wife. (5) If it appears that the partition under sub-section (1), (3), or (4) will take a long time, the court may grant the divorce and order the husband to provide monthly maintenance to the wife based on the husband's property and income until the partition is made. Provided that, if such woman remarries before partition, she shall not be entitled to a share. (6) Notwithstanding anything contained elsewhere in this section, the husband shall not be bound to provide a

share or maintenance under this Chapter to a wife who has filed for divorce on the grounds under clause (b), (c), or (d) of Section 94. 100. Lump sum amount or maintenance may be ordered: Notwithstanding anything contained in Section 99, if a wife who is to be divorced wishes to receive a lump sum amount or annual or monthly amount or maintenance from the husband instead of taking a share, the court may, based on the husband's property or income, order the payment of a lump sum amount to such wife or provide annual or monthly amount or maintenance. Provided that, if such wife remarries, such amount or maintenance shall not be required to be paid. 101.

Maintenance for food and clothing may be ordered: If, when partition under Section 99 is required, a wife does not receive a share from the husband due to lack of any property, and if she wishes to claim maintenance for food and clothing from the husband, and if the husband has income, the court may order the husband to provide maintenance for food and clothing to such wife based on his income after the divorce. Provided that: (1) If such wife remarries, such maintenance shall not be required to be paid. (2) If the wife's income is higher than the husband's, such maintenance shall not be required to be paid. 102. As per agreement: Notwithstanding anything contained elsewhere in this Chapter, if there is a written agreement between the husband and wife regarding the share or maintenance the wife is to receive upon divorce, it shall be according to such agreement. Provided that no agreement shall be made contrary to the interests of a minor. 103. Previous children or husband to receive property: If a divorced woman dies, her property shall go to her sons and daughters, if any; if there are no sons or daughters, the property received from the ex-husband shall go to such husband, and other property shall go to the heirs from the maternal side. 104. Limitation: A person aggrieved by any act or action done under this Chapter may file a suit within three months from the date on which the cause of action arose or from the date of knowledge. Chapter-4 Provisions Relating to Relationship of Mother, Father and Sons, Daughters 105. Maternity or paternity determined from mother, father: (1) When determining the maternity or paternity of a person, it shall be based on that person's mother or father. (2) When determining paternity under sub-section (1), it shall be presumed, unless proven otherwise, that the person who was the husband of the mother at the time of the birth of such person is the father. 106. Child presumed born from married husband: Unless proven otherwise, a child born under the following circumstances shall be presumed to be born from the married husband: (a) Born one hundred and eighty days after the date of marriage, (b) Born within two hundred and seventy-two days from the date of the husband's death or termination of the marital relationship. 107.

Paternity may be denied: (1) Unless otherwise agreed between husband and wife, the husband, or if the husband has died before the birth of such child, his heir, may deny the paternity of a child born to the wife before one hundred and eighty days of marriage. (2) Notwithstanding anything contained in sub-section (1), if a man married a woman knowing or having reasonable cause to know that she was pregnant before marriage, the paternity of the child shall not be denied solely because it was born before such period. 108. Claim of son, daughter or paternity to be made: (1) When claiming that a child whose paternity or maternity is unknown is one's own son or daughter, such claim shall be made within two years from the date of birth or identification of such child. (2) When claiming paternity of a child born without known paternity, such claim shall be made within two years from the date of birth of such child. Provided that, such claim shall not be made after the death of such child. 109. Paternity of child born through artificial insemination vests in father: A child born through artificial reproductive technology using the semen of another person with the consent of the husband and wife shall be deemed to be born from the married husband, and his paternity shall be determined accordingly. 110. As decided by court: If a dispute arises regarding the maternity or paternity of a person, it shall be resolved as decided by the court. 111. Right to name and surname: (1) Every person shall, after birth, have the name given by his or her mother or father according to their religion, culture, custom, and

tradition. (2) If the mother or father of a person is not immediately available or cannot be made available, such person shall have the name given by the guardian or caretaker caring for him or her. (3) Every person shall, after birth, be entitled to use the surname determined by the consent of his or her mother and father, or if such consent cannot be obtained, the surname of his or her father, after his or her name.

Provided that, a person whose paternity is unidentified may use his or her mother's surname after his or her name.

(4) Notwithstanding anything contained in sub-section (3), any person may, if he or she wishes, use the surname of his or her father or mother or both.

(5) In case of any question regarding a person's surname, he or she shall be deemed to have used his or her father's surname, unless proved otherwise.

(6) Notwithstanding anything contained elsewhere in this section, a person whose father or mother is both unidentified may use the surname given by the guardian caring for him or her after his or her name. 112. Right to mention names of mother, father, grandfather, grandmother: (1) If it is required by law to mention the names of mother, father, grandfather, and grandmother in any formal act, legal proceeding, or document, any person may mention the names of his or her mother, father, grandfather, and grandmother.

(2) If the father of a person required to mention the names of mother, father, grandfather, and grandmother under sub-section (1) is untraced, such person may mention the names of his or her mother and the maternal grandfather and grandmother; and if the mother's name is also untraced, it shall be sufficient to mention that fact and, if the person is a minor, the name of the guardian or caretaker, and if an adult, only his or her own name. 113.

Birth of son, daughter to be registered: (1) If a son or daughter is born to a couple, the mother or father shall file an application for birth registration with the authority prescribed Amended by the Act Amending Some Nepal Acts Related to the Civil Code, 2075. by law within three months of the birth of such son or daughter. (2) If a person wishes to file an application for birth registration of a son or daughter after the expiry of the period under sub-section (1), he or she shall pay a fine as prescribed Amended by the Act Amending Some Nepal Acts Related to the Civil Code, 2075. by the prevailing law. (3) Upon receipt of an application under sub-section (1) or (2), the concerned authority shall record the details in the birth register book maintained in his office and issue a certificate of birth registration to the applicant in the format prescribed by law. (4) While recording details in the register book under sub-section (3), the name, surname, date of birth (including year, month, day, and day of the week), and place of birth of the concerned person, and the names, surnames, and addresses of his or her mother, father, grandfather, and grandmother shall be mentioned. (5) The concerned authority under sub-section (3) shall, within the fifteenth day of the following month, send the details recorded in the register book maintained in his office up to the end of each month to the District Administration Office; and such office shall also, by the end of each month, record such details in the birth register book maintained in its office for that purpose and send them every three months to the ministry designated by the Government of Nepal by publishing a notice in the Nepal Gazette. (6) The concerned ministry shall record the details received under sub-section (5) in the birth register book maintained for that purpose and keep an updated record every year. 114. Care and maintenance to be provided: (1) Every minor shall be cared for and maintained jointly by the mother and father. (2) While providing care and maintenance under sub-section (1), the mother and father shall, according to their financial status and capacity, make arrangements for upbringing, medical treatment, education, training, sports, recreation, and other necessary provisions. 115.

To be in the custody of mother or father: (1) Notwithstanding anything contained in Section 114, if the marital relationship of the husband and wife is terminated according to law, a minor child born to them shall be in the custody of the mother or father as follows: (a) If the minor has not completed the age of five years, in the custody of the mother if she wishes, regardless of whether she has remarried or not, (b) If the minor is above five years of age, in the custody of the mother if she wishes, except where she has remarried, (c) In circumstances other than those in clauses (a) or (b), in the custody of the father. (2) Notwithstanding anything contained in sub-section (1), if there is a separate agreement regarding the custody of the minor at the time of divorce or separation, it shall be according to such agreement. (3) Notwithstanding anything contained in sub-section (1), when deciding whether a minor who has completed the age of ten years shall be in the custody of the father or mother, the opinion of the concerned minor may be taken. (4) Notwithstanding anything contained elsewhere in this section, if a minor is in the custody of either the mother or father under this section, and the parent having custody dies, the surviving mother or father shall immediately take such minor into his or her custody. Provided that, if the mother has already remarried, she shall not be compelled to take custody of a minor who has completed five years of age. (5) Notwithstanding anything contained elsewhere in this section, if the husband and wife are separated according to law and they have a minor child, arrangements for the upbringing, education, and medical treatment of such minor shall be as per any agreement between the husband and wife; in the absence of such agreement, it shall be as follows: (a) If the minor has not completed five years of age, in the custody of the mother, (b) If the minor is five years of age or above but has not completed ten years of age, in the custody of the father, (c) If the minor has completed ten years of age, in the custody of the parent with whom the minor consents to live. 116.

Necessary care and maintenance to be provided: (1) The mother or father who has taken custody of a minor under Section 115 shall provide care and maintenance to the minor in their custody, and while providing such care and maintenance, shall do so as mentioned in sub-section (2) of Section 114. (2) Notwithstanding anything contained in sub-section (1), if the mother or father who does not have custody has a higher income than the parent having custody, such parent shall provide expenses for the upbringing, education, and medical treatment of such minor as agreed upon by such parents, and if such agreement cannot be reached, as determined by the court. 117. Right to visitation: (1) In case of termination of marital relationship according to law or separation of mother and father, a minor in the custody of the mother shall be allowed to visit the father, and a minor in the custody of the father shall be allowed to visit the mother from time to time, or, by agreement of the mother and father, to stay with them for a certain period. Provided that, if there is any possibility that such visitation or stay would be detrimental to the minor's interest, the concerned District Court may issue an order prohibiting such visitation or stay, as amended by Amended by the Act Amending Some Nepal Acts Related to the Civil Code, 2075. the concerned District Court. (2) The frequency of visits or the duration of stay with the father or mother under sub-section (1) shall be as determined by the concerned mother and father, and if such determination cannot be made, as per the order of the Amended by the Act Amending Some Nepal Acts Related to the Civil Code, 2075. concerned District Court. (3) If a minor is with the father or mother under this section, the parent keeping the minor shall provide care and maintenance to such minor as mentioned in sub-section (2) of Section 114. 118. Rights of sons and daughters to remain: (1) Even if the marital relationship between husband and wife is terminated under this Code, the legal rights of sons and daughters born to them over their father and mother and the obligations of the father and mother towards them shall remain. (2) Even if the father and mother of a person are not capable of being husband and wife under this Code, the legal rights of sons and daughters born to them over their father and mother and the obligations of the father and mother towards them shall remain. 119.

Not to live separately without consent: (1) Sons and daughters shall not live separately from their mother and

father without their consent. (2) Notwithstanding anything contained in sub-section (1), sons or daughters may live separately from mother and father in any of the following circumstances: (a) If they have separated from mother and father by taking or not taking a share according to law, (b) If they have married, (c) If they have completed at least twenty-one years of age, or (d) If they have obtained employment. 120. Minor not to work as laborer: A minor who is permitted to work as a laborer according to law shall not work as a laborer without the consent of the mother, father, other guardian, or caretaker. 121. Decision of parent with custody to prevail: If a dispute arises between the father and mother regarding any decision to be made concerning the rights and interests of a minor born to parents whose marital relationship cannot subsist under this Code or whose marital relationship has terminated, the decision of the parent with whom such minor is living shall prevail. 122. Respect, honor, and care to be provided to mother and father: (1) Every son and daughter shall treat their mother and father with respect and honor. (2) Every son and daughter shall, whether living in a joint family or having separated according to law, provide necessary care, maintenance, medical treatment, or supervision to their mother and father according to their own economic and social status. 123. Limitation: Where a separate limitation period is prescribed in this Chapter for filing a suit, it shall be according to that; in other cases, a person aggrieved by any act or action done under this Chapter may file a suit within six months from the date of such act or action. Chapter-5 Provisions Relating to Maternal and Paternal Authority 124. Under supervision and control of mother and father: (1) Minor sons and daughters shall remain under the supervision, monitoring, control, protection, or authority of the mother and father. (2) A minor under sub-section (1) shall comply with the lawful orders, commands, or instructions given by the mother and father. 125.

Maternal and paternal authority to be exercised jointly: (1) The authority exercisable by the mother and father over their sons and daughters, the responsibilities to be fulfilled, and the duties to be observed under this Chapter shall be exercised, fulfilled, and observed jointly with the consent of both. (2) Notwithstanding anything contained in sub-section (1), the authority to be exercised, the responsibilities to be fulfilled, and the duties to be observed under that sub-section shall be performed by the following mother or father in the following circumstances: (a) If either the mother or father dies, by the surviving mother or father, (b) If either the mother or father is of unsound mind, by the mother or father who is of sound mind for the duration of such condition, (c) If the marital relationship of the mother and father has terminated or they are living separately according to law, by the mother or father who has custody of the minor, (d) In the case of a minor whose father is untraced, by the mother. 126. Rights, responsibilities, and duties of the person exercising maternal and paternal authority: The rights, responsibilities to be fulfilled, and duties to be observed of the mother or father entitled to exercise maternal and paternal authority under this Chapter shall be as follows: (a) To keep the minor with oneself, provide proximity, and monitor the minor's work, actions, and conduct, (b) To provide food and clothing, and to teach how to eat, dress, and work, (c) To provide affection, love, and care, (d) To teach and explain social decorum, etiquette, good conduct, morality, values, culture, and lifestyle, and to teach conduct accordingly, (e) To provide moral education based on social values such as honesty, self-confidence, self-reliance, good character, hard work, and discipline, (f) To monitor physical and mental health, and to provide or cause to provide medical treatment, (g) To provide opportunities for play and recreation as needed, (h) To make available educational materials that are readable and convey positive messages, (i) To provide guidance to remain loyal to family, society, community, nation, and country, (j) To keep away from addictions, bad company, and obscene matters, (k) To teach obedience, respect, and honor, (l) To do or cause to do any other act necessary for the physical, mental, and intellectual development of the personality. 127.

No discrimination: Mother and father shall not discriminate in any way between sons and daughters or among

sons or daughters on the basis of being a son or daughter in matters of upbringing, education and training, sports, medical treatment, recreation, facilities, or domestic chores. 128. Special care to be provided: (1) If a son or daughter is physically or mentally disabled or handicapped, or suffers from a life-threatening disease such as Human Immunodeficiency Virus (HIV) or Hepatitis B, the mother and father shall exercise special supervision over such son or daughter and provide them with special facilities and protection. Explanation: For the purposes of this Chapter, "physically or mentally disabled" means a person who is unable or incapable of performing daily routine by himself or herself due to physical or mental condition. (2) For a 137. Other person to be deemed guardian: Notwithstanding anything contained in section 136, if an incompetent or semi-competent person has not been provided guardianship by the persons mentioned in that section but guardianship has been provided by another person, the person providing such guardianship shall be deemed to be the guardian of such person. Provided that the person becoming such guardian shall have the fact of being guardian certified by the court. 138. Institution to be deemed guardian: (1) In the case of children residing in institutions such as child welfare homes, orphanages, children's homes, or nursery schools registered pursuant to law for the purpose of welfare of children and protection of their rights and interests, if there is no other guardian, such institution itself shall be deemed to be the guardian. (2) When any act or proceeding needs to be done on behalf of a minor residing in an institution pursuant to subsection (1), it shall be done by the head of such institution. Explanation: For the purposes of this Chapter and Chapter 7 of Part 3, "head" means the chief executive officer of such institution or the chairperson, general manager, managing director, or any other officer acting in that capacity. 139.

Court may appoint guardian: (1) Notwithstanding anything contained in section 136 or 137, the court may, in the following circumstances, appoint a specific person as guardian, stating the reasons therefor: (a) If a petition is filed in the court by the concerned ward committee of the concerned local level for appointment of a guardian in a situation where no person is willing to be the guardian pursuant to section 136, (b) If a stakeholder files a petition in the court for appointment of a guardian. (2) While appointing a guardian pursuant to subsection (1), the court shall consider whether the rights, interests, or protection of such incompetent or semi-competent person may or may not be ensured. (3) While appointing a guardian pursuant to subsection (1), the court shall also obtain the consent of the person who is to be the guardian. (4) After appointing a guardian pursuant to subsection (1), the court shall provide written information thereof to the person who is to be the guardian and the local level. 140. May appoint supervisor: (1) If a guardian is appointed by the court pursuant to section 139 and it is deemed necessary to inspect the acts and proceedings of such guardian, the court may appoint a person as supervisor. (2) The supervisor appointed pursuant to subsection (1) shall make necessary inspection regarding the acts and proceedings of the guardian and submit a report thereof to the court. (3) Upon termination of guardianship pursuant to section 148, the supervision shall also be deemed automatically terminated. 141. Persons incapable of being guardian: The following persons shall not be capable of being guardian: - (a) An incompetent or semi-competent person, (b) A person proved to have acted against the rights or interests of the incompetent or semi-competent person, (c) A person sentenced to imprisonment for three years or more by a court: Provided that this clause shall not be deemed to create any hindrance for a person who is in the priority order under subsection (1) of section 136 from being a guardian. (d) A person found to be disqualified from being a guardian by a court. 142.

Maintenance and care of incompetent or semi-competent person: (1) The guardian shall make arrangements for the maintenance, health, education, recreation, and care of the incompetent or semi-competent person under his/her guardianship, from the property of such person if he/she has property, and from his/her own property if there is no such property. (2) Arrangements for the maintenance, health, education, recreation,

and care of the incompetent or semi-competent person pursuant to subsection (1) shall be made from the movable property of such person, to the extent of that property; and if there is no movable property or if arrangements for maintenance, health, education, recreation, and care cannot be made from such property, the immovable property of such person may be sold for that purpose with prior approval of the court. Provided that if the guardian is a person in the priority order under subsection (1) of section 136, no permission of the court shall be required for selling immovable property. 143. Duty to provide oversight, protection, and proper management of property: (1) The guardian shall provide oversight and protection of the property of the incompetent or semi-competent person under his/her guardianship. (2) The guardian may invest the property of the incompetent or semi-competent person under his/her guardianship and carry out any business or transaction. 144. Duty to maintain accurate accounts: (1) The guardian shall maintain accurate accounts of the expenses incurred for the maintenance, health, education, and care of the incompetent or semi-competent person under his/her guardianship, and of the income and expenditure arising from the management of his/her property, as well as details proving ownership of the property. Provided that if the guardian is a person in the priority order under subsection (1) of section 136, such accounts need not be maintained. (2) The guardian shall present the accounts maintained pursuant to subsection (1) and the details proving ownership of property to the person under guardianship within one year from the date on which such person attains the age required by law or informs the court in writing that he/she is capable of performing actions. (3) If an incompetent or semi-competent person dies while under his/her guardianship, the guardian shall deliver the accounts and the details proving ownership of property as per subsection (1) to the nearest heir of such person within six months from the date of death. 145. May initiate legal proceedings or defend cases: The guardian may initiate legal proceedings against any person for the rights and interests of the incompetent or semi-competent person under his/her guardianship, or defend a case filed against such person.

Provided that in relation to a case where the incompetent or semi-competent person is a plaintiff or defendant, the guardian shall not abandon any claim or contention in a case or compromise any case in a manner that causes detriment to him/her. Deleted by the Act Amending Some Nepal Acts Relating to the Civil Code, 2075. 146. May act on behalf of incompetent or semi-competent person: Subject to the provisions otherwise written in this Chapter, the guardian may, on behalf of the incompetent or semi-competent person, perform any act that such person may perform pursuant to law. 147. May act only according to conditions: Notwithstanding anything else written in this Chapter, if a person is appointed guardian subject to certain conditions in relation to an incompetent or semi-competent person, such guardian shall have the right to act only in accordance with the conditions. 148. Termination of guardianship: (1) Guardianship shall be deemed terminated in the following circumstances: - (a) If a petition filed by the guardian stating that he/she cannot be a guardian is approved by the court, (b) If the guardian or the incompetent or semi-competent person under guardianship dies, (c) If the incompetent or semi-competent person becomes competent, (d) If the court removes the guardian upon the request of the incompetent or semi-competent person under guardianship. (2) If guardianship is terminated pursuant to subsection (1) and the guardian and the person under guardianship are alive, the former guardian shall be required to provide maintenance and care to the incompetent or semi-competent person who was under his/her guardianship until another guardian is appointed. (3) If guardianship is terminated pursuant to subsection (1), any limitation period, time limit, or date fixed for any legal proceeding that the guardian was required to perform pursuant to this Chapter shall not be deemed to have lapsed from the date of such termination until another guardian is appointed. 149. Guardianship not to devolve to heir: Upon the death of a guardian and termination of guardianship pursuant to section 148, the rights, powers, and duties vested in him/her by virtue of being guardian shall not devolve

to his/her heir. Provided that if it is necessary to appoint another guardian in relation to an incompetent or semi-competent person, the successor of the guardian shall be required to provide maintenance and care to such incompetent or semi-competent person until a guardian is appointed. 150.

May recover expenses: If a guardian has met the expenses for the maintenance, health, education, sports, recreation, and care of the incompetent or semi-competent person under his/her guardianship from his/her own property, he/she may recover the amount so spent from the property of the incompetent or semi-competent person under guardianship. Provided that if the guardian is a person in the priority order under subsection (1) of section 136, such expenses shall not be recoverable. 151. May recover amount of loss or damage: If a guardian, whether for gain or not, knowingly, fraudulently, deceitfully, or mala fide causes loss or damage to the property of the incompetent or semi-competent person under his/her guardianship, the incompetent or semi-competent person suffering loss thereby may recover the amount of loss or damage from such guardian. 152. Limitation period: A person aggrieved by any act or proceeding done pursuant to this Chapter may institute a lawsuit within six months from the date of knowledge of such act or proceeding. Chapter 7 Provisions Relating to Custodianship (Matwar) 153. Custodian of a minor: (1) If a minor has no guardian pursuant to Chapter 6 of this Part, any person may act as custodian of such minor for the purpose of providing maintenance, health, education, care, and protection of property until he/she attains the age of eighteen years. (2) Notwithstanding anything written in subsection (1), any person may appoint a custodian for the maintenance, health, education, and care of his/her own minor child. 154. Custodian of a person not of sound mind: (1) If a person not of sound mind has no guardian pursuant to Chapter 6 of this Part, any other person may act as custodian for the maintenance, care, and protection of property of such person. (2) If there is no custodian pursuant to subsection (1) or if the custodian is not identified, the person who is immediately having charge, supervision, or oversight of the person not of sound mind shall be the custodian of such person. 155. Mother may be custodian of a minor: Notwithstanding anything written in section 153, if the father of a minor dies, or is missing, not of sound mind, or abroad, and if the mother of the minor under ten years of age exists, she shall be the custodian of such minor, even if she has remarried. 156.

Organized institution as custodian: (1) If a person who has no guardian pursuant to Chapter 6 of this Part is under the oversight, protection, or charge of an organized institution, such organized institution shall be the custodian of such person. (2) If an organized institution pursuant to subsection (1) is the custodian, the head of such organized institution shall exercise the powers of the custodian. 157. Court may appoint custodian: (1) If a person has no guardian pursuant to Chapter 6 of this Part, or if no person acts as his/her custodian, the concerned ward committee of the local level may file a petition in the court for the appointment of a custodian, providing details thereof. (2) While filing a petition pursuant to subsection (1), the concerned ward committee of the local level shall also submit the names, surnames, addresses, and occupations of persons likely to be custodians, along with a document of consent from the person likely to be appointed as custodian to act as such. (3) If a petition is filed pursuant to subsection (1), the court shall order the appointment of any one suitable person from among the persons whose names have been submitted pursuant to subsection (2) as custodian. 158. Qualification of custodian: A person other than one disqualified from being a guardian pursuant to section 141 may be a custodian. 159. Custodian to take charge of property: (1) The custodian shall take charge of the property of the person under his/her custodianship and manage and operate the same. (2) The custodian shall, from the property taken into charge, make arrangements for maintenance, education, training, and medical treatment for the person under his/her custodianship, as far as possible according to the status of that person. 160. May use property: The custodian may spend the entire proceeds obtained from the property taken into charge for the maintenance, health, and, if the person is a minor, education and training of the person under custodianship. 161. May expend immovable property with court

permission: (1) If, while providing maintenance, education, training, or medical treatment to any person under his/her custodianship, the movable property of that person is insufficient, the custodian may, for that purpose, file a petition in the court for permission to sell the immovable property or any part thereof, stating the reason therefor. (2) Upon examining the petition filed pursuant to subsection (1), if the court finds the reason for selling such immovable property to be reasonable, it may permit the sale of the immovable property or any part thereof as it deems appropriate. 162.

Duty to oversee and protect property prudently and carefully: (1) The custodian shall oversee and protect the property of the person under his/her custodianship prudently and carefully. (2) If the property of the person under custodianship suffers any loss or damage due to failure to oversee and protect the property pursuant to subsection (1), the concerned custodian shall be liable. Provided that if such property suffers loss or damage due to a disaster, he/she shall not be liable. (3) If a complaint is lodged that the custodian has failed to oversee and protect the property pursuant to subsection (1), the court may remove the concerned person from custodianship. 163. Transfer of right automatically void: If the custodian sells the immovable property of the person under his/her custodianship in the name of himself/herself or any member of his/her family with the mala fide intention of extinguishing the right of such person, or if any transfer of right occurs in any manner in the name of such persons, such transfer of right shall be automatically void. 164. Custodianship automatically terminated: (1) Custodianship shall be deemed automatically terminated in the following circumstances: - (a) If the person is a minor, upon attaining the age of eighteen years, (b) If the person is not of sound mind, upon becoming of sound mind, (c) If the mother, father, or both take the minor into their charge, (d) If a guardian is appointed for the minor or the person not of sound mind, (e) If the court removes the custodian pursuant to subsection (3) of section 162, (f) If the custodian lacks or ceases to have the qualification under section 158, (g) If the custodian or the person under custodianship dies. (2) Upon termination of custodianship pursuant to subsection (1), the person who was custodian shall immediately return the property taken into charge in the capacity of custodian to the concerned person. 165. May entrust property: (1) Notwithstanding anything else written in this Chapter, if a person has to leave the area where he/she resides and go elsewhere, and consequently is unable to protect and manage his/her property, rights, or possession by himself/herself, he/she may appoint a custodian for that purpose and entrust his/her property to such person. (2) If property is entrusted to a person pursuant to subsection (1), the person taking charge of such property shall protect and manage such property, and shall return such property to the person entrusting it upon his/her demand. 166. To be certified by court: A person becoming a custodian pursuant to sections 153, 154, and 165 shall have the fact of becoming custodian certified by the court. 167.

Other provisions to apply: The provisions of sections 144, 145, 146, 147, 149, 150, and 151 shall apply mutatis mutandis to custodians and persons under custodianship. 168. Limitation period: A person aggrieved by any act or proceeding done pursuant to this Chapter may institute a lawsuit within six months from the date of knowledge of such act or proceeding. Chapter 8 Provisions Relating to Adopted Son or Adopted Daughter 169. Persons deemed adopted son or adopted daughter: A person who is accepted by another person as his/her son or daughter shall be deemed an adopted son or adopted daughter. 170. Adoption to be in the best interest of the child: While adopting a son or daughter pursuant to this Code, the adoption shall be made in a manner that ensures the best rights and interests of the child. 171. Person having sons or daughters not to adopt: (1) Pursuant to this Chapter, a person having a son shall not adopt a son, and a person having a daughter shall not adopt a daughter. (2) Notwithstanding anything written in subsection (1), if a woman or man who has obtained judicial separation and lives separately does not live together with his/her son or daughter, such man or woman may adopt a son or daughter. Explanation: For the purposes of this Chapter and Chapter 9 of this Part, "judicial separation" means a situation where a person has taken a share

pursuant to a court order, lives separately pursuant to law, or is deemed to have separated. (3) Notwithstanding anything written in subsection (1) or (2), any person having a son or daughter may file a petition in the Amended by the Act Amending Some Nepal Acts Relating to the Civil Code, 2075. concerned District Court for adopting a son or daughter, stating his/her financial capacity to make arrangements for the maintenance, health, education, and care of other children; and if upon examining such petition the court finds that the petitioner has such capacity, the court may permit the petitioner to adopt a son or daughter. 172.

Persons who may adopt a son or daughter: (1) The following persons may adopt a child as an adopted son or daughter: - (a) A couple who has no son or daughter even after ten years of marriage, (b) An unmarried, widowed, divorced, or judicially separated woman who has completed the age of forty-five years and has no son or daughter, (c) An unmarried, widowed, divorced, or judicially separated man who has completed the age of forty-five years and has no son or daughter. (2) Notwithstanding anything written in subsection (1), the following persons shall not adopt a son or daughter: - (a) A person not of sound mind, (b) A person convicted by a court on a criminal charge involving moral turpitude, (c) A person who does not have the financial capacity to make arrangements for the maintenance, health, education, sports, recreation, and care of the minor. (3) If a spouse in a joint family adopts a son or daughter pursuant to this section, he/she shall obtain the consent of the other spouse. 173. Persons who shall not be given or taken as adopted son or daughter: (1) No one shall take or give the following persons as an adopted son or daughter: - (a) A person who has completed the age of fourteen years, (b) A person who is the only son or daughter (of the biological parents): Provided that this provision shall not apply in the situation under subsection (3) of section 175. (c) A person who has once been taken as an adopted son or daughter: Provided that this provision shall not apply if the adoption has been annulled pursuant to law. (d) A person who is of an ascendant relationship to the person adopting, (e) A non-Nepali citizen. Provided that the provisions of this clause shall not apply in the case of a non-resident Nepali citizen who has obtained foreign citizenship. (2) Notwithstanding anything written in clause (a) of subsection (1), a person within three generations of relationship, or a son or daughter from the wife's former husband, may be adopted as a son or daughter even if he/she has exceeded the age of fourteen years. 174. Age difference between adopting person and adopted son or daughter: (1) There shall be a minimum age difference of twenty-five years between the person becoming the adopted son or daughter and the person adopting him/her. (2) Notwithstanding anything written in subsection (1), the age restriction shall not apply when adopting a person within three generations of relationship. 175.

Consent required for adoption: (1) When any person adopts a child as an adopted son or daughter, written consent shall be obtained from both the father and mother of such child if both are alive, and from the surviving father or mother if only one of them is alive. (2) Notwithstanding anything written in subsection (1), if the father and mother are separated due to termination of marital relationship or judicial separation, when adopting a child living with the father or mother according to the consent given at the time of such termination or separation, the consent of the father or mother with whom the child lives shall be obtained. (3) Notwithstanding anything written in subsection (1), if the parents are not traceable, are not alive, or even if the parents are alive but the father or mother has remarried and such child is being maintained or cared for by some other person or institution, such child may be adopted with the written consent of the person or institution providing such maintenance or care. (4) When adopting a child who has attained the age of ten years pursuant to subsection (1), (2), or (3), the written consent of the child himself/herself shall also be obtained. (5) The written consent pursuant to subsection (4) shall be given by the concerned child in the presence of the father, mother, or the guardian or custodian exercising maternal or paternal authority. (6) Before obtaining consent pursuant to this section, the person giving the child for adoption, the guardian or

custodian, and the child shall be informed about the meaning, legal status, and consequences of adoption. (7) While obtaining consent pursuant to this section, no financial inducement shall be made, and such consent shall be given voluntarily. 182. Duties of adopted son or daughter: The duties of an adopted son or daughter shall be as follows: - (a) To make arrangements for the maintenance, health, and care of the person adopting him/her according to his/her honor and capacity, as if for his/her own father or mother, (b) To protect, care for, and properly manage the property of the person adopting him/her, (c) To protect the rights and interests of the person adopting him/her. 183. Facility of meeting and correspondence to be provided: The person adopting an adopted son or daughter shall provide the adopted son or daughter with the facility to meet and correspond with his/her biological parents from time to time. 184. Adoption to be void: If any person adopts a son or daughter contrary to sections 171, clauses (a) and (b) of subsections (1) and (2) of section 172, sections 173, 174, and 175, such adoption shall be automatically void. 185.

Annulment of adoption may be obtained: (1) If the person adopting an adopted son or daughter fails to fulfill the duties pursuant to section 181, the adopted son or daughter may obtain annulment of the adoption. Provided that if such adopted son or daughter has already taken a share, annulment shall not be obtained. (2) The person adopting an adopted son or daughter may obtain annulment of the adoption in any of the following circumstances: - (a) If the adopted son or daughter fails to fulfill the duties pursuant to section 182, (b) If the adopted son or daughter expels him/her from the home or inflicts physical or mental torture repeatedly, (c) If the adopted son or daughter misuses his/her property, (d) If, without obtaining his/her consent, the adopted son or daughter lives separately for a period of three years or more. (3) The provisions of clauses (a) and (d) of subsection (2) shall not apply in the case of a married adopted daughter. 186. Termination of adoption: (1) If an adoption is void or annulled pursuant to section 184 or 185, the relationship between the person adopting and the person becoming the adopted son or daughter shall be deemed to have ended. (2) If the relationship between the person adopting and the person becoming the adopted son or daughter ends pursuant to subsection (1), the rights, powers, and duties vested in the latter as an adopted son or daughter shall also cease. Provided that this shall not affect any facility already enjoyed, right already acquired or used, or duty already performed during the period the adoption remained in effect. 187. Limitation period: A person aggrieved by any act or proceeding done pursuant to this Chapter may institute a lawsuit within one year from the date of such act. Chapter 9 Provisions Relating to Inter-country Adoption 188. Deemed inter-country adoption: If any foreigner accepts as an adopted son or daughter a minor who is a Nepali citizen or a foreigner residing in Nepal, it shall be deemed an inter-country adoption. 189.

Adoption not allowed without permission: (1) No foreigner shall, without the permission of the Government of Nepal, take any child of a Nepali citizen or a foreigner residing in Nepal as an adopted son or daughter. (2) The Government of Nepal shall, by publishing a notice in the Nepal Gazette, permit only citizens or couples of countries that have been opened for inter-country adoption in Nepal to adopt a son or daughter pursuant to this Chapter. 190. Best interest of the child to be ensured while giving for adoption: (1) Before permitting a foreigner to adopt a son or daughter pursuant to this Chapter, the Government of Nepal shall consider the best interest of the child, the protection of his/her human rights, and whether such child is likely to be subjected to abduction, trafficking, or any other form of exploitation. (2) While considering pursuant to subsection (1), permission for adoption pursuant to this Chapter shall be given only if it is deemed appropriate to allow a child to be adopted by a foreigner. 191. Children who may be given as adopted son or daughter: The following children who have resided in a children's home for at least six months may be given to a foreigner as an adopted son or daughter: - (a) An orphan child whose both father and mother are dead and who is not under anyone's care, (b) A voluntarily relinquished child.

Explanation: For the purposes of this Chapter, -

(1) "Children's home" means child welfare homes and orphanages established pursuant to law for the purpose of protecting the rights and interests of children, and includes children's homes or nursery schools established by the Government of Nepal.

(2) "Orphan minor" means any of the following children certified as orphan by the District Administration Office: -

- (a) A child found abandoned by the police and whose father or mother is not found,
- (b) A child abandoned in a hospital or health institution,
- (c) A child whose father and mother are not traceable,
- (d) A child whose both father and mother are dead and who has no property for maintenance.

(3) "Voluntarily relinquished child" means any of the following children who have been handed over to a children's home through the District Administration Office by the following persons, with a deed stating that they are unable to make arrangements for the maintenance, education, and training of the child: -

- (a) In the case of a child whose father is dead or missing and whose mother has remarried, such mother,
- (b) In the case where more than one child is born and the father is dead, missing, or not of sound mind, and the mother is unable to maintain or provide education and training to such child due to financial reasons, the mother of such child,
- (c) In the case where more than one child is born and the mother is dead or not of sound mind, and the father is unable to maintain such child due to financial reasons, the father of such child,
- (d) In the case of an orphan child with no property, the guardian or custodian. 192.

Foreigner who may adopt a son or daughter: (1) The following foreigners may be permitted to adopt a child of a Nepali citizen or a foreigner residing in Nepal as an adopted son or daughter: - (a) A couple who has no son or daughter even after ten years of marriage, (b) An unmarried, widowed, divorced, or judicially separated woman who has completed the age of forty-five years but has not exceeded fifty-five years and has no son or daughter, (c) An unmarried, widowed, divorced, or judicially separated man who has completed the age of forty-five years but has not exceeded fifty-five years and has no son or daughter. (2) Notwithstanding anything written in subsection (1), the following foreigners shall not be permitted to adopt a son or daughter: - (a) A person not of sound mind, (b) A person convicted by a court in Nepal or the concerned country on a criminal charge involving moral turpitude. (3) Notwithstanding anything written in subsection (1), if the law of a foreign country allows its citizen to adopt more than one child as son or daughter, such person may adopt a son or daughter even if he/she already has sons or daughters. (4) Notwithstanding anything else written in this section, a person from a country that prohibits Nepali citizens from adopting a son or daughter, or that discriminates the rights of adopted sons or daughters from those of natural born sons or daughters, shall not be able to adopt a son or daughter from Nepal. 193. Provision relating to Inter-country Adoption Board: (1) For the purpose of recommending permission for a child to be adopted by a foreigner pursuant to this Chapter, the Government of Nepal may, by publishing a notice in the Nepal Gazette, establish an Inter-country Adoption Board or designate any government body to function as the central body.

Explanation: For the purposes of this Chapter, "Board" means the Inter-country Adoption Board and also includes the government body designated to perform such work.

(2) While constituting the Board pursuant to subsection (1), it shall include at least one child rights activist who has worked in the field of child rights for at least fifteen years.

(3) In addition to the duties, functions, and powers written elsewhere in this Chapter, the other duties, functions, and powers of the Board shall be as follows: -

(a) To formulate policies on inter-country adoption and recommend them to the Government of Nepal,

(b) To coordinate among various bodies on matters relating to inter-country adoption,

(c) To prevent undue financial and other benefits that may arise during adoption,

(d) To provide information on the status of adoption if requested by the central authority on adoption of other countries or other public bodies concerned,

(e) To prevent child abuse, exploitation, trafficking, abduction, or sale that may occur during adoption, and to protect Nepali children from any other practices that may cause harm to children,

(f) To recommend to the Government of Nepal for fixing fees to be charged for adoption,

(g) To specify the format for applications for adoption,

(h) To make arrangements for maintaining confidential records of the minor to be adopted, the biological parents, or the adoptive parents,

(i) To perform other necessary functions relating to inter-country adoption.

(4) The Board itself shall determine the procedures for its meetings and other functions. 194.

Application for adoption to be submitted: (1) A foreigner or couple qualified pursuant to section 192 who wishes to adopt a Nepali minor or a minor of a foreigner residing in Nepal as an adopted son or daughter shall submit an application to the Board through the Embassy of their country in Nepal, or if there is no such Embassy, through the Embassy designated for Nepal, or through the central body of the concerned country authorized to permit adoption, attaching the following documents: - (a) Birth registration certificate of the applicant, (b) Recent photograph of the applicant, (c) Copy of the applicant's passport, (d) Document proving marital status of the applicant, (e) Certificate from a licensed medical practitioner regarding the health of the applicant, (f) Certificate issued by a government body of the concerned country stating that the applicant is of good character and has not been convicted by a court on a criminal charge involving moral turpitude, (g) Documents proving the applicant's property and source of income, (h) Social, psychological, and home study report, (i) Age, gender, and other details of the child sought to be adopted, (j) Letter of consent from the government of the applicant's country allowing him/her to adopt a child from Nepal, (k) A guarantee letter from the government of the applicant's country or its Embassy in Nepal or designated Embassy for Nepal stating that, according to the law of the applicant's country, the status of an adopted son or daughter shall be equivalent to that of a natural born son or daughter, (l) A guarantee letter from the government of the applicant's country or its Embassy in Nepal or designated Embassy for Nepal stating that the applicant is eligible to adopt according to the law of his/her country and has the financial capacity to bear all responsibilities including maintenance, health, education, and care of the minor to be adopted. (2) The documents pursuant to subsection (1) shall be written in English or translated into English or Nepali language

by an authorized body. (3) Upon examining the application received pursuant to subsection (1), if it is found suitable to give a child for adoption as requested by the applicant, the Board shall send the relevant details, keeping the name and address of the applicant confidential, to the Selection Committee. (4) While submitting an application pursuant to subsection (1), the application fee as determined by the Government of Nepal on the recommendation of the Board shall be paid. 195.

Provision relating to Selection Committee: The Government of Nepal shall, by publishing a notice in the Nepal Gazette, constitute a Selection Committee for the purpose of selecting the applicant and the minor and recommending to the Board as to which minor is suitable to be given as an adopted son or daughter to which foreign person or couple. 196. Selection and recommendation of applicant and child: The Selection Committee shall, on the basis of the application received pursuant to subsection (1) of section 194 and the details of the minors available according to the attached documents, determine which type of minor is suitable to be given as an adopted son or daughter to which applicant, taking into account the applicant's request, and recommend the names of the applicant and the minor to the Board. 197. Permission for adoption: (1) Upon examining the recommendation received from the Selection Committee pursuant to section 196, if it is deemed appropriate to give the recommended minor to the foreigner as an adopted son or daughter, the Board shall make a recommendation to that effect to the Government of Nepal. (2) Upon examining the recommendation made by the Board pursuant to subsection (1), (6) If the situation of a Nepali minor taken as an adoptive son or adoptive daughter does not improve following the attention drawn pursuant to sub-section (5), the Government of Nepal shall, in the future, publish a notice in the Nepal Gazette and remove such country's citizens from the list of countries open for inter-country adoption of an adoptive son or adoptive daughter in Nepal. 202. Who May File a Case: On the ground that proper nourishment, health, education, and care have not been provided to a minor who has become an adoptive son or adoptive daughter, the minor who is to become an adoptive son or adoptive daughter may file a case in the court of the concerned country to annul the adoption within one year from the date on which the minor attains majority, or, at the request of the Nepali Embassy or Consulate in the country where the adoptive son or adoptive daughter resides, or of the Government of Nepal, from the date on which such arrangement was not made by the person keeping the adoptive son or adoptive daughter, by the body handling matters related to adoptive sons or adoptive daughters of the concerned country. 203.

Provisions of the Code to Apply: (1) The provisions made in Sections 173, 174, 175, 178, 179, 180, 181 and 183 regarding an adoptive son or adoptive daughter shall also apply in the case of an adoptive son or adoptive daughter kept by a foreigner pursuant to this Chapter. (2) The provision of Section 191 shall not apply in relation to keeping a minor child of a foreigner residing in Nepal as an adoptive son or adoptive daughter. (3) To implement the provisions of this Chapter, the Government of Nepal may, upon the recommendation of the Board, prepare necessary directives. 204. Limitation Period: In respect of filing a complaint under this Chapter, if a separate limitation period is prescribed, it shall be according to that; and if no such limitation period is prescribed, a person aggrieved by any act or action done under this Chapter may file a complaint within one year from the date of such act or action. Chapter-10 Provisions Relating to Partition 205. Persons Considered as Coparceners: For the purpose of partitioning joint family property, subject to the other sections of this Chapter, the husband, wife, father, mother, son, and daughter shall be considered as coparceners. 206. Entitled to Equal Share: (1) Every coparcener shall be entitled to an equal share. (2) If, at the time of partition, any female coparcener is pregnant, and the child to be born by her is to be a coparcener, the child so to be born shall also be considered an equal coparcener, and partition shall be made only after setting aside the share of such child. (3) If the pregnant woman under sub-section (2) does not give birth to a living child, the share set aside for such child shall be taken equally by the other

coparceners. 207. Sons and Daughters Born to Couples Whose Marital Relationship Has Ended to Get Share: Sons and daughters born to couples whose marriage could not legally take place, is not considered a marriage, or whose marital relationship has ended, shall get a share from such father and mother. 208. Getting Share from Mother: (1) Sons and daughters whose father is unidentified shall get a share only from the mother's property. (2) A wife kept out without public knowledge, or sons and daughters born from her, shall not be entitled to claim a share after the death of the husband or father. 209.

Getting Share from Father's or Husband's Portion: (1) Sons and daughters or the wife of brothers living in joint family shall get a share only from the portion of their father or husband. (2) If the husband or father-mother die before partition, the share they would have received shall be taken by their wife or sons and daughters. (3) If a person has more than one wife, they shall get a share only from the husband's portion. 210. Later Wife or Offspring to Get Share from Husband's or Father's Portion: (1) If a person, after having partitioned and separated from his wife, sons and daughters, or after reuniting his share with the separated one and living together, marries another woman, or if sons and daughters are born from the wife so married, such wife or sons and daughters shall get a share only from the portion of the husband or father. (2) Notwithstanding anything written elsewhere in this Chapter, if a person whose wife is alive marries another woman before partition, he shall, after setting aside the shares of other coparceners, give a share to the woman so married from the share he himself receives. 211. Who May Take Share: (1) The husband, wife, father, mother, son, and daughter having joint family property must provide food and clothing to the wife, husband, son, daughter, father, and mother according to their honor and income, and make arrangements for education and health treatment according to financial capacity. (2) If a person having the obligation to fulfill the arrangement under sub-section (1) does not fulfill such obligation, the coparcener may take his or her share and separate. 212. May Separate at Any Time: (1) If there is mutual consent among the coparceners, they may take their shares and separate at any time. (2) If it appears suitable for all coparceners to partition and live separately rather than living in one family, the person who is the husband, father, mother, or the person managing the household can partition and separate at any time. Explanation: For the purposes of this Code, "person managing the household" means a person who is the head of the household managing it, or a person responsible for running the household by farming, trading, business, or doing any other work in various places while living in joint family, who has attained the age according to law. 213.

Husband or Wife May Take Share and Separate: Notwithstanding anything written in Section 211, a husband or wife may take his or her share and separate at any time in any of the following circumstances:- (a) If the husband or wife has expelled the wife or husband from the home, (b) If the husband or wife has subjected the wife or husband to physical or mental torture. 214. Widow May Take Share and Separate: (1) Notwithstanding anything written elsewhere in this Chapter, a widow may take her share and separate at any time. (2) If a widow remarries, the property she received as her share shall be taken by the sons and daughters from her previous husband, if any; and if there are none, she herself may take it. 215. May Renounce Share: (1) Any coparcener may renounce his or her share, partially taking or not taking the share, or taking only some cash or kind as the share. (2) While renouncing the share under sub-section (1), if the coparcener has a husband, wife, or adult sons or daughters, the share can be renounced only with the consent of such husband, wife, or sons or daughters. Provided that the share right of a minor coparcener shall not be renounced. (3) If a share is renounced under sub-section (1), it shall be considered as if the share was taken. (4) While renouncing a share or receiving a share, the coparcener must be present in person. Provided that if he or she is unable to be present, he or she must appoint an authorised representative for that purpose in accordance with law. 216. Partition to be Made: (1) While partitioning joint family property, subject to this Chapter, a partition deed shall be made in writing among the coparceners. (2)

While making partition under sub-section (1), the joint family property and joint family debts shall be partitioned in such a way that there is no excess or deficit.

Explanation: For the purposes of this Chapter, "joint family debt" means a debt incurred by the person managing the household, or by a person who has reached the age who, with the consent of all coparceners, has taken a loan or conducted business while living in joint family for farming, trade, or any other work in various places, or a debt incurred in a transaction where there is written consent of such person for a transaction done by other adult persons of the joint family.

(3) While partitioning, after mixing good and bad, partition shall be made according to the consent of the coparceners; and if consent cannot be reached, by lottery.

(4) If there is a dispute over any property during partition, partition shall be made after such dispute is resolved. Provided that if such dispute is likely to take a long time to resolve, other property may be partitioned leaving aside the disputed property. 217. Matters to be Specified in the Partition Deed: The following matters shall be specified in the partition deed:-

(a) Name, surname, age, address of the coparceners, and the names of their mother, father, and grandparents,

(b) Property to be received by the coparceners,

(c) If any debt or liability lies in the name of a coparcener, the amount of such debt or liability,

(d) If any coparcener is to live with other coparceners after partition, that fact,

(e) That no property to be partitioned has been concealed or hidden by any coparcener,

(f) Details of any property that, after the death of the father-mother or husband-wife, is to be taken only by a particular coparcener,

(g) If any coparcener's share is to remain in the custody of someone, that fact,

(h) Other necessary matters. 218. Partition Deed to be Registered: (1) While making partition, a partition deed shall be prepared, witnesses shall be kept, and the witnesses and coparceners shall sign or thumbprint the deed, and it shall be registered with the concerned office after completing the legal formalities.

(2) Notwithstanding anything written in sub-section (1), if before 27th Poush 2034 B.S., a partition deed was executed or not executed among some coparceners, and partition was made amicably after adjusting rough and smooth, and the parties have already taken and given possession according to their respective shares and have done entry and deletion, or if they have separately enjoyed or sold or transacted the immovable property of their share according to the partition, even if the partition deed is not registered, the partition shall be considered to have taken place. 219.

Property Not to be Given Without Partition: (1) The person managing the household shall not give the joint family property, without partition, only to any coparcener who has not taken a share and is entitled to it. Provided that, (1) With the consent of all coparceners, any property may be given to any coparcener. (2) Property up to the extent falling in one's own share may be given to any coparcener even without the consent of other coparceners. (2) When partition is made under this Chapter, the property given to any coparcener pursuant to clause (1) of the proviso of sub-section (1) shall be accounted for in the share he or she is to receive, and the other property shall be partitioned accordingly. 220. Complaint to be Filed with Schedule of

Property: (1) If any coparcener wants to separate by getting his or her share set aside, he or she shall file a complaint mentioning the date of separation of mess, specifying the schedule of property and debts to be partitioned that exist in his or her name and, as far as known, in the names of other coparceners. Explanation: For the purposes of this section, "date of separation of mess" means the following date or day:- (a) The date mentioned in the deed of separation of mess, (b) If there is no deed of separation of mess, the date on which consent regarding the separation of mess was established among the coparceners, (c) If consent is not established among the coparceners under clause (b), the day before the complaint was filed, (d) In the case of a married daughter, unless otherwise agreed, the day of her marriage. (2) If a deed of separation of mess exists only among some coparceners, such deed shall be effective only from the date it is registered. (3) If the person filing the complaint under sub-section (1) is unable to submit the schedule of property, the reason thereof shall also be mentioned. (4) If a complaint is filed under sub-section (1), the concerned person shall also submit, at the time of filing the written statement in court, a schedule of property and debts existing in his or her name, specifying whether or not the complainant is entitled to a share, and if consent to give a share is given. 221.

Matters to be Specified in the Schedule: (1) While submitting the schedule of property under this Chapter, the following details shall be specified:- (a) Location of land, plot number, area, and estimated value, (b) If there is a house, the location, plot number, area, type of house (kawal, nal, floor, kachhi-pakki), and its estimated value, (c) If there is movable property, its description and estimated value, (d) If there is cash, its details; if there is bank balance, shares, debentures, treasury bills, details thereof, (e) If there are livestock, their description and estimated value, (f) If there is gold, silver, jewellery, their description and estimated value, (g) If there is a vehicle, its description and estimated value, (h) If there is other property not mentioned in clauses (a) to (g), the description and estimated value of such property. (2) If the value of any property under sub-section (1) is not disclosed, or if there is a dispute regarding the value, the court shall, in the case of immovable property, take as basis the value fixed by the Land Revenue Office, and in the case of movable property, the prevailing market value. 222. Partition to be Made After Taking Schedule: (1) If it appears from the complaint or written statement filed under Section 220 that partition is to be made, and if the schedule of property is submitted along with the complaint or written statement, the court shall take an undertaking from the coparceners stating that this is the property to be partitioned and nothing has been concealed or hidden, and shall make the partition. (2) If the schedule of property is not submitted along with the complaint or written statement, the court shall fix a deadline and call for the schedule of property from the coparceners; and if the coparceners submit the schedule of property within the fixed deadline, the court shall take an undertaking from the coparceners under sub-section (1) and make the partition. 223. Partition to be Made Based on the Schedule Received: (1) If a person required to submit the schedule of property under Section 222 does not submit it within the deadline, or if he or she fails to submit a written statement and lets the deadline pass, the court shall make partition based on the schedule of property submitted by the other coparcener. (2) If partition is made under sub-section (1), no complaint may be filed stating dissatisfaction with the share. (3) Notwithstanding anything written in sub-section (2), if property not disclosed in the schedule submitted by a coparcener is later discovered and a complaint is filed for its partition, the court shall make partition of such property. 224.

May Open Locks and Take Schedule of Property: If a person required to submit the schedule of property fails to do so, necessitating the unlocking of the house in his or her custody to take the schedule, the court may, in the presence of at least two persons including, if the coparcener having the key is available, him or her, and if not, the person claiming the share and a representative of the concerned ward of the local level, open the lock of the house, prepare an inventory of available property, and take the schedule of property. 225. Partition

to be Made When Schedule is Brought: (1) If a person required to submit the schedule of property does not submit it, or fails to submit a written statement and lets the deadline pass, and the person claiming the share is also unable to submit the schedule of property, the court shall record the same fact, take an undertaking from the complainant, and keep the case in abeyance, with the partition to be made when the schedule is later submitted. (2) If the case is kept in abeyance under sub-section (1) and the complainant later submits an application with the schedule, the court shall make partition among the coparceners in accordance with law from the same file. 226. Not to Conceal or Hide Property: (1) No one shall conceal or hide property that is to be partitioned. (2) If, during partition or when the court calls for the schedule of property, it is later proved that any coparcener has concealed or hidden property in his or her name that is subject to partition, the person concealing or hiding such property shall not be entitled to take it. (3) The property concealed or hidden under sub-section (2) may be taken by other coparceners after apportioning their shares. 227. Compensation of Share to be Made: If any coparcener is unable to enjoy any property that has fallen to his or her share because he or she is not legally entitled to it, property of equal value shall be compensated proportionately from all coparceners. 228. Not to Exchange Shares: Except with mutual consent among the coparceners, no coparcener may, after partition, show cause that the property received from partition has deteriorated, been destroyed, or is not liked, and exchange it with other coparceners. 229.

Partition of Mortgaged Property: (1) If it appears that any coparcener has mortgaged the property to be partitioned, the court shall, if all coparceners consent, redeem such property from the joint family property or make partition in a way that the responsibility to redeem it is fixed. (2) If all coparceners cannot consent under sub-section (1), and if it is known that the person managing the household has mortgaged the property to be partitioned, or that other adult persons of the same household have mortgaged it with the signature of the person managing the household, the court shall redeem such property from the joint family property or make partition in a way that the responsibility to redeem it is fixed. (3) In circumstances other than those mentioned in sub-section (1) or (2), if it is known that any coparcener has mortgaged the property to be partitioned, the court shall redeem such property from the share of such coparcener or make partition in a way that the responsibility to redeem it is fixed. 230. May Attach Property or Income Until Partition: If the complainant in a partition case appears entitled to a share, and after the schedule of property has been submitted, the complainant applies to the court to attach property up to the extent of his or her likely share, or the income from such property, the court may, after completing legal formalities, attach such property or its income until partition is made. 231. Partition to be Made with Provision for a Path or Exit: While making partition, if a house or land falling to a coparcener has no path or exit for access, and it is possible to give such coparcener a path or exit from the land of other coparceners, the partition shall be made in such a way that the concerned coparcener provides a path or exit to such house or land. 232. Not to Assign Debtor in Partition Without Creditor's Consent: (1) While making partition, without the consent of the creditor, partition shall not be made in such a way that only one coparcener bears the responsibility for paying the joint family debt. (2) Even if a particular coparcener is made responsible for paying the joint family debt contrary to sub-section (1), if the creditor does not consent, the joint family debt shall be equally divided among all coparceners. 233.

Compensation to be Paid if Person Not Entitled Files Suit: If a person not entitled to a share files a suit claiming a share and it is determined as such, the court shall, if the loss (bigo) is ascertainable from the file, make the complainant pay to the defendant the amount of loss, and if the loss is not ascertainable, a reasonable compensation amount considering the complainant's status. 234. May Order Payment of Share, Amount or Expenses: (1) If a person entitled to receive a share, amount, or expenses from any person under a judgment files an application in the court of first instance that rendered the judgment for not receiving the share, expenses, or amount, and if the parties are the same, the court shall, as far as possible, order the

payment of the share, expenses, or amount in accordance with the judgment as soon as possible. (2) If the share, expenses, or amount under sub-section (1) is not given, reasonable compensation shall also be ordered to be paid by the person liable to give the share, expenses, or amount to the applicant. 235. Limitation Period: A person aggrieved by any act or action done under this Chapter may file a complaint as follows:- (a) In the case where partition has not been made at all, or where a deed of partition (goswara) exists and both parties have enjoyed the property after accounting even without a deed, at any time, (b) In the case of dissatisfaction with a partition, within three months from the date of such partition, (c) In the case of concealment or hiding of property, as long as the coparcener is alive, (d) In other circumstances not mentioned in clauses (a), (b), and (c), within six months from the date of such act or action. 236. Considered as Partition Made: (1) Any partition made according to law before the commencement of this Code shall be considered as a partition made under this Code. (2) Notwithstanding anything written in sub-section (1), if a person has already taken something as a share (jiumi) before the commencement of this Code, he or she shall be considered to have taken a share. Chapter-11 Provisions Relating to Inheritance (Aputali) 237. Considered as Inheritance Opened: Upon the death of a person, his or her inheritance shall be considered to have opened. Explanation: For the purposes of this Chapter, "inheritance (aputali)" means the act of transferring the debts, assets, and property-related obligations and rights of the deceased to the legal heirs according to law. 238. Heir to Receive Inheritance: Upon the inheritance of a person opening, the nearest heir of that person shall receive such inheritance. 239.

Order of Priority of Heirs Entitled to Inheritance: (1) Subject to the other sections of this Chapter, the order of priority of the nearest heir entitled to inheritance shall be as follows:- (a) Husband or wife of the joint family, (b) Son, daughter, widowed daughter-in-law of the joint family, (c) Father, mother, stepmother, grandson and granddaughter from son's side, granddaughter-in-law of the joint family, (d) Husband, wife, son, daughter, father, mother, stepmother who are separated, (e) Grandson and granddaughter from the side of a separated son, (f) Separated grandfather, grandmother, (g) Great-grandfather, great-grandmother, elder brother, younger brother, elder sister, younger sister, widowed elder brother's wife or younger brother's wife of the joint family, (h) Uncle, aunt, nephew, niece of the joint family, (i) Separated elder brother, younger brother, elder sister, younger sister, widowed elder brother's wife or younger brother's wife. (2) At the time of opening of a person's inheritance, if there is a person in the first order of priority under sub-section (1), a person in a subsequent order of priority shall not receive the inheritance. (3) If there is more than one heir in the same order of priority under sub-section (1), all of them shall receive the inheritance equally. (4) If any heir in the order of priority under sub-section (3) does not wish to take the inheritance, other heirs in the same order, and if no heir in that order wishes to take the inheritance, the heir in the next order shall receive the inheritance. 240. Distant Heir to Receive Inheritance: If a person who is a near heir has taken his or her share and is living with a distant heir, and upon his or her death the inheritance opens, such inheritance shall be received by the heir living with him or her. 241. Heir Providing Care to Receive Inheritance: If a near heir does not provide care to a person, but a distant heir provides care, the inheritance of that person shall be received by the heir providing such care. 242.

Separated Heir to Receive Inheritance: (1) If a person, not being cared for by the heir of the joint family, goes to live with a separated heir after taking his or her share, and dies, his or her inheritance shall be received by such separated heir. (2) Notwithstanding anything written in sub-section (1), if a person goes to live with some heir only for a few days without taking any of his or her share, and dies, the heir with whom he or she later went to live shall not receive the inheritance. 243. Person Providing Care to Receive Inheritance: Notwithstanding anything written elsewhere in this Chapter, if the heir does not care for the deceased but another person does, such inheritance shall be received by the person providing such care. 244. Not

Compulsory to Accept Inheritance: (1) Notwithstanding anything written elsewhere in this Chapter, no person shall be compelled to accept an inheritance. (2) If a person does not accept the inheritance, he or she shall give written notice of that fact to the concerned District Court within three years of the inheritance opening. (3) If the inheritance is not accepted within the period under sub-section (2), such inheritance shall be considered to have passed to other heirs in the subsequent order of priority. (4) Even if an heir does not accept the inheritance under sub-section (1), he or she shall perform the final rites of the deceased according to customs and traditions. 245. **Not to Receive Inheritance:** Notwithstanding anything written elsewhere in this Chapter, if any person, out of any grudge, enmity, or mala fide intention to receive the inheritance, takes or causes to take the life of another, Amended by the Act to Amend Some Nepal Acts Relating to the Muluki Civil Code, 2075. the person taking or causing to take the life, and his or her heir, shall not receive the inheritance of the deceased or his or her heir. 246.

Duties and Rights of Person Receiving Inheritance: (1) The duties and rights of the person receiving inheritance shall be as follows:- (a) To perform or cause to perform the final rites and mourning period (kiriya) of the deceased according to customs and traditions, (b) To pay the debts taken by the deceased to the creditors, and (c) To have the right over the debts given by the deceased and the property invested. (2) If the final rites and mourning period of a deceased person are performed by a person other than the person receiving the inheritance, the person receiving the inheritance shall give to the person performing the final rites and mourning period the expenses incurred in performing them, plus an additional twenty-five percent of such expenses. Provided that if a person had the final rites and mourning period performed through another person instead of doing it himself or herself, only the actual expenses incurred in performing such final rites and mourning period may be given. 247. **Creditor May Recover Debt:** If a person's inheritance opens and he or she has creditors, such creditors may recover the debt and liability from the person receiving the inheritance. Provided that the person receiving the inheritance shall not be obliged to pay debt and liability exceeding the deceased's property. 248.

Inheritance Property to Belong to Local Level: (1) If a person's inheritance opens and he or she has no heir, or even if there is an heir, if such heir does not accept the inheritance, after deducting the expenses incurred for the final rites and mourning period of the deceased, and if there are creditors, after paying their amounts, if any property remains, such property shall belong to the concerned local level. (2) If a person dies and there is no heir and there is property, the person performing the final rites or keeping the accounts shall immediately give notice of that fact to the concerned local level. (3) Upon receipt of notice under sub-section (2), the local level shall, keeping at least two local persons as witnesses, prepare an inventory of the deceased's property and send one copy thereof with the report (muchulka) to the concerned district-level administrative office. (4) Upon receipt of the inventory with the report under sub-section (3), if the address of the deceased is known, such office shall send notice according to law to the heir of the deceased to come and take the deceased's property within three months. (5) If no heir accepts the property under sub-section (1), or if the heir of the deceased does not appear within the period under sub-section (4), or if the address of such heir is not found, such office shall publish a notice in a national-level newspaper stating that any heir of the deceased should come to claim the deceased's property within thirty-five days. (6) If an heir of the deceased appears within the period under sub-section (5), after deducting the expenses incurred for the final rites of the deceased or giving such expenses to the person performing the final rites, and taking ten percent of such property, the remaining property shall be returned to the concerned heir. (7) If no heir of the deceased appears within the period under sub-section (5), or if his or her address is not found, after giving the expenses incurred for the final rites of the deceased to the person performing the final rites, the remaining property shall belong to the concerned local level. (8) The property received by the local level under

sub-section (1) or (7) shall be entrusted to the local level by the concerned heir or the office under sub-section (3) in accordance with law. (9) The local level shall use the property received under this section for public benefit.

249. Inheritance of Property of a Foreigner Dying within Nepal: (1) If a foreigner dies within Nepal and has no heir within Nepal, but there is property, the person performing the final rites or keeping the accounts shall immediately give notice of that fact to the nearest local level.

(2) Upon receipt of notice under sub-section (1), the local level shall, keeping at least two local persons as witnesses, prepare an inventory of the deceased's property and send one copy thereof with the report to the concerned district-level administrative office.

(3) Upon receipt of the inventory with the report under sub-section (2), such office shall immediately inform the Federal Ministry of Home Affairs.

(4) Upon receipt of the notice under sub-section (3), the Federal Ministry of Home Affairs shall, through the diplomatic channel of the concerned country, send notice according to law to the heir of the deceased to come and take the deceased's property within four months.

(5) If a citizen of a country with which Nepal has no diplomatic relations dies and the details under sub-section (3) are received, the Federal Ministry of Home Affairs shall, within six months, publish a notice in a national-level daily English-language newspaper for taking such property, and such notice shall also be placed on the website of the Federal Ministry of Home Affairs.

(6) If an heir of the deceased appears within the period under sub-section (4) or (5), after deducting the expenses incurred for the final rites of the deceased or giving such expenses to the person performing the final rites, and collecting a fee of ten percent of the value of such property, the remaining property shall be returned to the concerned heir.

(7) If no heir of the deceased appears within the period under sub-section (4) or (5), or if his or her address is not found, after giving the expenses incurred for the final rites of the deceased to the person performing the final rites, the remaining property shall belong to the local level.

(8) The property received by the local level under this section shall be used only for public benefit. 250. Limitation Period: In this Chapter, where a limitation period is written elsewhere, a complaint may be filed within that limitation period; otherwise, within three years from the date the inheritance opened. Part-4

Property Law

Chapter-1

General Provisions Relating to Property

251. Considered as Property: Any cash, goods, or action that can be consumed, purchased, sold, or otherwise have its right transferred or transacted, or from which any benefit can be obtained, shall be considered as property. Explanation: Unless otherwise provided in this Code, "goods" means physical property that can be bought and sold. 252.

Property Considered as Movable or Immovable: Whether existing in a physical or non-physical, tangible or intangible state, property shall be considered as movable or immovable. 253. Considered as Immovable Property: (1) The following property shall be considered as immovable:- (a) House or land or a structure attached to it, (b) Any object permanently affixed to a house or land, (c) Mines, stones, or mineral substances

attached to land, (d) Water in its natural form, surface water and underground water, (e) Houses or other structures permanently built to float on rivers, lakes, ponds, (f) Trees, plants, or fruit plants standing on land, or the fruits or flowers grown on such trees, plants, or fruit plants, crops grown on land, (g) Any movable property attached to immovable property. (2) Notwithstanding anything written in sub-section (1), if any structure, object, or part thereof attached or affixed to immovable property becomes or is separated from the immovable property in any way, the structure, object, or part so separated or caused to be separated shall be considered movable property. 254. Considered as Movable Property: The following property shall be considered as movable:- (a) Cash or objects transacted as cash, or foreign currency, (b) Gold, silver, jewellery, gems, ornaments made of gold and silver, or precious stones, (c) Other objects, other than those in clause (a) or (b), that can be transported from one place to another, (d) Debentures, securities, promissory notes, bills of exchange, letters of credit, or other negotiable instruments, or the benefit derived from them, (e) Intellectual property, (f) Rights in mortgage, (g) Business goodwill or franchise, (h) Property other than immovable property. 255. Classification of Property on Basis of Ownership: The classification of property based on ownership and the nature of its use shall be as follows:- (a) Private property, (b) Joint family property, (c) Joint property, (d) Community property, (e) Public property, (f) Government property, (g) Guthi (trust) property. 256.

Considered as Private Property: (1) Any property in the name of a person, or property increased or augmented from it, shall be considered as that person's private property in the following circumstances:- (a) Acquired through one's own knowledge, skill, or effort, (b) Received as donation, gift, or inheritance, (c) Received as lottery or prize, (d) Received as remuneration, gratuity, pension, medical expenses, provident fund, insurance, or other social security, (e) Received as intellectual property or royalty, (f) When separated by mess according to law and living separately, or even when not separated by mess but living and eating with separate profit and loss, acquired in any manner, (g) Property acquired by a woman before marriage, received, or received from her parental home at the time of marriage, or property increased or augmented from it, (h) Movable or immovable property given to a woman by the consent of the husband and all coparceners from the husband's side by a deed granting her exclusive right, or property received from relatives or friends on the husband's side, and property increased or augmented from it, (i) Property specified by law as being only the private property of a person. (2) Any person may dispose of his or her private property as he or she wishes, subject to this Code. 257. Considered as Joint Family Property: (1) Subject to Section 256, any of the following property, even if in the name of any of the coparceners of the joint family, or property increased or augmented from it, shall be considered as joint family property:- (a) Property received from ancestry, (b) Other property in the name of a coparcener other than private property, (c) Property acquired by a coparcener from joint family farming, industry, trade, business, or increased or augmented from it. (2) Except where separated according to law, property earned by the husband or wife, or increased or augmented from it, shall be the joint family property of the husband and wife. (3) Notwithstanding anything written elsewhere in this Chapter, for the purpose of partition between father-mother and sons-daughters, property acquired by the father and mother shall also be considered joint family property. (4) The use, transfer of rights, and other arrangements of joint family property shall be in accordance with other chapters of this Code. 258.

Considered as Joint Property: (1) Property in the name of two or more persons, other than coparceners of a single joint family, or property increased or augmented from it, shall be considered as joint property. (2) If there is a deed specifying the right or share of a person in the joint property, it shall be according to that; and if there is no mention in the deed, the persons holding such property shall be considered to have equal rights and shares. (3) The use, management, transfer of rights, and other arrangements of joint property shall be in

accordance with this Chapter and other 275. Limitation Period: A person affected by any act or action done under this Chapter may file a lawsuit within one year from the date on which he/she came to know of such act or action. Chapter-3 Provisions Relating to Enjoyment of Property 276. Not to Enjoy, Damage or Acquire the Property of Another: (1) No person shall enjoy the property of another person without his/her consent. (2) No person shall damage the property of any person by blocking the path or exit of another person, by doing any work or construction on the boundary of his/her own land, or in any other manner whatsoever. (3) No person shall acquire the property of another person without his/her consent. Provided that, the Government of Nepal may acquire the property of any person in accordance with law for the public interest. (4) No person shall enter the house compound of any person without his/her consent, except in accordance with law. 277. Property to be Inviolable: (1) No person shall encroach upon, usurp, or in any manner cause obstruction or trespass to the property of another person. (2) If any person, by doing any act pursuant to sub-section (1), takes possession of the property of another person, he/she shall be deemed to have caused obstruction or trespass to such property. 278. Protective Measures to be Adopted: When any person does any work on his/her own house or land, he/she must adopt protective measures ensuring that no harm, loss, or adverse effect is caused to the house, land, or neighbor of the adjacent owner in any manner. Provided that, except in cases where a neighbor is engaged in commercial business, ordinary gas, smell, smoke, or noise emanating from the use and enjoyment of one's own house or land shall not be deemed to cause harm, loss, or adverse effect to the house or land. 279.

Not to Build House on Another's Land without Consent: (1) No person shall build a house on the land of the owner without his/her written consent. (2) If any person builds a house on the land of the owner without his/her written consent, the landowner may, if he/she so wishes, purchase such house at a price up to twenty-five percent less than its market value. (3) If the landowner does not purchase such house pursuant to sub-section (2), the house owner may, with the consent of the owner, purchase the land on which such house is built by paying an additional price of up to twenty-five percent of the market value of such land. (4) If both parties do not agree to the purchase and sale of the house or land pursuant to sub-section (2) or (3), the person who built the house shall, within three months from the date of building such house, demolish the house and take away his/her materials. (5) If the house is not demolished within the period referred to in sub-section (4), such house shall vest in the landowner. 280. Land to be Left when Installing Windows: If any person or government body needs to build a house by installing windows or doors facing the land of the neighbor, the land shall be left in accordance with the standards prescribed by the concerned body. 281. Not to Drain Water from House or Chowk: No person shall drain water from his/her own house or chowk onto another person's house, land, or public road. 282. Not to Build Septic Tank Adjacent to Neighbor's Land: (1) No person shall build a septic tank adjacent to the land of the neighbor. (2) If any person has to build a septic tank on his/her own land, he/she must leave land at least in accordance with the standards prescribed by the concerned body, except where the neighbor's consent has been obtained for the direction of the neighbor's land. 283. Land to be Left when Digging Well or Spring: When any person digs a well or spring on his/her own land, he/she must leave land maintaining a distance of at least one meter from the neighbor's land. 284.

Not to Plant Trees or Plants that Cause Adverse Effect: (1) No person shall plant trees or plants in a manner that causes an adverse effect on the house, land, or any property of another person. (2) If a tree or plant planted by a person on his/her own land spreads and causes an adverse effect on the house, land, or other property of another person, the person who planted such tree or plant must cut the branches or roots of such tree or plant that cause adverse effect on others, so as not to cause damage to the house, land, or property of such other person. (3) If the person who planted the tree or plant does not cut the branches or roots of the tree or plant pursuant to sub-section (2), the person affected thereby may himself/herself cut the branches or

roots of such tree or plant. 285. Entitlement to Claim Compensation: If any person suffers damage due to any act or action done under this Chapter, the person affected by the damage may claim reasonable compensation from the person doing such act. 286. Limitation Period: A person affected by any act or action done under this Chapter may file a lawsuit within six months from the date on which he/she came to know of such act or action. Chapter-4 Provisions Relating to Land Cultivation, Possession and Registration 287. Not to Possess Another's Land: No person shall cultivate or possess or cause to possess the land belonging to the right, possession and ownership of another person without his/her consent. 288. Duty to Allow Construction of Canal: (1) If a person needs to construct a canal through the land of another person to cultivate land and requests the land, the concerned landowner shall provide land for constructing such canal from a place deemed appropriate. (2) In return for providing land for constructing a canal pursuant to sub-section (1), the person constructing the canal shall provide the concerned landowner with substitute land, an amount equivalent to the prevailing price of the land used for the canal, or reasonable compensation. (3) Notwithstanding anything contained in sub-section (2), if a canal is constructed on public or government land, no substitute land, land price, or compensation shall be provided for the land included in the canal. 289.

Not to Use Entire Water of River or Stream: No person shall use the entire water of a river or stream originating from or flowing through his/her own land in a manner that prevents the lower riparian landowner from using it, or that renders aquatic creatures in such river or stream unable to survive, or that is adverse to the environment. 290. Not to Construct New Canal Adversely Affecting Irrigated Field: No person shall construct a new canal upstream from an existing and operational canal in a manner that substantially reduces water supply to fields irrigated by the existing canal. 291. Use and Distribution of Canal Water: (1) The person who has contributed labor or expenses for the construction of a canal shall have the first priority to the canal water for the purpose of cultivating land. (2) Notwithstanding anything contained in sub-section (1), in a place where water has been used according to a customary share distribution from time immemorial, all persons shall have the right to use the canal water according to the share distribution. (3) After water is sufficient for the person using water pursuant to sub-section (1) or if such person does not require water, any other person, regardless of whose canal it is, shall have the right to use the canal water for the purpose of cultivating land. (4) If, after the land of a person is irrigated, excess water flows onto the land of another person, it may be used even without the permission of the concerned landowner, and no claim shall lie in respect thereof. 292. Not to Alter Canal without Consent: If a canal built only on the land of a person is also being used by other persons, the landowner on whose land such canal is situated shall not alter the existing canal to another place without the consent of the persons using the canal. 293. Person Not Contributing Labor or Expense for Canal Not to Use Water: (1) When constructing a new canal or maintaining an existing old canal, all persons using the water of such canal shall contribute the necessary labor or expenses in proportion to their respective land. (2) A person who does not bear labor or expenses when constructing a new canal or maintaining an old canal pursuant to sub-section (1) shall not have the right to use the water of such canal. 294.

Canal Construction or Water Use Allowed by Mutual Agreement: Notwithstanding anything contained elsewhere in this Chapter, if there is a separate agreement between the concerned landowner or the person constructing the canal or using the water regarding the construction of a canal or use of water for cultivating land, the canal may be constructed or water may be used in accordance with such agreement. 295. Cultivation of Land on Riverbank: If a river or stream enters the middle of a land and divides it, or if a river or stream cuts a piece of land, after the river or stream abandons the land such land shall belong to the concerned person, and he/she may cultivate it. 296. Not to Register: No person shall cause the registration of land belonging to the right of another person in his/her own name. 297. Name Transfer and Entry and

Deletion to be Done: (1) If the registered owner of any land dies and the land needs to be transferred to his/her name, or if any land becomes vested in a person's right for any reason and entry/deletion is required, the concerned person shall, within thirty-five days of such event, submit an application to the Land Revenue Office for name transfer and entry/deletion. (2) If a person submits an application for name transfer and entry/deletion after the expiry of the period referred to in sub-section (1), the Land Revenue Office shall, regardless of the time elapsed, effect the name transfer and entry/deletion in the name of the applicant upon charging a fee of one hundred rupees. 298. Limitation Period: A person affected by any act or action done under this Chapter may file a lawsuit within six months from the date on which he/she came to know of such act or action. Chapter-5 Provisions Relating to Government, Public and Community Property 299. Property Deemed Government Property: Amended by the Act Amending Some Nepal Acts Relating to the Civil Code, 2075. The property specified below, which is under the right, ownership, control, or authority of the Government of Nepal, Provincial Government, and Local Level, shall be deemed government property:- (a) Government houses, buildings or land, (b) Roads, pathways or railways, (c) Forests, jungles or trees and bushes in forests or jungles, (d) Rivers, streams, lakes, ponds and their banks, (e) Canals, irrigation channels or fallow, barren land, (f) Minerals or mineral substances, (g) Mountains, cliffs, rocks, slopes, riverbanks, public gardens, (h) Other property excluding property in the name of public, community, trust ('guthi') or any individual. 300.

Property Deemed Public Property: (1) The following property kept for public purpose shall be deemed public property:- (a) Houses, land, drains or roads existing from time immemorial, (b) Wells, water spouts, water taps, springs, ponds and their banks, (c) Land containing cattle passages, grazing grounds, pastures, cremation sites, burial grounds, funeral ghats, tombs, cemeteries, (d) Land containing rest houses ('pati'), covered rest houses ('pauwa'), temples ('deval'), places of religious worship, monuments, monasteries ('math'), temples ('mandir'), chaityas, gumbas, stupas, mosques, Idgahs, graveyards ('kabragah'), churches, courtyards ('chowk'), platforms ('dabali'), resting places ('chautari') or land on which such structures exist, (e) Land containing markets, fairs, public recreation or sports grounds, (f) Private property provided by any person for public purpose, (g) Other property designated by the Government of Nepal as public property by publishing a notice in the Nepal Gazette. (2) The ownership of public property shall vest in the concerned public institution or the Government of Nepal. 301. Property Deemed Community Property: Land kept by any community for its own use, any structure built on such land, or other property owned by the community shall be deemed community property. 302. Records to be Kept Updated: (1) The Land Revenue Office shall prepare and keep updated the following records with respect to government and public property located within the district:- (a) Location or, if land, the plot number and area, and if a house, its status, (b) If government or public property is under the right, possession or authority of any body or institution, details thereof, (c) Other necessary matters. (2) The Local Level shall provide necessary assistance to the Land Revenue Office to prepare the records pursuant to sub-section (1). (3) After preparing the records pursuant to sub-section (1), the Land Revenue Office shall send one copy each thereof to the concerned District Administrative Office and the Local Level. (4) The Local Level shall collect and update the records pursuant to sub-section (1) with respect to community property located within its area and send one copy thereof to the concerned Land Revenue Office. 303. Land Ownership Registration Certificate to be Provided: (1) If there is government land in the name of any government body or public institution, the Land Revenue Office shall prepare a Land Ownership Registration Certificate for such land in the name of such body or institution and make it available to such body or institution. (2) If any land is acquired in the name of any community in accordance with law, the Land Revenue Office shall prepare a Land Ownership Registration Certificate for such land in the name of such community and make it available to such community. 304.

Duty to Protect Government, Public or Community Property: (1) The Government of Nepal, public institution or community shall itself protect the government, public or community property under its right, possession, charge or authority. (2) The duty to protect government and public property shall lie with the concerned District Administrative Office and the Local Level. (3) The duty to protect community property shall lie with the concerned community and the Local Level. 305. **Not to Register Government, Public or Community Property in Own Name:** (1) No person shall register or cause to be registered government, public or community property in his/her own name. (2) If any person registers or causes to be registered government, public or community property in the name of a particular individual, such registration shall be automatically void. (3) If a complaint is lodged regarding the registration of government, public or community property in the name of a particular individual, the concerned Land Revenue Office shall summon the registered owner and others, conduct necessary inquiry, and make a necessary decision within six months of the complaint. (4) If the registration of any government, public or community property in the name of a particular individual is to be cancelled pursuant to this section, the Land Revenue Officer shall record such fact in the records of his/her office and give notice thereof to the concerned District Administrative Office and the Local Level. (5) The Land Revenue Office shall impose a fine of twenty-five thousand rupees to one hundred thousand rupees on a person who registers government, public or community land contrary to this section. (6) Added by the Act Amending Some Nepal Acts Relating to the Civil Code, 2075. Nothing contained in this section shall prevent the initiation of proceedings for punishment of an offense under the prevailing law, where the act of registering government, public or community property in one's own name or in the name of a particular individual also constitutes an offense under such law. 306.

Not to Encroach Upon or Cultivate Government, Public or Community Land: (1) No person shall encroach upon, usurp, insert, or in any other manner take possession of government, public or community land. (2) No person shall cultivate or cause to cultivate government, public or community land without the approval of the Government of Nepal, the concerned public institution, or the community. (3) If any person takes possession of or cultivates government, public or community land contrary to sub-section (1) or (2), in the case of government or public land, the concerned Land Revenue Office, and in the case of community land, the concerned Local Level, shall evict the person and take over the land, and also take the crop produced from such land from such person. (4) A person who takes possession of or cultivates government, public or community land contrary to this section shall be liable to a fine of up to ten thousand rupees by the Land Revenue Office. 307. **Not to Construct Structure:** (1) No person shall construct any structure on government, public or community land for private or public purpose. Provided that, in the case of government or public land, a structure may be built for a purpose deemed appropriate by the Government of Nepal, and in the case of community land, a structure may be built by the concerned community for a public purpose. (2) If any person attempts to construct a structure on government, public or community land contrary to sub-section (1), the concerned Chief District Officer or the Local Level shall immediately stop such activity. (3) If any person has already constructed a structure on government, public or community land contrary to sub-section (1), the concerned Chief District Officer shall give a deadline of fifteen days to the main person who constructed the structure to demolish it. (4) Within the deadline given pursuant to sub-section (3), the main person who constructed the structure shall demolish it at his/her own expense. (5) If the main person who constructed the structure does not demolish it within the deadline given pursuant to sub-section (3), the concerned Chief District Officer shall himself/herself demolish the structure. (6) If the Chief District Officer demolishes a structure pursuant to sub-section (5), the expenses incurred in demolishing such structure shall be recovered from the main person who constructed the structure, and such person may be fined up to twenty-five thousand rupees for constructing such structure. (7) If the Local Level requests any assistance regarding the

prohibition of construction of any structure pursuant to sub-section (2) or the demolition of an existing structure, it shall be the duty of the concerned police office to provide necessary assistance. 308.

Government Property may be Transferred: The Government of Nepal may, with the approval of the concerned body or institution, transfer any government property under the right, possession or authority of such body or institution to the name of another body or institution. 309. Community Property may be

Converted into Public Property: (1) If any community does not use the community property it holds, or if the community submits an application signed by the heads of all families of that community stating that the community property is not required for use in the community's work, to the concerned Land Revenue Office, the concerned Land Revenue Officer may, after conducting necessary inquiry in that regard, convert such property into public property. (2) If community property is converted into public property pursuant to sub-section (1), the concerned Land Revenue Officer shall note such fact in the records of his/her office and give notice thereof to the concerned District Administrative Office and the Local Level. 310. Reward to Complainant: (1) Any person may lodge a complaint with the concerned body regarding the registration or causing registration of government, public or community property contrary to this Chapter, the taking possession of land under such property for use or cultivation, or the carrying out of any construction work on such land. (2) If, upon inquiry, the complaint lodged pursuant to sub-section (1) is found to be true, the concerned body shall provide half of the fine imposed on the person committing such act under this Chapter to the complainant as a reward. (3) The complaint made pursuant to sub-section (1) may be kept confidential by the concerned body. 311. Action to be Taken: (1) If any employee knowingly registers or causes to register government, public or community property in the name of any person with negligence or carelessness, or if an employee whose duty it is to provide assistance under this Chapter fails to provide any assistance, such employee shall be subject to departmental action in accordance with the law relating to his/her service and conditions. (2) Nothing in sub-section (1) shall prevent the initiation of proceedings for a criminal offense under the law against an employee who performs an act referred to in sub-section (1), in addition to the action under sub-section (1). 312.

Government Attorney to have Authority to File Cases or Submit Petitions or Appeals: (1) The concerned government attorney shall have the authority to file cases, submit petitions or appeals under the law against any decision made by any body or officer that adversely affects government or public property. (2) In relation to filing cases or submitting petitions or appeals pursuant to sub-section (1), the concerned office or officer shall provide necessary documents and other assistance required by the government attorney. 313.

Limitation Period: A lawsuit may be filed at any time in relation to sections 305, 306 and 307 of this Chapter, and a person affected by any act or action done under other sections may file a lawsuit within one year from the date on which such act or action was done. Chapter-6 Provisions Relating to Trust ('Guthi') 314. Trust

Deemed Established: Where a person makes necessary arrangements regarding property under his/her right, possession and ownership so that it is operated and managed by another person for the benefit of beneficiaries, a trust ('guthi') shall be deemed to have been established. Explanation: For the purposes of this Chapter, "beneficiary" means a person, group, general public, unincorporated or incorporated institution or community which benefits from the trust property. 315. Trust may be Public or Private: (1) A trust may be public or private. (2) A trust established for the following purposes shall be deemed a public trust:- (a) To establish, operate and use a fund for economic development infrastructure or other development works, (b) To establish and operate a fund necessary for skill development and creation of employment opportunities for low-income persons, (c) To operate social welfare programs, (d) To establish and operate educational and academic institutions useful for the general public, such as schools, colleges, universities, (e) To establish and operate a medical facility for public purposes, such as a hospital or health post, (f) To preserve or

promote natural, historical or cultural heritage, (g) To operate programs for the conservation of wildlife, aquatic creatures, or the environment, (h) To operate programs for the protection, welfare or upliftment of various classes, groups or communities, (i) To operate sports related programs, (j) To perform service-oriented welfare activities, (k) To conduct rescue operations, (l) To operate monasteries (‘math’), temples (‘mandir’), gumbas, chaityas, mosques, churches or similar religious acts, (m) To operate other public programs for the public interest. (3) A trust established with the purpose of providing benefit, advantage or facility to a specific person or particular group shall be deemed a private trust. (4) If a trust is established to fulfill both public and private purposes, such trust shall be deemed a public trust. 316.

Application to be Submitted to Establish Trust: (1) A person wishing to establish a trust shall submit an application to the Registrar (‘Panjikadhikari’) stating the following details:- (a) The value of the property set aside for the trust and its description, (b) The beneficiary and the benefit, facility, its conditions and extent to be received by him/her, (c) If the trust is to be established for a specific period, matters relating thereto, (d) Other necessary details. (2) When submitting an application pursuant to sub-section (1), the following documents shall also be submitted with the application:- (a) The trust deed (‘Sthapanapatra’), (b) The name of the trustee and a copy of the document regarding his/her consent, (c) If there is any document for establishing the trust, a copy of such document, (d) A reliable document regarding the identity of the trust founder, and if an incorporated institution is the founder, a certified copy of the document relating to the establishment of such incorporated institution and a certified copy of the decision of such incorporated institution regarding the establishment of the trust, (e) A receipt of payment of the fee required by law for registration of the trust. **Explanation:** For the purposes of this Chapter,- (1) "Registrar" means the officer provided for by law for the registration, supervision and dissolution of trusts, and in the absence of such provision, the term refers to the Land Revenue Officer of the concerned district. (2) "Trustee" means the person entrusted with the responsibility of operating and managing the trust property. (3) Notwithstanding anything contained in sub-section (1), if a person has made arrangements for property under his/her right, possession and ownership to be operated and managed as a trust by virtue of his/her oral conduct, behavior, or by a gift that takes effect after his/her demise, the trust shall be deemed established in accordance with such conduct, behavior, or gift. Provided that, in the case of property for which registration is required for transfer of title under law, the relevant document must have been registered. (4) If a foreign person wishes to establish a trust, he/she shall fulfill the procedure under sub-sections (1) and (2) and submit an application. Such foreign person may be the founder of the trust so established. Provided that, a foreign person shall not establish a trust to fulfill the purpose under clause (j) of sub-section (2) of section 315. (5) In a trust established pursuant to sub-section (4), at least one-third of the trustees shall be Nepali citizens having permanent residence in Nepal. 317.

Details to be Included in Trust Deed: The following details shall be included in the trust deed:- (a) Name, surname, and address of the trust founder, and if an incorporated institution is the founder, the name, surname, and address of its directors, (b) Purpose and nature of the trust, (c) Name, surname, and address of the trustee and description of the work to be performed by him/her, and if an incorporated institution is the trustee, the name, surname, and address of the person designated by such institution to act as trustee, (d) Details of the beneficiary, (e) Method of using the trust property, (f) If the term of the trustee is specified, details thereof, (g) If the trustee receives remuneration or any other facility, details and limits thereof, (h) If the trust is to be established for a specific period, such period, (i) Consequences upon termination of the trust, (j) Provisions relating to operation, management and monitoring of trust property, (k) Other necessary matters. 318. **Trust to be Registered:** (1) Upon receiving an application to establish a trust pursuant to section 316, if the Registrar, after conducting necessary inquiry regarding the purpose of the trust and the description of the

property proposed to be established as trust, finds it reasonable to register the trust, he/she shall register the trust and issue a certificate of trust registration within thirty-five days of the application. (2) If the trust is registered pursuant to sub-section (1), the trust shall be deemed established. (3) Notwithstanding anything contained elsewhere in this section, a private trust may be operated even without registration. Provided that, if any person operates a private trust in such manner, he/she shall inform the concerned Registrar thereof. 319.

Registration of Trust may be Refused: (1) Notwithstanding anything contained in section 318, the Registrar may refuse to register a trust in the following circumstances:- (a) If the details, documents and fee under section 316 are not mentioned or submitted, (b) If the name of the trust matches the name of any other trust already registered before the registration of such trust, (c) If the purpose or condition of the trust appears inappropriate or undesirable due to public interest, morality, etiquette or public order, is not lawful, or is uncertain or ambiguous and incapable of implementation. (2) If a trust is not to be registered pursuant to sub-section (1), the Registrar shall inform the applicant within thirty-five days, stating the reason therefor. (3) If, after receiving information pursuant to sub-section (2), the applicant corrects the necessary matters and reapplies for registration of the trust, the trust shall be registered within fifteen days of such application and a certificate of trust registration shall be issued pursuant to sub-section (1) of section 318. 320. Property to be Transferred to Establish Trust: (1) The trust founder shall transfer the property set aside for the trust to the trustee within three months of the establishment of the trust. (2) If the property to be transferred pursuant to sub-section (1) is immovable, it shall be deemed duly transferred only if such property is transferred in accordance with law. (3) A foreign person establishing a trust in Nepal shall bring movable property equivalent to at least ten million US dollars into Nepal through regular banking channels within three months and entrust it to the trustee. (4) Information regarding entrustment of movable property pursuant to sub-section (3) shall be given to the Registrar. 321. Trust Dissolved if Property not Transferred: If the property is not transferred within the period under section 320, the registration of such trust shall be automatically cancelled and the trust shall be deemed dissolved. 322.

323. Trust Property to be Operated and Managed in Appropriate Manner: (1) The trustee shall use his/her ability and discretion honestly to operate and manage trust property in an appropriate manner.

(2) When operating and managing trust property pursuant to sub-section (1), arrangements shall be made to ensure its sustainable maintenance without damage or loss to such property.

(3) Unless otherwise provided in the trust deed, when operating and managing trust property pursuant to sub-sections (1) and (2), the amount of income derived from property not immediately necessary for fulfilling the purpose of the trust may be invested to fulfill the purpose of the trust.

(4) Unless otherwise provided in the trust deed, when investing pursuant to sub-section (3), investment may be made in the following proportions of the total amount to be invested at that time:-

- (a) At least twenty-five percent of the amount by purchasing bonds, treasury bills issued by the Government of Nepal or Nepal Rastra Bank, or bonds guaranteed by the Government of Nepal,
- (b) Up to twenty-five percent of the amount by depositing in fixed deposit accounts of commercial banks,
- (c) Up to ten percent of the amount by depositing in fixed deposit accounts of development banks,
- (d) Up to five percent of the amount by purchasing ordinary shares of commercial banks,
- (e) Up to ten percent of the amount by depositing in fixed deposit accounts of finance companies,
- (f) Up to five percent of the amount by purchasing ordinary shares of listed public limited companies that are publicly traded.

(5) The trustee shall monitor the investments made pursuant to sub-section (4) from time to time, and if upon such monitoring the return on investment in one sector appears low, such investment may be withdrawn subject to the terms and conditions of the investment and invested in another sector with higher return.

(6) When monitoring or investing pursuant to sub-section (5), the opinion of an expert in the relevant field may be obtained as necessary.

(7) The opinion obtained pursuant to sub-section (6) may be taken as a basis for monitoring or investment.

(8) The trustee shall keep his/her personal property and trust property separate and manage and operate them accordingly, and if accounts need to be operated, separate accounts shall be maintained. 324.

Trustee to be Appointed: (1) A trustee shall be appointed to operate, manage, protect, and maintain the trust property, and to use the benefits derived from such property for the beneficiary or make appropriate arrangements therefor. (2) Unless otherwise provided in the trust deed, the trust founder shall appoint the trustee. (3) If a trustee is not appointed or cannot be appointed pursuant to sub-section (1) or (2), the trust founder himself/herself shall be deemed to be the trustee. 325. Disqualification of Trustee: The following persons shall not be qualified to be a trustee:- (a) A person disqualified from entering into a contract, (b) A person who has misappropriated property under his/her charge, (c) A person convicted by a court of an offense of corruption, (d) A person who has been punished for a criminal offense involving moral turpitude, (e) A person who is the sole beneficiary of the property under trust operation. 326. Number of Trustees: Unless otherwise provided in the trust deed, subject to other provisions of this Chapter, the number of trustees shall be at least one and at most eleven. 327. Incorporated Institution may be Trustee: (1) An incorporated institution established in accordance with law may be appointed as a trustee. (2) If an institution under sub-section (1) is appointed as a trustee, the person who acts as its chief or the person delegated with authority by a decision of the board of directors of such institution shall act on behalf of such institution. Explanation: For the purposes of this section, "person who acts as its chief" means the chairperson, director, managing director, general manager, executive director, or any person authorized by such institution to act as its head. 328.

Provisions Relating to Vacancy of Trustee Position: (1) The position of a trustee shall become vacant in the following circumstances:- (a) If the trustee becomes disqualified from being a trustee, (b) If he/she resigns from the position of trustee, Amended by the Act Amending Some Nepal Acts Relating to the Civil Code, 2075.(c) If he/she dies or becomes insolvent, (d) If, in the case of an incorporated institution, it is dissolved, wound up, or becomes insolvent in accordance with law, (e) If the trust was established for a fixed period and such period expires, (f) If the trustee was appointed for a fixed term and such term expires, (g) If the trust founder or a court removes the trustee on the grounds that he/she has misappropriated trust property or has not taken reasonable care of such property. (2) If the position of a trustee becomes vacant pursuant to sub-section (1), such position shall be filled by following the procedure mentioned in the trust deed. (3) If the position of a trustee cannot be filled pursuant to sub-section (2), if there is a beneficiary, he/she, and if there is no beneficiary or the beneficiary cannot be identified, the concerned Local Level shall submit an application to the concerned District Court along with a possible list of names for the appointment of a trustee. (4) Upon receiving an application to appoint a trustee pursuant to sub-section (3), the District Court shall, in line with the spirit of the trust deed, appoint a suitable person as trustee from among the list of candidates provided by the applicant. (5) If a trustee is relieved from the position for any reason under sub-section (1), he/she shall, as soon as possible, hand over the trust property under his/her charge, control or enjoyment to the other trustee, and such person shall not be exempted from any liability or legal proceedings in respect of acts done

during his/her trusteeship merely because he/she has been relieved. Provided that, if all trustees are to be relieved, such property shall be handed over after another trustee is appointed. (6) If the position of a trustee of a public trust having only one trustee becomes vacant or is filled pursuant to this section, information thereof shall be given to the Registrar. 329.

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(?) If any property is given as a donation or bequest without obtaining the consent of the person whose consent is required by law.

(?) If a property is given as a donation or bequest without following the procedure prescribed by law.

(2) When amending or revoking a conditional will pursuant to sub-section (1), such person shall appear before the concerned officer and execute a separate deed to amend or revoke such conditional will.

(4) No person shall, once a conditional will has been made for any property, make another conditional will in respect of the same property in favor of another person without having the conditional will revoked pursuant

to this section.

(5) If a conditional will is made contrary to sub-section (4), the earlier conditional will shall be automatically valid. 411. Not to receive property under a conditional will: If it is determined that the person entitled to receive property under a conditional will has committed a criminal offense against the person making the conditional will before such conditional will becomes effective, he/she shall not be entitled to receive the property under the conditional will. 412.

Limitation period: If a separate limitation period is prescribed for filing a lawsuit under this Chapter, it shall be as prescribed; otherwise, a person who has acquired a right to the donation or bequest received by him/her may file a lawsuit within two years from the date such right accrued, and in the case of a donation or bequest that ought not to have been made, within two years from the date the recipient's right accrued and possession commenced; and in other cases, a person affected by any act or proceeding under this Chapter may file a lawsuit within one year from the date he/she came to know of such act or proceeding. Chapter-11 Provisions Relating to Transfer and Acquisition of Property 413. Property deemed to be transferred: If any person transfers to another person any property under his/her right and ownership by way of sale, donation, bequest or in any other manner, such property shall be deemed to have been transferred in the name of the person receiving such property. 414. Person who may transfer property: (1) Any person, other than a person incompetent to contract under this Code or prevailing law, may, subject to this Code, transfer his/her property under his/her right and ownership to one or more persons, separately or jointly. (2) The determination of competence or incompetence under sub-section (1) shall be made on the basis of whether such person was competent or incompetent at the time of transferring the property. (3) Any person may, under sub-section (1), transfer his/her right and ownership of property in a manner that vests the right immediately or after his/her death. (4) When transferring property under this section, a deed must be executed following the procedure prescribed by law. Provided, however, that: (1) No deed need be executed when donating or bequeathing cash up to one hundred thousand rupees or any movable property. (2) The transfer of movable property by sale or any other manner shall be in accordance with prevailing law. 415. Guardian or trustee may sell property: (1) A guardian or trustee may, subject to this Code, sell and transfer property for the right, interest or protection of the person under his/her guardianship or trusteeship. (2) Notwithstanding anything contained in sub-section (1), immovable property shall not be sold without the permission of the court, except where otherwise provided in this Code. 416.

Ownership of person receiving property: (1) If any person transfers his/her property to another person under section 414, from the date of such transfer, the ownership of the transferor in such property shall terminate and ownership shall vest in the name of the person receiving such property. (2) Notwithstanding anything contained in sub-section (1), if any person transfers property in a manner that vests the right after his/her death, ownership shall vest in the name of the person entitled to receive the property only after the death of the transferor. (3) If two or more persons receive the same property, each person's right in such property shall be in proportion to the share he/she has received. (4) If it is not specified in the deed what share each person is to receive when receiving property, all persons receiving the property shall be deemed to have received the property equally. 417. Personal property may be transferred: Any person may transfer his/her personal property to any person without the consent of anyone else. 418. Joint property may be sold and transferred: (1) When joint property is to be sold and transferred, it may be transferred with the consent of all the owners of such property. (2) Even if all the owners do not consent to the transfer of joint property under sub-section (1), any owner may transfer the property of his/her right or share. (3) When transferring joint property of a right or share of an owner under sub-section (1), if it is technically not possible to separate such

portion, and if the other owners wish to take such property, they may take it at a price agreed among themselves. (4) If more than one owner wishes to take the joint property, the owner who agrees to pay the highest price shall be entitled to take such property. (5) Notwithstanding anything contained in sub-section (3), if the other owners do not wish to take the property of an owner's right or share, and if it is technically not possible to separate and transfer such property, the entire share of the joint property shall be sold and the proceeds shall be distributed among the owners based on their right or share in such property. (6) If any person transfers joint property contrary to sub-section (1), the transfer shall be valid only to the extent of his/her right or share in such property, and the person concerned shall be entitled to take back the property transferred in excess of his/her right or share. 419.

Not to transfer common property without consent: (1) No person shall transfer common property to anyone without the written consent of the coparceners of the common estate. (2) Notwithstanding anything contained in sub-section (1), if a coparcener of the common estate has signed as a witness to a deed transferring common property, it shall be deemed that his/her consent has been obtained. (3) If any person transfers common property contrary to sub-section (1), the transfer shall be valid only to the extent of his/her right or share in such property. The concerned coparcener shall be entitled to take back the property transferred in excess of his/her right or share. 420. Common property may be sold for household expenses: Notwithstanding anything contained in section 419, the head of the household may sell common property for household expenses, all movable property and up to half of the immovable property, without obtaining anyone's consent. 421. Not to transfer another's property: (1) No person shall transfer property belonging to another person's right and ownership to any other person. (2) If any person transfers property contrary to sub-section (1), such deed or transaction shall be void. (3) If the true owner of property transferred under sub-section (1) claims it, the person who received such property shall return it to the concerned owner. (4) If anyone finds lost or stolen property of another, the owner of such property may claim it within three years from the date such property was lost or stolen, along with proof of ownership. (5) If any person comes to claim such property under sub-section (4), the person who found such property shall return it to the owner after receiving any amount spent by him/her for the preservation or maintenance of such property. (6) Notwithstanding anything contained in sub-section (4), if any person has acquired stolen or lost property by purchase at a public market or by auction or bid conducted publicly by any person or entity, the owner of such property shall not be obliged to return it to the true owner until the amount paid by him/her as fee or price for acquiring such property is reimbursed. 422. Not to transfer property twice: (1) No person shall transfer property already transferred to one person, a second time to another person. (2) If any person transfers property contrary to sub-section (1), in the case of transfer of immovable property, the deed first registered shall have legal validity, and in the case of transfer of movable property, the transfer to the person who first receives the property shall be valid. 423.

Guardian or trustee may not give donation or bequest: A guardian or trustee shall not give a donation or bequest of the property of the person under his/her guardianship or trusteeship to any person. 424. Right to receive amount or compensation if unable to enjoy property: (1) If any person sells and transfers property under this Chapter, and such transfer becomes null and void for any reason, and the buyer is unable to enjoy the property in whole or in part, the buyer shall be entitled to recover from the person who transferred the property, as a civil debt, the amount paid by him/her for the property not enjoyed, interest on such amount at the rate of ten percent per annum, and any registration fee or other amount paid at the time of transfer. (2) If any person has built any structure on the property purchased under this Chapter, and if such purchase becomes null and void for any reason and he/she cannot enjoy the property, he/she may demolish and remove the structure built by him/her within six months. (3) If any person suffers loss due to the transfer of

property contrary to sections 419, 421 and 422, or due to not demolishing a structure under sub-section (2), he/she may, in addition to the amount under sub-section (1), also recover from the person who transferred the property, compensation for the actual loss or damage suffered. (4) If a person entitled to receive a donation or bequest under this Chapter suffers loss because he/she cannot use such property due to any act done under this Chapter, he/she may, subject to other sections of this Chapter, recover reasonable compensation from the person making the donation or bequest. Provided, however, that no compensation shall be recoverable if a conditional will is void. (5) Notwithstanding anything elsewhere in this section, the person receiving property shall not be entitled to recover the amount under sub-sections (1), (3) and (4) in the following circumstances: - (a) If he/she knowingly took property belonging to another person or stolen property, (b) If he/she knowingly took property already transferred to another person. 425. Attorney may transfer property right: (1) If any person, citing a reason for being unable to appear in person at the concerned office for the sale and transfer of his/her immovable property, appoints a person eligible to be an attorney by law as an authorized attorney, such authorized attorney may, on his/her behalf, sell and transfer his/her property to any person. (2) Any person may sell his/her movable property through an attorney or representative. 426.

Procedure to be followed by an organized institution when acquiring or giving property: (1) When an organized institution established under the law transfers immovable property in its name, if the management committee of such organized institution makes a decision and authorizes any member of the management committee or an employee of such institution to transfer the property, such person may transfer the property on behalf of the organized institution. (2) When purchasing or otherwise acquiring immovable property in the name of an organized institution, if the procedure under sub-section (1) is completed, the property may be purchased or acquired in the name of such institution. 427. Another person may purchase or acquire property: Except in the case mentioned in section 426, if the person purchasing or acquiring property under this Chapter is unable to appear in the concerned office for a specific reason, and sends a person eligible to be an attorney under the law, with a power of attorney executed following legal procedure and a copy of his/her citizenship certificate, for the purpose of purchasing or acquiring such property on his/her behalf, such attorney may purchase or acquire such property in his/her name. 428. Property may be purchased or acquired in the name of an incompetent or semi-competent person: The guardian or trustee may acquire any property by donation, bequest, purchase or any other manner for an incompetent or semi-competent person under his/her guardianship, as amended by the Act Amending Some Nepal Acts Relating to the Civil Code, 2075. trusteeship, or for a child in the womb of the guardian or a member of his/her common family. 429.

Transfer of property transferred with effect after death: (1) If any person has transferred his/her property to any person with effect after his/her death, and the person making the transfer dies, the person entitled to receive the property shall, within six months from the date of such death, submit an application to the concerned office for the transfer of such property in his/her name, along with the death registration certificate and other evidence. (2) If any application is filed under sub-section (1), the concerned office shall, after examining the deed in its possession, conduct necessary inquiry into whether the person who made the deed has died or not, and whether such deed has been voided or not. (3) If, upon inquiry under sub-section (2), it appears that the person who transferred the property has died and has not caused the deed to be voided, the concerned office shall, within fifteen days from the date of application, transfer such property in the name of the applicant. (4) If any person submits an application to the office for transfer without observing the period under sub-section (1), the office shall transfer such property in his/her name according to such deed, upon levying a fee at the rate of five hundred rupees for each year of delay. 430. No claim for deterioration, destruction or depreciation: After any person has purchased and taken possession of any property from

another, he/she shall not be entitled to claim that such property has deteriorated, been destroyed or depreciated. Provided, however, that if the property was given by fraud or differing from the contents mentioned in the deed, he/she may claim compensation therefor. 431. Property may be exchanged: (1) Any person may exchange the property in his/her name with the property of another person, with or without adding any amount. (2) When exchanging property under this Code, a deed must be executed in accordance with law. 432. Immovable property not to be transferred to a foreigner: (1) No person shall transfer immovable property to any foreigner without the prior approval of the Government of Nepal. Added by the Act Amending Some Nepal Acts Relating to the Civil Code, 2075. Provided, however, that in the case of a person who has obtained Non-Resident Nepali citizenship, it shall be as per the prevailing law. (2) If any person transfers any immovable property to a foreigner contrary to sub-section (1), the deed relating thereto shall be automatically void, and such property shall vest in the Government of Nepal. (3) Any amount paid by the creditor for acquiring immovable property under sub-section (1) shall be treated as a civil debt. 433.

Property acquired as share or inheritance by a foreigner must be transferred: (1) If any foreigner acquires any immovable property within Nepal by way of share or inheritance, such property shall not be registered or recorded in his/her name, nor shall he/she be entitled to enjoy the income from such property, except with the approval of the Government of Nepal. Provided, however, that this provision shall not apply to a person who has obtained Non-Resident Nepali citizenship. (2) If any foreigner acquires any share or inheritance under sub-section (1), such foreigner shall transfer such property in any manner to a Nepali citizen, and for that purpose, the concerned office shall issue a provisional land ownership certificate valid for the purpose of transferring the right. (3) If, among the property acquired in the name of a foreigner under sub-section (1), in the case of a share, at any time, and in the case of inheritance, within three years from the date of such acquisition, the property is not transferred to a Nepali citizen under sub-section (2), after the expiry of such period, the Government of Nepal shall have right over such property. 434. Limitation period: If a separate limitation period is prescribed for filing a lawsuit under this Chapter, it shall be as prescribed; as amended by the Act Amending Some Nepal Acts Relating to the Civil Code, 2075. in the case of section 432, at any time, and in other cases, a person affected by any act or proceeding under this Chapter may file a lawsuit within six months from the date he/she came to know of such act or proceeding. Chapter-12 Provisions Relating to Mortgage of Immovable Property 435.

Deemed to be given as mortgage: (1) If any person, for a loan taken from a creditor, gives possession of his/her right, ownership or possessory immovable property, or any part thereof, to the creditor for enjoyment from the date of the deed or after a specified period, such property shall be deemed to have been given as a mortgage. (2) If, under sub-section (1), the property given as mortgage is to be enjoyed by the creditor immediately at the time of giving the loan or after a certain period, it shall be deemed to be a possessory mortgage; and if enjoyment is to be given in case the debtor fails to repay the loan within the stipulated period fixed for repayment, it shall be deemed to be a fixed-term mortgage. (3) The property to be given as mortgage must be of a nature that the person taking the mortgage can use and enjoy. (4) Property not under one's right, ownership or possessory right, or property to be acquired in the future, shall not be given as mortgage. 436. Deed must be executed: (1) When giving any property as mortgage under this Chapter, a deed must be executed in accordance with law. (2) The person executing the mortgage deed must be competent under law. 437. Mortgaged property must be used and enjoyed: (1) The creditor shall use and enjoy property taken as a possessory mortgage from the date of the deed or, if a separate date is fixed in the deed, from such fixed date; and property taken as a fixed-term mortgage shall be used and enjoyed within two years from the date the period for repayment by the debtor expires. (2) If the creditor is unable to use and enjoy such property within the period under sub-section (1) for any reason, or if the debtor prevents

enjoyment in any manner, the creditor may file a lawsuit in accordance with law to obtain possession for use and enjoyment. (3) If the creditor fails to use and enjoy under sub-section (1) or fails to file a lawsuit for possession under sub-section (2), such mortgage shall become automatically inactive. (4) If the mortgage deed becomes inactive under sub-section (3), the deed relating thereto shall be treated as a civil debt. 438. Possessory right over mortgaged property deemed transferred: If any person has given property as mortgage, from the date the creditor uses and enjoys such property, the possessory right shall be deemed to have been transferred to him/her. 439.

Right to enjoy as one's own property: (1) The creditor shall be entitled to use and enjoy the property taken as mortgage and the proceeds, benefits and facilities arising from such property as if it were his/her own property. (2) If the creditor is unable to use and enjoy the mortgaged property due to it being void or due to obstruction by the debtor, the debtor shall pay reasonable compensation to the creditor therefor. 440. Reasonable care of mortgaged property must be taken: (1) After the possessory right over the mortgaged property is established, the creditor shall take reasonable care and preservation of the same as his/her own property. (2) If any tax or fee is payable by law for using and enjoying the mortgaged property, such tax or fee shall be paid by the creditor. Provided, however, that the land revenue leviable by law shall be paid by the debtor. (3) If the mortgaged property cannot be used and enjoyed due to obstruction by any person other than the debtor, the creditor may file a lawsuit in accordance with law for its use and enjoyment. 441. Interest, fee or charge not to be taken: (1) Notwithstanding anything elsewhere in this Code, if a creditor gives a loan by taking a possessory mortgage of any property, he/she shall not take any type of interest, fee or charge from the debtor in respect of such loan. (2) After the creditor's possession over property taken as a fixed-term mortgage is established, the creditor shall not take any type of interest, fee or charge in respect of such loan. 442. Period for using and enjoying possessory mortgage property: (1) Property taken as a possessory mortgage shall not be used and enjoyed for a period exceeding ten years. (2) If the property given as possessory mortgage is not redeemed within the period under sub-section (1), the deed relating thereto shall be treated as a civil debt. 443.

Maximum period for fixed-term mortgage: (1) When giving or taking any property as a fixed-term mortgage, the period shall not exceed five years. (2) Before the expiry of the period under sub-section (1), the creditor shall not take possession of the property kept as fixed-term mortgage from the debtor or initiate proceedings to recover the loan relating thereto. (3) After the period under sub-section (1), the property enjoyed shall be enjoyed for up to ten years. (4) If the property given as fixed-term mortgage is not redeemed within the ten-year period of enjoyment under sub-section (3), the deed relating thereto shall be treated as a civil debt. 444. Mortgaged property may be redeemed at any time: (1) In the case of property given as a possessory mortgage, the debtor may, at any time, redeem his/her property by paying the loan taken from the creditor, and in the case of property given as a fixed-term mortgage, by paying the principal amount and any interest due, if applicable. (2) Notwithstanding anything contained in sub-section (1), if the mortgaged property is agricultural land and if the creditor has already sown a crop on such land at the time of redemption, the creditor shall be entitled to use and enjoy such crop, unless otherwise agreed by the creditor and the debtor. 445. Mortgaged property may be sub-mortgaged: (1) Any person who has taken property as mortgage may give such property or any part thereof as a further mortgage to another person for an amount equal to or less than the amount mentioned in the deed relating thereto, and if so given, it shall be deemed to be a sub-mortgage. Provided, however, that a sub-mortgage shall not be given before the possessory right over the mortgaged property is established. (2) The period for using and enjoying the sub-mortgage given under sub-section (1) shall not exceed the period for using and enjoying under the original mortgage. (3) If the debtor, who has right and ownership over the property, wishes to redeem the property given as sub-mortgage

under sub-section (1), if the amount of the sub-mortgage is equal to the original principal, he/she may redeem directly from the sub-mortgagee; if the amount is less than that, he/she may redeem by paying the amount through the original mortgagee. (4) Notwithstanding anything elsewhere in this section, any transaction of sub-mortgage made contrary to the terms of the original mortgage shall be automatically void to that extent. (5) If the creditor fails to enjoy the property given as sub-mortgage under this Chapter, the deed of such sub-mortgage shall be treated as a civil debt. 446.

Proceeds or benefits of property may be given as sub-mortgage: Notwithstanding anything contained in section 445, any person who has taken property as mortgage may, without giving the property itself as a sub-mortgage, give only the proceeds, benefits or facilities arising from such property, or, if such property is agricultural land, the produce, crops, trees, bamboo, ripe or ripening fruits, vegetables, flowers or any other type of yield, as a sub-mortgage. 447. Another person may give his/her own property as mortgage on behalf of the debtor: (1) Any person may, in respect of a loan taken by another person, give his/her own property under his/her right and ownership as mortgage to the creditor on behalf of the debtor. (2) The property given as mortgage under sub-section (1) may be used and enjoyed by the creditor under this Chapter in the same manner as property given as mortgage by the debtor. (3) If another person has given property as mortgage under sub-section (1), the relationship between the debtor and such person shall be as stated in the mortgage deed or a separate contract, and if not so stated, such transaction shall be treated as a civil debt. 448. Mortgaged property indivisible: (1) Even if more than one creditor comes into existence due to partition among the heirs of the creditor, inheritance, or division among partners, the property given as mortgage by the debtor shall remain indivisible, and the debtor shall not be entitled to redeem the mortgaged property or any part thereof until the entire loan taken by the debtor is fully repaid according to the mortgage deed. (2) If more than one debtor comes into existence due to partition among the heirs of the debtor, inheritance, or division among partners, the mortgaged property shall not be redeemed until each debtor repays the entire loan of his/her share. 449. Creditor liable for loss or damage to mortgaged property: (1) After the creditor's possessory right over the mortgaged property is established, if such property suffers any loss or damage, the creditor shall be liable therefor. (2) If the mortgaged property suffers loss or damage under sub-section (1), the creditor shall repair and restore it to its former condition at his/her own expense. (3) Notwithstanding anything contained in sub-section (1), if the mortgaged property suffers loss or damage due to a disaster, the creditor shall not be liable, and any repair for such loss or damage shall be made by the creditor with the written consent of the debtor. (4) Any expense incurred for repair under sub-section (3) shall be paid by the debtor at the time of redemption, including such amount in the creditor's principal. 450.

Not to harass regarding mortgaged property: After the possessory right over the mortgaged property is established, the creditor shall not harass the debtor contrary to the deed by claiming that such property is unsuitable or excessive or deficient. Provided, however, that if the property to be enjoyed cannot be enjoyed in any manner or if such property is determined to be void in any manner, there shall be no bar to claiming payment of the amount according to the mortgage deed. 451. Mortgage not to be given to a foreigner: Without the prior approval of the Government of Nepal, no person shall give immovable property as mortgage to a foreign person other than a person who has obtained Non-Resident Nepali citizenship. 452. Property not to be mortgaged or transferred twice: (1) Property once given as mortgage shall not be mortgaged or transferred a second time to another person. (2) If any person gives a double mortgage contrary to sub-section (1), the deed registered on the earlier date shall be valid, and the later deed shall be automatically void. (3) If a deed is voided under sub-section (2), the amount of the creditor who knowingly took the double deed shall be forfeited, and if taken without knowledge, it shall be treated as a civil debt. (4) Notwithstanding anything contained in sub-section (1), if there are double deeds, and the first deed creates a

mortgage and the later deed effects a transfer of right, the person entitled to the transfer of right may pay the amount under the first mortgage deed and establish his/her right according to the deed. (5) If the person giving the double deed under this section is found to have a specified amount of loss, he/she shall be fined up to that amount; if the loss is not specified, according to the earlier deed; and if that loss is not specified either, up to twenty-five thousand rupees. Provided, however, that the fine shall not exceed one hundred thousand rupees regardless of the amount of loss. (6) Notwithstanding anything elsewhere in this section, if there is a double mortgage deed and the first deed is a possessory mortgage, possession must be established within two years from the date of such deed; and if it is a fixed-term mortgage, within two years from the date the right to possession arises. (7) If possession cannot be established under sub-section (6), the creditor's amount shall be treated as a civil debt. 453.

Limitation period: If a separate limitation period is prescribed for filing a lawsuit under this Chapter, it shall be as prescribed; and in other cases, a person affected by any act or proceeding under this Chapter may file a lawsuit within one year from the date of such act or proceeding. Chapter-13 Provisions Relating to Right of Pre-emption of Immovable Property 454. Deemed to be pre-empted: If any person transfers by any manner his/her right over any immovable property under his/her right, possession and ownership to another person, where the person whose property is adjacent or contiguous to such property, on receiving notice under this Chapter, buys it, it shall be deemed to be pre-empted. Explanation: For the purposes of this Chapter, "adjacent or contiguous" shall also mean a situation where, due to the transfer of right over a person's house or land, the adjacent or adjoining house or land of another person has no direct boundary, resulting in the closure of irrigation canals, passage, etc. 455. Right-holder may pre-empt: (1) If any person sells his/her immovable property, the right-holder whose property is adjacent or contiguous to such property may pre-empt such property by paying to the buyer the amount paid by the buyer and the fee incurred at the time of registering the deed. (2) If there is more than one right-holder who wishes to pre-empt under sub-section (1), the nearest right-holder shall have the right; if there is more than one such right-holder, the right-holder whose property is most adjacent or contiguous shall have the right; and if there is more than one such right-holder as well, all such right-holders shall pre-empt in equal proportion. (3) If the nearest right-holder does not pre-empt such property under sub-section (2), the next nearest right-holder, based on priority, may pre-empt such property. 456. Tenant may pre-empt: If there is no right-holder whose property is adjacent or contiguous under section 455, or if there is but he/she does not pre-empt, and if there is a tenant on such property under law, such tenant may pre-empt such property. 457.

Pre-emption of sold house: (1) In a situation where different parts of a single house have different owners, if the owner of any part of such house sells his/her part to someone, the owner of another part who wishes to pre-empt such part may pre-empt the house by paying to the buyer the amount paid by the buyer and the fee paid at the time of registering the deed. (2) When pre-empting under sub-section (1), the following persons shall have priority as follows: - (a) If the owner of another part is a right-holder, such right-holder; and if there is more than one right-holder, the nearest right-holder, (b) If the owner of another part is a person other than a right-holder, the owner of the part that is adjacent or contiguous or attached to such part. 458. Pre-emption of house given as donation or bequest: (1) as amended by the Act Amending Some Nepal Acts Relating to the Civil Code, 2075.

Notwithstanding anything contained in sections 455, 456 or 457, if any person, by relinquishing his/her right for any reason, gives half or any part of a single house, or the land covered by such house, or the appurtenant land, as a donation or bequest, and if the person receiving such donation or bequest transfers the right over such house or land to another person for any reason, the person who made such donation or

bequest, or his/her right-holder residing in the same place, if he/she wishes to pre-empt such right, may pre-empt such house or any part thereof or the land covered by such house or appurtenant land. (2) Notwithstanding anything contained in sub-section (1), if any person receives half or any part of a single house, or the land covered by such house, or the appurtenant land, as a donation or bequest from any person, and if the person from whom he/she received the donation or bequest subsequently gives the remaining part of such house or land as a donation or bequest to another person, the person who first received the donation or bequest, or his/her right-holder, shall be entitled to pre-empt such remaining right. (3) When pre-empting under sub-section (1) or (2), if the value is mentioned in the donation or bequest deed, an amount equal to such value; if the value is not mentioned, an amount equal to the prevailing market value; and the fee incurred at the time of registering the deed, shall be paid to the creditor. (4) If there is more than one right-holder who wishes to pre-empt under sub-section (1) or (2), the nearest right-holder; and if there is more than one nearest right-holder, the right-holder who suffers the most loss shall be entitled to pre-empt. 459. No right of pre-emption: Notwithstanding anything contained in sections as amended by the Act Amending Some Nepal Acts Relating to the Civil Code, 2075. 457 and 458, a house or part of a house built under provisions relating to joint housing shall not be subject to pre-emption. 460.

Procedure for pre-emption: (1) A person wishing to pre-empt any immovable property under this Chapter shall deposit as security the value mentioned in the deed registered at the time of transfer of such property, or if the value is not mentioned, an amount equal to the prevailing market value, and the fee incurred at the time of registering the deed, and file a complaint with the office that registered such deed. (2) Upon receiving a complaint under sub-section (1), the office that registered the deed shall keep the complainant on a date and issue a summons to the person who is to give pre-emption to appear before such office within seven days, excluding the time allowed for travel. (3) If the person who is to give pre-emption appears within the period under sub-section (2) and agrees to give pre-emption, the office that registered the deed shall pay the amount deposited as security under sub-section (1) to him/her and effect the pre-emption. (4) Even if the person who is to give pre-emption appears within the period under sub-section (2) and does not agree to give pre-emption, if it appears from the complaint received, the registered deed, and the records of the office that pre-emption should be given, the office that registered the deed shall decide to give pre-emption; (2) In a transaction conducted under subsection (1), the person receiving the money or goods must return such money or goods to the person giving them. Explanation: For the purpose of this Chapter, 'money' shall be deemed to also include the value of goods. 475. Deemed to have taken a loan: If a person has an obligation to give any money or goods to another in any manner, such person shall be deemed to have taken a loan, and such person, subject to the provisions of this Chapter, must return such money or goods to the concerned person. 476. Transactions not to be conducted without a deed: No person shall conduct a transaction without a deed in accordance with law. Explanation: For the purpose of this Chapter, 'deed' shall be deemed to include documents such as cheques, bills, vouchers, receipts, and acquittances that certify any transaction or dealing. 477.

Matters to be specified in a deed: While conducting a transaction, the following matters must be specified according to the nature of the transaction: - (a) The name, surname, age, address, and the names of the father, mother, grandfather, and grandmother of the persons conducting the transaction, Provided that a married person must also mention the name of the husband or wife. (b) The reason for conducting the transaction, (c) The quantum of the transaction, (d) The value of any goods that are the subject of the transaction, (e) If any goods have been given or taken as a loan, borrowing, or in any other manner on the condition of return after a specified time, such particulars, (f) If any goods have been bartered, such particulars, (g) The date for repayment of the transacted amount, (h) If interest is to be charged or paid at the

time of the transaction, the rate of interest, (i) (j) That if the transacted amount is not repaid within the stipulated time, or if other conditions as per the deed are not fulfilled, the creditor may recover the amount due under the transaction from the debtor's property, (ñ) The place where the deed was executed, Added by the Act to Amend Certain Nepal Acts relating to the Civil Code, 2080.(j1) The name, surname, and address of at least one witness each for the creditor and the debtor at the time of preparing the deed, (t) The date on which the deed was executed, (th) Any other necessary matters to be specified according to the nature of the transaction. 478.

Creditor may charge interest from the debtor: (1) In case a deed relating to a transaction exists and the matter of charging or paying interest is mentioned in the deed, the creditor may charge interest from the debtor as per the deed. (2) The amount of interest the creditor may charge from the debtor under subsection (1) shall not exceed ten percent per annum of the principal amount. (3) In case a deed exists under subsection (1) and the rate of interest is not specified in the deed but only the matter of charging or paying interest is mentioned, the creditor may charge interest from the debtor at the rate of ten percent per annum of the principal amount. (4) In case a deed exists under subsection (1) and the deed mentions taking profit without mentioning interest, and if the quantum of such profit is not evident from the deed, the creditor may charge it from the debtor in the same manner as interest. 479. Creditor not to charge interest from the debtor: If the matter of charging or paying interest is not mentioned in the deed at the time of the transaction, the creditor shall not be entitled to charge interest from the debtor. 480. No compound interest: (1) The creditor shall not be entitled to charge compound interest from the debtor. (2) If any creditor has charged compound interest from the debtor contrary to subsection (1), it shall be deducted from the principal, and if the principal has already been paid, such interest must be returned. 481. Interest not to exceed the principal: Notwithstanding anything else written elsewhere in this Chapter, the creditor shall not be entitled to charge interest from the debtor exceeding the principal amount. 482.

Procedure to be followed when paying or receiving principal and interest: The following procedure must be followed when paying or receiving principal and interest: - (a) If the debtor pays the entire amount of principal and interest to the creditor, the creditor must tear up the deed of the transaction held with him or specify on any part or reverse of such deed the particulars of the amount collected, affix his signature or seal, and return the deed to the debtor. (b) If at the time of paying the principal and interest amount under clause (a) the said deed is not found, the creditor must give a receipt to the debtor stating the same particulars, indicating that such amount has been received on this date. (c) When paying a part of the principal or some interest, the creditor must specify on the reverse of the deed what amount was received on what date, get the debtor's signature or seal affixed, and if the deed is not immediately found or is not at hand, give a separate receipt to the debtor for the amount received accordingly. 483. Entitlement to interest up to the date of payment: Notwithstanding anything else written elsewhere in this Chapter, if a lawsuit has been filed within the period under Section 484, and the court renders a decree entitling the creditor to interest as well, the creditor shall also be entitled to interest from the debtor up to the date of payment as per the decree. 484. Validity period of a private deed: (1) The validity period of a deed executed privately under this Chapter shall be a maximum of ten years. (2) Notwithstanding anything written in subsection (1), if within the period of ten years the debtor pays the creditor some amount out of the principal or interest, or if the validity period of the deed is extended for the payment of principal and interest, a further period of ten years shall be added from the date of such payment of principal or interest or extension of the period. 485. Transactions with an incompetent or semi-competent person not recognized: A transaction conducted by any person with an incompetent or semi-competent person shall not have legal recognition. 486.

Recovery of amount not permissible from joint family property: (1) If any person has conducted a transaction with another person, and the deed of such transaction does not bear the signature or seal of the head of the household, the creditor shall not be entitled to recover his amount from such joint family property until the debtor acquires a share in it. (2) Notwithstanding anything written in subsection (1), if the person acting as the head of the household pays such amount, the creditor may accept it. (3) If a situation under subsection (1) arises and a person is unable to recover the amount from the debtor, the creditor must file a lawsuit against the debtor within ten years to preserve his right. (4) If a right has been established against the debtor under subsection (3), after the debtor acquires a share in the joint family property, the creditor may recover his amount from him in accordance with law. (5) For the purpose of recovering the amount under subsection (4), the limitation period for filing a lawsuit shall commence from the date on which the debtor's share vests. 487. Movable property not to be bartered without consent: (1) A major member of a joint family shall not barter any property of the joint family without the consent of the head of the household. Provided that it shall not be necessary to obtain the consent of the person acting as the head of the household to barter one's own private property. (2) If any person barter property contrary to subsection (1), such barter shall not be valid if the person acting as the head of the household does not consent. (3) If property is bartered contrary to subsection (1), and the consent of the person acting as the head of the household is not obtained, the property may be reclaimed within thirty-five days. 488. Recovery of amount if transaction is proven: Even if a person has not executed a deed following the procedure under this Chapter, if a transaction with a person appears to be established from any deed, banking transaction, bill of exchange, cheque, voucher, or from the entries in account books, the court may order the recovery of such amount from the debtor in favor of the plaintiff based on such deed, banking transaction, bill of exchange, cheque, voucher, or accounts.

Added by the Act to Amend Certain Nepal Acts relating to the Civil Code, 2080. Provided that if a transaction exceeding one hundred thousand rupees was conducted privately in cash, such amount shall not be recovered. 489. Action in case of loss of a private deed or occurrence of force majeure: (1) If a private deed is lost or destroyed due to force majeure, the creditor must file an application to the concerned local level within fifteen days from the date of loss or the occurrence of force majeure, stating the same particulars.

(2) Upon receipt of an application under subsection (1), the concerned local level must record its particulars, prepare a voucher, affix the office seal, and provide such voucher to the applicant.

(3) Upon receipt of any application under subsection (1), the local level shall, within seven days, summon the person who executed the deed if he is alive, and if not, his nearest heir, and if such person consents, cause a new deed to be prepared like the original, certify such deed, and provide it to the applicant.

(4) If the person who executed the deed under subsection (3) does not agree to execute another deed stating that the deed was lost or destroyed due to force majeure, the creditor must, within thirty-five days after the expiry of such period, file a lawsuit providing proof of the loss or destruction due to force majeure to establish his right. 490. Goods subject to a transaction to be returned if defective: (1) Except where otherwise provided in the deed, if any goods for which a price has been paid in a transaction are not as described in the deed or are defective in any manner such that the person cannot use them, notice of such fact must be given to the person giving the goods within thirty-five days from the date of transaction.

(2) Upon receipt of such notice under subsection (1) from the person receiving the goods, and if his claim appears reasonable, if the giver has other goods of the same kind, he must exchange such goods, and if not, he must take back his goods and cancel (nullify) the deed relating to such transaction.

(3) If the giver under subsection (2) fails to exchange such goods or does not take back his goods, the

receiver may file a lawsuit to recover an amount equal to the value of such goods and reasonable compensation for the loss or damage suffered from the concerned person, or to have such transaction declared void. 491.

Goods to be returned in the same state: (1) If any person takes goods owned or possessed by another person for any specific purpose, whether with or without paying rent, or as a loan or borrowing under any condition, after the completion of such purpose, he must return to the owner or possessor goods of the same type, quantity, and quality as he received. (2) If the goods taken under subsection (1) are lost, destroyed, broken, damaged, or otherwise harmed, except if otherwise provided in the deed, the person taking the goods must arrange for other goods of the same kind and return them to the owner or possessor, and if such goods are not available, must pay the owner or possessor an amount equal to the prevailing market price of such goods. (3) Regarding the return of goods, payment of rent for such goods, or payment of an amount under subsection (1) or (2), except if otherwise provided in the deed, such goods or rent must be paid to the owner or possessor within fifteen days of the completion of the purpose for which the goods were taken. (4) If the person taking the goods does not return the goods or pay the amount to the owner or possessor within the period under subsection (3), the person suffering loss thereby may recover the amount for such goods and also reasonable compensation for the loss suffered by him. 492. Limitation period: (1) No limitation period shall apply for filing a lawsuit concerning a transaction made to usurp, misappropriate, cause loss, or damage the property of an incompetent or semi-competent person, or for charging compound interest, or for charging more than ten percent interest. (2) Except as stated in subsection (1), a person suffering loss from any action or proceeding conducted under this Chapter may file a lawsuit within the following periods from the date of such action or proceeding: - (a) According to the specific limitation period prescribed for filing a lawsuit in this Chapter, (b) In a case where a period is specified in a deed, within one year from the date of expiry of such period, and in the absence of a deed or other circumstances, within one year from the date on which the cause of action arose. Part-5 Provisions relating to Contracts and Other Obligations Chapter-1 General Provisions relating to Obligations 493. Creation of obligation: (1) An obligation shall be created if a person fails to do or does an act for which there is a legal compulsion to do or not to do. (2) The obligation created under subsection (1) shall be determined and established in accordance with this Chapter. 494.

Circumstances creating an obligation: (1) The obligation under Section 493 shall be created and established as follows: - (a) By law, (b) By contract, (c) By implied or quasi-contract, (d) By unjust enrichment, (e) By a unilateral undertaking by any person to accept an obligation, (f) By an act considered a tort under law, (g) By an act considered a quasi-tort under law. (2) The obligation under subsection (1): - (a) Under clause (a), shall be established pursuant to this Code or other law. (b) Under clause (b), shall be established according to the contract concluded between the parties. (c) Under clause (c), shall be established according to the implied or quasi-contract defined under Chapter 15 of this Part. (d) Under clause (d), shall be established according to unjust enrichment defined under Chapter 16 of this Part. (e) Under clause (e), shall be determined according to the provision that an obligation is created by law from a unilateral undertaking of any person. (f) Under clause (f), shall be established from a tort defined under Chapter 17 of this Part. (g) Under clause (g), shall be established from a defective product or any other act considered a quasi-tort under law defined under Chapter 18 of this Part. 495. Obligation must be performed: (1) The obligation regarding any matter must be performed by the person for whom the obligation is established or created, or by the person who has undertaken the obligation. (2) If before the obligation under subsection (1) is performed, such person dies or becomes of unsound mind, the heir receiving his property, or his guardian or representative, or if there is a contract of guarantee, the guarantor, must perform such obligation. 496. Obligation must be performed within the stipulated time: (1) If a specific period is fixed for the performance of any obligation, the concerned person

must perform such obligation within that period. (2) If a specific day or time is fixed for the performance of any obligation, the concerned person must perform such obligation on that day or at that time.

Provided that where provision is made for performance of the obligation within a specific day or time, the obligation may also be performed before such day or time.

(3) If no period, day, or time for performance of an obligation is determined under subsection (1) or (2), the obligation must be performed within a reasonable period determined based on the nature of the obligation.

(4) If the obligation is not performed under subsection (1), (2), or (3), the person required to perform the obligation shall be deemed to have failed or been unable to perform the obligation. 497. Each person must perform the obligation: (1) If more than one person has undertaken an obligation or if such an obligation is created in respect of them, unless otherwise provided in the contract, each person must perform such obligation equally.

(2) If a person has to perform an obligation towards more than one person, unless otherwise provided in the contract, he must perform the obligation equally towards each person. 498. Obligation may be divisible: (1) In a situation where an obligation is to be performed towards more than one person or by more than one person, if the obligation towards such persons or to be performed by such persons is divisible or severable by its nature, such obligation may be divided, and each person must perform the obligation accordingly.

(2) In the situation under subsection (1), each person or all persons may demand performance of the obligation from each person or all persons who are to perform it. 499. Obligation must be performed in good faith: An obligation created under Section 494 must be performed in good faith by the person required to perform such obligation. 500. Compensation must be borne if obligation is not performed: (1) If any loss or damage is caused to another person due to the failure of the person required to perform an obligation to perform it, or due to delay in performing it, such person must bear compensation for the actual loss or damage caused.

(2) If the person required to perform an obligation fails to perform it through fraud, or if loss or damage is caused in any manner due to willful act or negligence, such person must bear compensation for the loss or damage so caused. 501. Obligation contrary to law not to be performed: Notwithstanding anything else written elsewhere in this Chapter, if the performance of any obligation is contrary to law, public order, or public morality, such obligation shall not be required to be performed. 502.

Impossible obligation not to be performed: (1) Notwithstanding anything else written elsewhere in this Chapter, if at the time of creation of the obligation, an obligation of an impossible nature that cannot be performed is created, such obligation shall not be required to be performed. (2) If an obligation was possible to perform at the time of its creation but later becomes impossible to perform, the consequences of such obligation shall be determined in accordance with law. (3) Notwithstanding anything written in subsection (1) or (2), if a part of an obligation can be performed and the remaining part cannot be performed, the obligation must be performed to the extent possible. 503. Limitation period: A person suffering loss from any action or proceeding conducted under this Chapter may file a lawsuit within two years from the date on which the cause of action arose. Chapter-2 Provisions on the Conclusion of Contracts 504. Contract deemed concluded: (1) If an agreement enforceable by law is made between two or more persons to do or abstain from doing any act, it shall be deemed to be a contract. (2) For the purpose of subsection (1), when a person makes a proposal to another person to enter into a contract, and the person so proposed gives acceptance, the contract shall be deemed concluded. (3) After the contract is concluded, a binding legal relationship shall

be established between the parties to the contract. Explanation: For the purpose of this Chapter, - (1) ?Proposal? shall be deemed to mean a proposal presented by one person to another with the intention of obtaining acceptance to do or abstain from doing any act. (2) ?Acceptance? shall be deemed to mean the consent given by the proposed person in the same sense regarding the matters proposed by the proposer in the sense in which they were proposed. 505.

Contracts enforceable by law: (1) A contract concluded fulfilling the following conditions shall be deemed a contract enforceable by law: - (a) The consent of the person making the contract expressed to bind himself, (b) The competence or capacity of the person making the contract to contract, (c) A definite subject matter creating an obligation, (d) A lawful obligation. (2) A contract may be made in writing, orally, or by the conduct of the persons making the contract. (3) Notwithstanding anything written in subsection (2), if a provision requires that a contract be made only by complying with a specific procedure or formality, such contract shall not be enforceable until such procedure or formality is completed. 506. Persons competent to contract: (1) Any person other than the following persons shall be competent to contract: - (a) Minors, (b) Persons of unsound mind. Explanation: (1) A person who is generally of unsound mind but occasionally of sound mind may contract when he is of sound mind. (2) A person who is generally of sound mind but occasionally of unsound mind shall not contract when he is of unsound mind. (2) Notwithstanding anything written in subsection (1), a person deemed incompetent by law to enter into a particular contract shall not be deemed competent to enter into such contract. (3) When a contract must be made on behalf of an incompetent or semi-competent person, his guardian or representative may make the contract. (4) When a contract must be made on behalf of a legal person, it must be made by the operator or operators authorized to manage and operate such person, by their decision, or by a person authorized by them. (5) Notwithstanding anything written elsewhere in this Section, if a person deemed incompetent to contract under this Chapter regarding a particular matter is otherwise permitted by law to contract regarding such matter, such person shall be deemed competent to contract regarding that matter. 507. Autonomy of parties: Subject to this Code, the parties to a contract shall be autonomous to choose the form or subject matter of the contract, to determine the terms of the contract and the nature of remedies for breach of contract, and to specify the means of resolving disputes under the contract. 508.

Completion of proposal and acceptance: (1) After the proposed person becomes aware of the sending of the proposal, the act of sending the proposal shall be deemed completed. (2) If the proposer receives the acceptance sent by the proposed person to the proposer indicating his acceptance of the proposal, in respect of the proposer, and if the proposer becomes aware that the proposed person has given acceptance to the proposal, in respect of the proposed person, the act of giving acceptance shall be deemed completed. (3) Even if acceptance has not been expressly given to the proposal, if the proposed person, by his conduct, complies with any condition mentioned in the proposal, accepts any benefit or service mentioned in the proposal, or otherwise indicates acceptance, acceptance to the proposal shall also be deemed given. (4) If the proposer makes a proposal stating that the proposal will be deemed accepted if notice of rejection is not sent within a specified time, and until such time, no notice of acceptance is sent by the proposed person, such proposal shall not be deemed accepted. 509. Revocability of proposal or acceptance: (1) The proposer may revoke his proposal by notice. Provided that if the proposer has already received notice of acceptance given by the proposed person before receiving the notice of revocation, such proposal shall not be revoked. (2) The proposed person may revoke his acceptance sent by notice. Provided that if the proposer has already received the notice of acceptance before receiving the notice of revocation of acceptance, the acceptance shall not be revoked. (3) A person who has sent a notice of rejection of the proposal may again send a notice of acceptance of the proposal. Provided that if among such notices of rejection or acceptance, the notice of

rejection arrives first, the contract shall not be deemed concluded, and if the notice of acceptance arrives first, the contract shall be deemed concluded. (4) If after sending the proposal, a notice under subsection (1) is sent, after sending the acceptance, a notice under subsection (2) is sent, or after rejecting the proposal, a notice under subsection (3) is sent, and if such notices are received by the concerned person at the same time, the contract shall not be deemed concluded. (5) If the proposed person sends an acceptance with conditions or by modifying something in the proposal sent by the proposer, the proposed person shall be deemed to have made a counter-proposal. 510.

Deemed revocation of proposal: A proposal shall be deemed revoked in any of the following circumstances: - (a) If the proposer made the proposal on the condition of receiving notice of acceptance by a specified time, and the proposer does not receive notice of acceptance from the proposed person by such time, (b) If the time for sending notice of acceptance under clause (a) is not specified, and the proposed person does not give notice of acceptance to the proposer within a reasonable time, (c) If the proposer dies or becomes of unsound mind after making the proposal but before receiving acceptance, (d) If the proposal is revoked under Section 509, (e) If the proposer dies or becomes of unsound mind even after acceptance is given by the proposed person but before the proposer receives the acceptance, (f) If the proposed person sends a counter-proposal under subsection (5) of Section 509, (g) If the proposer made the proposal requiring the performance of any act or condition before acceptance, and the proposed person accepts without performing such act or condition. 511. Contract pursuant to a proposal made to the public: (1) If a person publicly advertises and makes a public proposal that he will pay a certain remuneration to anyone who performs any work mentioned in such advertisement, the person publishing such advertisement must pay the remuneration mentioned in the advertisement to the person performing the work according to such advertisement. Provided that if the work mentioned in the advertisement was done without knowledge of such advertisement, such person shall not be entitled to the remuneration. (2) If the work mentioned in the proposal under subsection (1) is done Deleted by the Act to Amend Certain Nepal Acts relating to the Civil Code, 2075. by more than one person, only the person who has done such work first shall be entitled to the remuneration.

Provided that if two or more persons do the work mentioned in the proposal at the same time, each of those doing the work shall be entitled to share the remuneration equally, and if the remuneration is not divisible, the proceeds from its sale must be distributed equally to such persons.

(3) If a specific time period is fixed for the work to be done under the advertisement published under subsection (1), the proposal under the advertisement shall be deemed revoked immediately upon the expiry of such time.

(4) A proposal made under subsection (1) may be revoked through the same medium by which it was published.

(5) Notwithstanding anything written in subsection (4), if any person has already completed the work according to the advertisement under subsection (1) before the notice of revocation is published, the remuneration mentioned in the advertisement must be paid. Provided that the person doing the work according to the advertisement must have notified the advertiser of the completion of the work as soon as possible.

(6) If any person has notified the advertiser that he has started the work according to the advertisement under subsection (1) and has commenced the work, such person performing the work shall be paid reasonable remuneration for the work done until the advertisement is revoked. 512. Place of contract: (1) The place where the proposer sent the proposal for the purpose of receiving acceptance shall be deemed the place of

contract.

(2) In the absence of specification under subsection (1), the place where the proposer received the acceptance shall be deemed the place of contract.

(3) Notwithstanding anything written in subsections (1) and (2), if the parties have specified the place of contract in the contract, that place shall be deemed the place of contract. 513.

Contingent contract: (1) If a contract is made to do or not to do something upon the occurrence of a future event, no obligation shall be created under such contract until such event occurs. (2) If a contract is made that a contract shall be deemed to be concluded if a person does a specific act in the future, no obligation shall be created under such contract if such person does or does something that makes it impossible for him to do such act. (3) If a contract is made to do or not to do something upon the non-occurrence of an uncertain future event, the obligation under such contract shall be created only after such event becomes impossible to occur. (4) If a contract is made to do or not to do something upon the occurrence of an event within a specified time in the future, such contract shall be deemed void after such specified time or after such event becomes impossible to occur after the expiry of the specified time. (5) If a contract is made to do or not to do something upon the non-occurrence of an event within a specified time in the future, the obligation under such contract shall be created if such event does not occur within such time or if it becomes certain that such event will not occur within such time. 514. General provisions of contract to apply: The provisions of this Chapter and Chapters 3, 4, and 5 of this Part shall generally apply to other contracts concluded under this Code or law. 515. Interpretation of a contract: (1) A contract shall be interpreted according to the common intention of its parties. (2) If the intention under subsection (1) cannot be established, the contract shall be interpreted according to the meaning a person of ordinary understanding, in the position of a party, would give in normal circumstances. (3) If a statement or conduct of one party to a contract is known or can be deemed known to the other party, the contract shall be interpreted according to the intention of such party. (4) The terminology and expressions used in a contract shall be interpreted based on the contract as a whole or the context in which such terminology and expressions appear. (5) The terminology used in a contract shall be interpreted in a manner that gives effect to all the terminology used therein, without rendering any terminology ineffective to the exclusion of others. 516. Limitation period: A person suffering loss from any action or proceeding conducted under this Chapter may file a lawsuit within two years from the date on which the cause of action arose.

Chapter-3 Validity of Contracts 517. Void contracts: (1) A contract that is not recognized by law shall be deemed a void contract. (2) The following contracts shall be void: - (a) A contract that restrains a person from engaging in a profession, trade, or business not prohibited by law, Provided that a contract shall not be deemed to restrain a person from a profession, trade, or business in the following circumstances: - (1) a contract made between a buyer of goodwill and the seller of a trade or business, that the seller shall not carry on a similar trade or business within the period and place specified in the contract. (2) A contract between partners that, while the partnership lasts, a partner shall not carry on the same or any other profession, trade, or business with competitors other than the profession, trade, or business of the partnership firm. (3) A contract between partners that, after leaving the partnership, a partner shall not carry on the profession, trade, or business of the partnership firm for a specified reasonable period or in a specified place. (4) A contract between a person and another person, firm, company, or entity, that while serving or for a specified period after retirement from the service of such person, firm, company, or entity, such person shall not accept service with any other person, firm, company, or entity competing with such person, firm, company, or entity. (b) A contract that restrains a person from marrying any person other than a marriage prohibited by law, (c) A

contract that restrains a person from availing a facility being availed by the public, (d) A contract that restrains a person from enforcing a legal right obtained by him through any court, (e) A contract that is against the law or relating to a matter prohibited by prevailing law, (f) A contract made for an immoral purpose or against public order or interest, (g) A contract where the subject matter of the contract is not clearly certain or known to the contracting parties, making it impossible to perform, (h) A contract that is impossible to perform at the time it is made, or a fictitious contract, (i) A contract that is vague, incapable of being given a reasonable meaning, (j) A contract made by a person incompetent to contract, (k) A contract with an unlawful purpose, (l) A contract made by mistake of both parties at the time of contracting regarding an essential fact of the contract. (3) A void contract shall be invalid from the beginning and shall not create any legal consequences, rights, or obligations of the parties. (4) Even if a part of a contract is void, the remaining part shall be enforceable by law.

518. Voidable contracts: (1) A contract that can be declared void by a court at the instance of a party to the contract shall be deemed a voidable contract.

(2) A contract made as follows may be avoided by the person suffering loss from such contract through a court: -

(a) A contract made by coercion,

Explanation: If any person, with the intention of causing another person to make a contract against his will, keeps or threatens to keep his property in custody, or threatens to cause harm to his body, life, or reputation, or does or threatens to do any other unlawful act, it shall be deemed coercion.

(b) A contract made by undue influence,

Explanation:

(1) Influence exerted over a person who is under one's influence and can be made to act according to one's will, with the intention of taking any unfair advantage for one's own interest or benefit, shall be deemed undue influence.

(2) Without prejudice to the generality of clause (1), the following persons shall be deemed persons under one's influence and can be made to act according to one's will: -

(a) A person under one's guardianship, representation, or charge,

(b) A person who, due to old age, illness, or physical or mental infirmity, is temporarily or permanently incapable of considering his own interest,

(c) A person over whom one can exert economic or positional pressure.

(c) A contract made by fraud,

Explanation: If a party to a contract or his representative, with the intention of deceiving the other party or his representative, makes a false statement knowing it to be false, or does any act likely to induce belief in a false statement, or knowingly conceals a fact while aware of it, or does any other act that constitutes fraud under law, it shall be deemed fraud.

(d) A contract induced by misrepresentation.

Explanation: The following acts shall be deemed misrepresentation: -

- (1) Giving false particulars or facts without reasonable basis,
 - (2) Misleading a party to his detriment,
 - (3) Causing a mistake regarding the subject matter of the contract,
 - (4) Leading a person to believe that a contract is about one subject matter while making it about another.
- (3) In respect of a contract that may be avoided under this Section, the following shall apply: -
- (a) The party induced to make the contract may, without avoiding the contract, demand that his position be restored to what it would have been had the contract not been made,
 - (b) If a person makes a contract with a person under his influence and who can be made to act according to his will, the burden of proving that such contract was not made under undue influence shall lie on the party who is alleged to have exerted such undue influence.
- (4) A voidable contract shall be enforceable like a valid contract until it is avoided.
- (5) If a contract that is voidable under this Section is avoided by a court, acts done under such contract before avoidance shall not be affected.
- (6) If a contract is avoided under this Section, the lawful right or interest of an innocent third party shall not be adversely affected merely by reason of such avoidance. 519. Unenforceable contracts: (1) A contract that cannot be enforced by a court shall be deemed an unenforceable contract.
- (2) Even if a contract has been concluded following the procedure under Chapter 2 of this Part, the following contracts shall not be enforceable by a court: -
- (a) A contract required by law to be in writing but not in writing,
 - (b) A contract for which there is a provision requiring compliance with a specific formality, procedure, or registration with a body, but such formality, procedure, or registration is not completed,
 - (c) A contract made on behalf of another person regarding a matter for which such person did not grant authority, or exceeding the authority granted. 520. Limitation period: A person suffering loss from any action or proceeding conducted under this Chapter may file a lawsuit at any time in the case of a void contract, within one year from the date on which the cause for avoiding the contract arose in the case of a voidable contract, and within two years from the date on which the cause of action arose in the case of other contracts.

Chapter-4

Provisions relating to Performance of Contracts

521. Obligation under the contract must be performed: Each party to a contract must perform their respective obligations under the contract. 522.

Mutual performance of contract: (1) In a contract where the parties are required to perform their obligations simultaneously, if one party shows conduct or intention fundamentally not to perform his obligation, the other party shall not be required to perform his promise. (2) If a priority order for performance of any promise is specified in the contract itself, it shall be followed accordingly; if no such order is specified, the person who ought to perform his promise first according to the nature of the contract shall perform it first. (3) If, in a contract involving mutual promises, one promise cannot be performed without the other being performed, the party who has suffered loss or damage due to the failure of the other party to perform his promise, rendering

performance by the other party impossible, may recover such loss or damage. (4) In a contract where parties are required to perform their obligations simultaneously under subsection (1), if one party prevents the other from performing such contract, the other party unable to perform may have such contract rescinded and also recover any loss or damage caused by such rescission. (2) If a contract is made jointly by two or more persons to do or not to do any act, all such persons who have made the contract may jointly demand the performance of the contract, unless otherwise provided in the contract. 531.

Performance of contract not required if there is a fundamental change in circumstances: (1) If there is a fundamental change in the circumstances existing at the time of making the contract, making it impossible to perform the contract, the work as per the contract need not be done. (2) Without prejudice to the generality of subsection (1), a fundamental change in the circumstances existing at the time of making the contract shall be deemed to have occurred in any of the following situations:- (a) If the contract becomes illegal and cannot be performed, (b) If circumstances beyond human control, such as war, flood, landslide, fire, earthquake, volcano, arise, making it impossible to perform the contract, (c) If the object which was necessary for the performance of the contract is destroyed or damaged, ceases to exist, or becomes unobtainable, (d) If the contract was to provide services based on personal competence, skill, or talent, and the person providing such service dies, becomes of unsound mind, or becomes unable to perform the contract due to physical or mental disability. (3) Notwithstanding anything written in subsection (2), a fundamental change in the circumstances existing at the time of making the contract shall not be deemed to have occurred in any of the following situations:- (a) If there is difficulty in performing the contract, (b) If there is low profit or loss in performing the contract, (c) If the party obligated to perform the contract is dependent on a third party who is not a party to such contract, and such third party makes a mistake or becomes incapable, (d) If there is a strike or lockout, (e) If additional taxes, fees, or any other revenue must be paid, (f) If the contract was made for more than one purpose, and any of those purposes cannot be fulfilled. (4) If a situation as per subsection (3) arises, the parties may negotiate to review or amend the terms of the contract, unless otherwise provided in the contract. (5) If, due to a fundamental change in circumstances as per subsection (2), it becomes impossible to perform the contract, the following shall apply:- (a) Any amount paid by one party to the other under the contract before such change in circumstances must be refunded to the other party, (b) Any amount that one party is required to pay or has remaining to pay to the other party under the contract shall not be payable after such change in circumstances, (c) If any party has already performed any work or paid any amount before such change in circumstances, an account of such work or amount shall be made, the amount payable to each other shall be determined, and the reasonable expenses incurred by a party under such contract may be recovered from the other party. (6) Notwithstanding anything written elsewhere in this section, after the situation mentioned in clause (b) of subsection (2) ends, the parties to the contract may agree to continue the performance of the contract and fulfill their respective obligations.

532. To provide facilities: (1) The parties to a contract shall provide each other with the facilities necessary for the performance of the contract from their side.

(2) If the contract cannot be performed due to the failure to provide facilities as per subsection (1), the party failing to perform shall not be liable. 533. Contract may be suspended or amended: (1) With the consent of the party to the contract, the whole or any part of the work to be done as per the contract may be amended or modified, the period for doing the work as per the contract may be extended, the contract may be suspended so that the work to be done as per the contract need not be done for some time, some other work may be done instead of the work specified in the contract, or another contract may be made instead of such contract. (2) If the contract is amended or modified as per subsection (1), it shall be deemed to be a new contract and shall be effective accordingly.

(3) If a new contract is made as per subsection (2), liability under the original contract need not be borne, unless otherwise provided in such new contract. 534. Limitation period: A person aggrieved by any action or proceeding under this Chapter may file a suit within two years from the date on which the cause of action arises. Chapter-5

Provisions relating to Breach of Contract and Remedies

535. Deemed breach of contract: (1) If any party to a contract fails to fulfill the obligations as per the contract, gives notice to the other party that he/she will not do the work to be done as per the contract, or appears to be unable to do the work as per the contract from his/her actions and conduct, he/she shall be deemed to have breached the contract.

(2) If a party has breached the contract as per subsection (1), and it appears from his/her actions or conduct that he/she has substantially failed to perform the contract, or it appears that there has been a substantial breach of contract from the conduct or actions of the party, the other party may, by giving notice to such party, rescind such contract.

(3) If the contract is rescinded as per subsection (2), the party rescinding the contract shall not be bound to perform the contract. 536. Indivisible nature of authority to rescind contract: If a party to a contract consists of two or more persons, the contract may be rescinded only if the act of rescission is done by all such persons or is made applicable to all such persons. 537.

Compensation for breach of contract: (1) If a contract is breached as per Section 535, the party aggrieved thereby may recover from the party committing the breach the actual loss or damage caused by the breach, or the loss or damage determined based on the knowledge of the parties to the contract at the time of making the contract that such loss or damage might occur. (2) If the contract contains a pre-estimate of a certain amount to be received as compensation in case of breach, the aggrieved party may recover from the other party a reasonable amount as per subsection (1), not exceeding such amount. (3) If there is no provision for compensation in the contract as per subsection (2), the party claiming such compensation may recover the direct and actual loss or damage caused by the breach of contract, or a reasonable amount as compensation for the breach. Provided that indirect or imaginary loss or damage shall not be recoverable. (4) If the contract is to complete a certain work within a specific period, and such work is not completed within that period, and if there is a provision for compensation as per subsection (2), the party paying such compensation may demand an extension of the period for completing the contract in proportion to the amount of compensation paid. (5) The mere fact that compensation has been paid under this section shall not be deemed to adversely affect the right of a party to obtain other legal remedies in relation to the breach of contract. 538.

Consequences of rescission or voidness of contract: (1) If, after a party to a contract has received any cash, goods, or other benefits of service from the other party as per the contract, or has partially fulfilled the obligations as per the contract, the contract is rescinded by agreement of the parties, or performance of the contract is no longer required under this Part or other law, or the contract becomes void or is declared void by law, or the contract becomes invalid or is rescinded under this Part, the cash, goods, or service so given shall be returned after settling accounts up to the day the contract remained in force. (2) If any service or benefit other than cash or goods was given as per subsection (1), the party receiving such service or benefit shall pay a reasonable amount to the other party for such service or benefit. (3) If legal proceedings become necessary due to failure to return cash or goods or pay the amount as per subsection (1), the reasonable expenses incurred therein may also be recovered. 539. Recovery of amount in proportion to performance of contract: If a party has breached the contract or the contract is terminated for any other reason, the aggrieved party may claim from the other party the amount as per the contract in proportion to the work done or the

performance of the contract. 540. Specific performance of contract: (1) If cash compensation for the actual loss or damage suffered by the aggrieved party due to the breach of contract is not reasonable and adequate, the aggrieved party may demand specific performance of the contract instead of compensation. (2) Notwithstanding anything written in subsection (1), specific performance of the contract cannot be demanded in any of the following situations:- (a) If cash compensation for the breach of contract is adequate, (b) If the court cannot supervise whether the work as per the contract has been done or not, (c) If the contract was made to provide services of personal skill, talent, or knowledge, (d) If the situation does not allow specific performance, (e) If the party committing the breach itself claims specific performance of the contract. 541.

Court may order: (1) If the performance of the contract becomes impossible due to any act, action, or behavior that a party to such contract is about to undertake, which ought not to be done according to the nature of such contract, the party aggrieved by such act, action, or behavior may file a complaint in the court to restrain such act, action, or behavior. (2) If a complaint is filed as per subsection (1), the court may issue an appropriate order to immediately restrain any specific act, action, or behavior of a party, provided that the resolution of the dispute arising from such contract shall be according to such contract or law. (3) If an order is issued as per subsection (1), and such party fails to comply with the order so given, the aggrieved party may also recover the additional loss or damage caused thereby. 542. Compensation to be determined in monetary value: Unless otherwise provided in the contract, when assessing compensation for loss or damage under this Chapter, it shall be determined in monetary value. Provided that, with respect to the remedy under Section 540, it shall be according to that Section. 543. Court may consider: When determining compensation arising from a breach of contract, the court shall consider whether such breach was intentional by the party or occurred due to negligence, and also what amount or benefit the innocent party could have obtained if the breach had not occurred. 544. Limitation period: A person aggrieved by any action or proceeding under this Chapter may file a suit within two years from the date on which the cause of action arises. Chapter-6 Provisions relating to Contract of Sale of Goods 545. Deemed contract for sale of goods: (1) If any seller, for a price, agrees to transfer any goods to a buyer immediately or in the future, it shall be deemed to be a contract for sale of goods. Explanation: For the purpose of this Chapter, "goods" means any movable property that can be bought and sold, excluding current money, securities, or an enforceable claim. (2) A contract for sale of goods may be without condition or with condition. (3) A contract may be made for the sale of goods currently in the possession or use of the seller, or goods that he/she will produce or obtain in the future. 546.

Contract for sale of goods void: If a contract is made to sell a specific kind of goods, and at the time of making such contract or before that, such goods have already been lost or damaged, and the seller was not aware of that fact at the time of making the contract, such contract shall be void. Explanation: For the purpose of this section, "specific kind of goods" means the specific kind of goods mentioned in the contract at the time of making the contract. 547. Determination of price of goods: (1) Unless otherwise provided in the contract, the price of goods shall be determined by the terms of the contract, by the method agreed upon in the contract, or through the course of dealing between the parties. (2) If the price of goods is determined by measurement or weight, unless otherwise provided in the contract, the price of such goods shall be based on net measurement or weight. (3) If the price of goods cannot be determined as per subsection (1) or (2), the buyer shall pay a reasonable price to the seller, considering the relevant circumstances. 548. Payment of price of goods: (1) Unless otherwise provided in the contract, the price of goods shall be paid as follows in any of the following situations:- (a) At the time of purchase, the buyer shall pay the price of the goods purchased to the seller, (b) At the time of delivery of the goods. (2) When paying the price of goods as per subsection (1), it shall be made in cash. Explanation: For the purpose of this section, "cash" also includes

cheques, traveler's cheques, promissory notes, bills of exchange, letters of credit, bank drafts, credit cards, and telegraphic transfers paid through a bank. 549. Description of goods: (1) If the description of the name, brand, trademark, or specification of any goods to be sold is mentioned in the contract, it shall be deemed that the contract is for the sale of goods according to such name, brand, trademark, or specification. (2) If both the description of the name, brand, trademark, or specification and a sample of the goods to be sold are mentioned, the bulk quantity of such goods must conform not only to the sample but also to the description of the name, brand, trademark, or specification. 550.

Deemed title in goods sold: (1) Unless otherwise provided in the contract, it shall be deemed that the seller has or will have title to the goods sold (if sold) or to the goods agreed to be sold (if for future sale), and that such goods are or will be free from any possession, control, or use of any other person. (2) Unless otherwise provided in the contract, it shall be deemed that the seller has the right to sell the goods sold or to be sold. 551. Deemed satisfactory quality of goods: (1) Unless otherwise provided in the contract, the goods sold or to be sold shall be deemed to be of satisfactory quality. (2) If any specific goods sold or to be sold are fit for a particular purpose, such goods shall be deemed to be of satisfactory quality. (3) Notwithstanding anything written in subsection (2), if the defect in such goods is mentioned in the contract, or if the buyer was aware of it before such contract or upon seeing the goods, such goods shall not be deemed to be of unsatisfactory quality. (4) If the quality of any specific goods is mentioned in the contract, it shall be according to that; if not mentioned, such goods must be of a quality according to the prevailing standard. (5) Unless otherwise provided in the contract, the seller shall not be deemed to have warranted that the goods sold or to be sold are of a specific quality. 552. Right to accept or reject goods of different quality: (1) If the buyer brings goods of different quality than that specified in the contract, the buyer may accept and take delivery of all such goods, reject all goods, or accept part of them and reject the remainder. (2) If any goods are wholly or partially rejected as per subsection (1), the buyer may give notice to the seller to deliver other goods in place of such goods or to improve the quality of such goods, if possible. (3) If notice is given as per subsection (2), the seller shall deliver other goods in place of such goods or improve their quality as per the notice given by the buyer or according to the agreement reached between them. 553.

Deemed contract of sale by sample: (1) If the contract expressly or impliedly provides for the sale of goods by sample, it shall be deemed to be a contract for sale by sample. (2) If a contract is made for the sale of goods by sample, unless otherwise provided in the contract, the following terms shall be deemed to be included in such contract:- (a) that the bulk of the goods shall correspond in quality with the sample, (b) that the buyer shall have a reasonable opportunity of comparing the bulk of the goods with the sample, (c) that the goods sold or to be sold shall be free from any defect and of satisfactory quality upon inspection when comparing with the sample. 554. Provisions relating to transfer of title in goods: (1) If a contract is made for the sale of specific or ascertained goods, the transfer of such goods shall be as mentioned in the contract, and if not mentioned in the contract, it shall be according to the intention of the parties as expressed by the terms of the contract, the conduct of the parties, and the relevant circumstances. (2) Unless otherwise provided in the contract, if a contract is made for specific goods in a deliverable state, it shall be deemed that the intention of the parties is to transfer the goods after the contract is made or after the price is paid. (3) If a contract is made for specific goods in a deliverable state, and the buyer is required to perform any act such as measuring, weighing, testing, or any other act to ascertain the price, the goods shall not be transferred until such act is performed and the buyer gives notice thereof to the seller within a reasonable time. (4) Unless otherwise provided in the contract, it shall be deemed that the contract is for the transfer of goods at the place where the goods sold or to be sold are located. (5) Unless otherwise provided in the contract, it shall be deemed that the title or ownership in the goods passes to the buyer at the time of delivery of the goods to the

buyer. 555.

Bearing of risk: (1) Unless otherwise provided in the contract, until the goods are delivered to the buyer, the risk of loss or damage to such goods shall be borne by the seller. (2) If delivery is delayed due to the fault of the seller or the buyer, the person causing the delay shall bear the risk of loss or damage to the goods as per subsection (1). (3) If the seller has agreed to deliver the goods from the place of purchase to the place specified by the buyer, unless otherwise provided in the contract, the risk of loss or damage to such goods shall be borne by the seller. 556. Buyer's right to ascertain goods: When goods sold are delivered to the buyer, the buyer shall have a reasonable opportunity to examine and ascertain whether such goods are as per the contract, and the buyer shall not be deemed to have accepted the goods until he/she has so ascertained. 557. Deemed acceptance of goods: The buyer shall be deemed to have accepted the goods in any of the following situations:- (a) if the buyer or his/her representative accepts the goods, (b) if a receipt or voucher for acceptance of the goods is given, (c) if, after ascertaining the goods as per Section 556 and confirming they are as per the contract, the buyer stores them, (d) if any goods have been sent to the buyer and he/she retains such goods without giving notice to the seller within a reasonable time that he/she rejects them, (e) if any act is done by him/her that confirms his/her ownership and control over such goods. 558. Time for delivery of goods: (1) If the contract specifies that any goods must be delivered at a specific time or within a specific period, the seller must complete delivery of such goods to the buyer within that time or period. (2) Notwithstanding anything written in subsection (1), if the buyer accepts goods delivered by the seller before or after the time or period specified in the contract, the seller shall be deemed to have delivered the goods. 559. Delivery of documents relating to goods sold: Unless otherwise provided in the contract, if any goods are sold, and the seller delivers the goods without delivering the documents related to the title of such goods or those fundamentally necessary for the use of such goods, the transfer of title shall not be deemed to have taken place. 560. Goods not to be delivered in different quantity than contracted: (1) If the seller delivers a lesser quantity of goods than specified in the contract, the buyer may reject such goods.

Provided that if the buyer accepts such quantity of goods, he/she shall pay the price for that quantity at the rate specified in the contract. (2) If the seller delivers a larger quantity of goods than specified in the contract, the buyer may accept the quantity specified in the contract and reject the remainder, or reject the whole quantity. Provided that if the buyer accepts the whole quantity delivered, he/she shall pay the price for the whole quantity at the rate specified in the contract. (3) If the seller delivers goods mixed with goods of a different description than specified in the contract, the buyer may accept the goods specified in the contract and reject the remainder, or reject the whole. (4) Unless otherwise provided in the contract, the buyer shall not be bound to accept goods in installments. (5) If the buyer rejects goods delivered by the seller, unless otherwise provided in the contract, the buyer shall not be bound to return the rejected goods. Provided that the buyer shall give notice to the seller by the quickest means, stating the reason for rejection. 561. Special provisions relating to compensation: Notwithstanding anything written elsewhere in this Part, with respect to compensation for a contract under this Chapter, the following shall apply:- (a) If, after a contract for sale of goods is made, the buyer does not accept the goods or refuses to accept them, or refuses to pay the price, the seller may, subject to the contract, claim compensation from the buyer for such non-acceptance or refusal, (b) When determining compensation as per clause (a), if the goods not accepted or refused to be accepted by the buyer are available in the market, the compensation shall be determined based on the difference between the contract price and the market or prevailing price of such goods, (c) If, after a contract for sale of goods is made, the seller does not deliver the goods to the buyer as per the contract, or refuses to deliver them, the buyer may claim compensation from the seller for non-delivery, (d) When determining compensation as per clause (c), if the goods not delivered or refused to be delivered by the seller are

available in the market, the compensation shall be determined based on the difference between the contract price and the market or prevailing price of such goods. 562.

Limitation period: A person aggrieved by any action or proceeding under this Chapter may file a suit within two years from the date on which the cause of action arises. Chapter-7 Provisions relating to Contract of Guarantee 563. Deemed contract of guarantee: (1) If a contract is made by which a third party agrees to pay or perform a loan taken or a liability undertaken by one person, in case such person fails to pay or perform, it shall be deemed to be a contract of guarantee. (2) If a third party has given a guarantee as per subsection (1), and the person liable to pay the loan or perform the obligation fails to do so, the person giving the guarantee shall pay or perform such loan or obligation according to the terms of the contract. (3) The terms of the guarantee shall be as determined in the contract. (4) A contract of guarantee must be in writing. 564.

Liability of the guarantor: (1) Unless otherwise provided in the contract, the liability of the guarantor shall be as follows:- (a) The liability of the guarantor arises from the time the person required to perform the obligation fails to do so, (b) The liability of the guarantor shall be the same as that of the person liable to pay the loan or perform the obligation, and the guarantor shall remain responsible until such person is not discharged from the payment or performance liability, (c) The liability of the guarantor shall not be extinguished merely because the person liable to pay the loan or perform the obligation is discharged from the liability by operation of law. (2) Notwithstanding anything written in subsection (1), if both security and a guarantee are provided for a loan or obligation, the guarantor shall not be liable to the extent covered by such security. (3) As soon as the obligation payable to the creditor is breached by the person liable to pay or perform, the contract of guarantee shall become effective, and the creditor may enforce such obligation against the guarantor. Explanation: For the purpose of this Part, "creditor" means the person lending the loan, and such term also means a person entitled to receive any benefit or to have any work done from the person liable to pay the loan or perform the obligation. (4) Notwithstanding anything written in subsection (3), before claiming from the guarantor the amount not paid or the obligation not performed as per the contract of guarantee, the creditor shall give notice to the debtor to perform the contract according to the terms or conditions of the contract. 565.

Circumstances for discharge of the guarantor from liability: (1) Unless otherwise provided in the contract, in any of the following situations, the guarantor shall be discharged from his/her liability to the extent specified:- (a) If, without the consent of the guarantor, the person liable to pay the loan or perform the obligation makes any alteration in the terms of the contract that materially affects the contract, then for transactions subsequent to such alteration, (b) If a contract is made discharging the person required to perform the obligation from the liability for which the guarantee was given, (c) If, by any act of the creditor, the person liable to pay the loan or perform the obligation is discharged, or the debt is remitted, (d) If the creditor agrees to accept a lesser sum than due from the debtor and discharge him/her, or to grant him/her further time for payment or not to sue, (e) If any act of the creditor adversely affects the legal remedy of the guarantor against the person liable to pay the loan or perform the obligation, (f) If the creditor loses, damages, or returns to the debtor any security taken from the debtor, to the extent of the value of such security, (g) To the extent that the amount payable to the creditor or the obligation to be performed as per the contract has been paid or performed by the person liable to pay or perform. (2) Notwithstanding anything written in subsection (1), unless otherwise provided in the contract, the guarantor shall not be discharged from his/her liability merely because the creditor has not taken legal proceedings against the guarantor in time or has not made efforts to recover the amount due. (3) If there are two or more guarantors, and the creditor releases any one guarantor from liability, the other guarantors shall not be discharged from their share of the liability. (4) Notwithstanding anything written in subsection (3), if the share of liability of the guarantors cannot be distinguished, even if the creditor releases

any one guarantor, he/she shall not be deemed to be discharged from his/her liability. (5) Unless otherwise provided in the contract, the guarantor shall not be discharged from performance of the obligation under the contract of guarantee merely because a dispute has arisen between the parties regarding the contract that created the obligation for which the contract of guarantee was made. 566.

Relationship between guarantor and debtor: (1) The guarantor shall require the person liable to pay the loan or perform the obligation to pay the loan or perform the obligation as per the contract. (2) If, at the time of taking the loan or obligation, the debtor has given any property or security to the guarantor for the guarantee, such person shall not, without the consent of the debtor, pledge, sell, or otherwise transfer his/her right over such property or security. (3) If a loan or obligation was taken for a specific purpose and a guarantee given for it, the purpose, nature, or terms of such loan or obligation shall not be altered without the consent of the person giving the guarantee. (4) Notwithstanding anything written elsewhere in this section, the relationship between the guarantor and the debtor shall be as otherwise written in the contract. 567. Substitution of guarantor in place of creditor: (1) After the guarantor pays or performs the loan or obligation payable or performable on behalf of the debtor to the creditor, the guarantor shall be substituted in place of the creditor with respect to such loan or obligation, and he/she may recover the debt from the debtor or take legal proceedings against the debtor as the creditor. (2) Notwithstanding anything written elsewhere in this Chapter, the debtor shall pay to the guarantor the entire amount paid or performed on his/her behalf by the guarantor, including interest or any other charges or amounts payable thereon. (3) If legal proceedings become necessary due to the debtor's failure to pay the amount due as per subsection (2), or if any other expenses are incurred therefor, the guarantor may also recover such expenses. 568. Circumstances in which contract of guarantee may be voided: The guarantor may void the contract of guarantee in any of the following situations:- (a) if the guarantee was obtained by giving false or misleading information or knowledge to the guarantor by the creditor himself/herself or by anyone else with his/her consent, regarding the subject matter of the transaction for which the guarantee was given, (b) if the subject matter, property, or fact of the guarantee was concealed or not mentioned, (c) if the contract was made with the understanding that a third person would also be a guarantor, and such person did not consent to give the guarantee. 569.

Liability of guarantors equal: (1) If two or more persons jointly or severally give a guarantee for a loan or obligation, and such loan or obligation is not fulfilled by the debtor, unless otherwise provided in the contract, the guarantors shall pay such loan or perform the contract in equal shares. (2) If, when giving a guarantee jointly as per subsection (1), the guarantee is given in parts, the guarantor shall only be liable for the part for which he/she gave the guarantee. 570. Continuing guarantee: (1) If a guarantee is given covering a series of transactions, it shall be deemed to be a continuing guarantee. (2) If a guarantee is provided as per subsection (1), regardless of how many times such transactions occur, the guarantor shall be liable for the amount not paid up to the amount of the guarantee during the period the guarantee contract remains in force. (3) The guarantor may, by giving at least three months' notice in advance to the creditor, revoke the continuing guarantee with respect to future transactions. (4) Unless otherwise provided in the contract, if the guarantor dies, the continuing guarantee shall be deemed to be automatically terminated for transactions thereafter. 571. Deemed contract of indemnity: (1) If a person, while acting under the instructions of a party to a contract, makes a contract to bear any loss or damage that may occur to him/her or to such party or a third party from the actions of such party or third party as a result of his/her actions, it shall be deemed to be a contract of indemnity. (2) If a contract is made as per subsection (1), subject to such contract, such person may recover any or all of the following amounts as compensation:- (a) the indemnity amount as mentioned in the contract, (b) the amount payable for loss or damage caused to a third party, if any, (c) the cost incurred in any suit filed or defended by him/her in relation to the contract of indemnity, (d) the cost incurred in any suit or

case if a suit or case had to be filed due to non-payment of the amount under clause (a), (b), or (c). (3) Notwithstanding anything written in subsection (2), unless otherwise provided in the contract, if a person, while acting under the instructions of another party, causes loss or damage to such party or a third party due to intentional misconduct or negligence, the person performing such act shall be responsible for such loss or damage. 572.

Provisions relating to subrogation: (1) If a contract is made with a person against loss or damage that may be caused by a third party to the property, benefits, rights, or advantages from transactions of a person, the person making such contract shall bear such loss or damage regardless of who caused it. Provided that if there is a contract that such loss or damage shall be borne by another person, it shall be caused to be paid or recovered from such person. (2) If the contract specifies providing a certain amount or compensation for the loss or damage incurred as per subsection (1), it shall be provided accordingly; if not specified, a reasonable amount or compensation shall be given immediately to the person affected by the loss or damage, or if such person has died, to his/her legal representative. (3) If loss or damage occurs as per subsection (1), the person providing the amount or compensation as per subsection (2) shall be deemed to be subrogated to the position of the person who suffered the loss or damage, and accordingly, the person so subrogated may recover the amount or compensation for the loss or damage from the person causing the loss or damage. 573.

Rights of the subrogated person: The rights and liabilities of the subrogated person shall be as written in the contract, and if not written, as follows:- (a) All rights of the person who suffered the loss or damage under the contract shall pass to the subrogated person, (b) The subrogated person may recover from the person causing the loss or damage, or if there is a contract regarding the matter, from the party to such contract, the amount paid or reasonable compensation paid to the person who suffered the loss or damage, and also the expenses incurred if legal remedy was sought therefor. 574. Limitation period: A person aggrieved by any action or proceeding under this Chapter may file a suit within two years from the date on which the cause of action arises. Chapter-8 Provisions relating to Contract of Bailment 575. Deemed contract of bailment: (1) If one person delivers any goods to another person to be kept, with the condition that the goods be returned to him/her or transferred or sold to someone else as directed by him/her, it shall be deemed to be a contract of bailment. Explanation: For the purpose of this Chapter, "goods" means any movable property, excluding currency in circulation, and also includes rights in such property. (2) If goods worth more than twenty-five thousand rupees are kept as bailment when making a contract as per subsection (1), a document must be made. 576.

Deemed delivery and receipt of bailment: (1) After the bailee receives the goods delivered for bailment, the act of delivery and receipt of bailment shall be deemed complete. (2) If any goods are already in the possession or custody of a person or his/her authorized agent, such person shall be deemed to have taken such goods as bailment. 577. Information about goods kept as bailment to be provided: (1) If, due to any defect in the goods delivered for bailment, such goods are not fit for use, may cause any loss or damage, or require separate arrangements or management for their preservation, the person delivering the goods shall inform the bailee of all such matters known to him/her. (2) If the person delivering the bailment, knowing the matters required to be informed as per subsection (1), fails to inform the bailee, the person delivering the bailment shall bear the loss or damage caused by such goods or due to them. (3) Notwithstanding anything written in subsection (2), if any loss or damage occurs due to a defect in any goods given in bailment while using such goods, the person delivering the bailment shall bear such loss or damage even if he/she had no knowledge of the defect in such goods. 578. Duties of the bailee: (1) The bailee shall take reasonable care and safeguard the goods taken as bailment as per the terms mentioned in the contract, and if such terms are not mentioned, as he/she would of his/her own goods. (2) Unless otherwise provided in the contract, if,

despite taking care and safeguarding as per subsection (1), the goods taken as bailment are lost, stolen, damaged, deteriorated, diminished, or destroyed due to a disaster, the bailee shall not be required to return such goods.

Provided that if such goods are lost, stolen, damaged, deteriorated, diminished, or destroyed due to the negligence or misconduct of the bailee, or due to failure to take care or safeguard as per the terms of the contract, he/she shall give such goods or an amount equal to their value to the person delivering the bailment.

(3) If the bailee uses the goods taken as bailment without having the right to use them as per the contract, or uses them contrary to the terms of the contract, and such goods are damaged, lost, deteriorated, or diminished due to such use, the bailee shall compensate the person delivering the bailment for the loss.

(4) Unless otherwise provided in the contract, the bailee shall not mix the goods taken as bailment with his/her own goods. Provided that if, with the consent of the bailor, the bailee mixes his/her own goods with the goods taken as bailment, both shall have rights in such mixed goods and the income derived therefrom in proportion to their respective shares.

(5) If the bailee mixes his/her goods with the bailed goods without the consent of the bailor, and such mixed goods can be separated, the respective rights of the parties shall remain in their respective goods, and the cost of separating such mixed goods and any loss caused to the bailor by such mixing shall be borne by the bailee.

(6) If the bailee mixes his/her goods with the bailed goods without the consent of the bailor, and such goods cannot be separated as per subsection (5), the bailor shall have title to such mixed goods. 579. Goods taken as bailment to be returned:

586. Pledge or deposit to be returned: (1) Unless otherwise provided in the contract, after the loan for which the pledge was kept is repaid or after the work for which the deposit was taken is completed, such pledge or deposit shall be returned to the person who kept such pledge or deposit.

(2) If the pledge or deposit kept pursuant to sub-section (1) is divided into parts or is divisible, to the extent of the part for which the loan has been repaid or the work completed, such pledge or deposit may be returned. 587.

Rights of the person taking the pledge or deposit: (1) If a person takes a loan by pledging any object and such person fails to repay the loan or, if any, its interest within the stipulated time, the person taking the pledge may, by initiating proceedings according to law, recover the amount due by selling or auctioning the kept pledge according to the prevailing market price, or if it cannot be sold or auctioned, subject to law, transfer such pledge to their own ownership. (2) If the pledged object is sold under sub-section (1) by the person taking the pledge for a price lower than the amount recoverable from the debtor, the remaining amount up to the shortfall may be recovered from other assets of the debtor, and if it is sold for a price higher than the amount recoverable, the excess amount shall be returned to the debtor. (3) Notwithstanding anything written in sub-sections (1) and (2), until the pledged object has been sold or ownership has not been transferred, the person giving the pledge may, at any time, repay the loan and its interest and any other amount due and take back their object. Provided that the person giving the pledge shall also bear any additional liability created on the pledged object due to non-payment of the amount within the stipulated time. (4) If any object is taken as a deposit and a person is entrusted with doing certain work, and such work is not completed within the stipulated time or is not done, the object held as deposit may be used to get the work done or to recover the expenses incurred in getting such work done. (5) If the work cannot be completed from the object held as deposit, the remaining amount up to the shortfall may be recovered from other assets of

the person giving the deposit. 588.

Consequences of pledging or depositing an object over which one has no right: (1) If a person, having no right or ownership over an object or having obtained an object under a contract that is void under this Part, gives it to someone as a pledge or deposit and obtains a loan or work, and the person taking the pledge or deposit was unaware of this fact, then the person taking the pledge or deposit may demand from the person giving the pledge or deposit an equivalent object over which the latter has a right as a pledge or deposit, and if unable to provide the demanded pledge or deposit, the person taking the pledge or deposit may rescind such contract. (2) If an object obtained under a contract that is void under this Part is given as a pledge or deposit, and prior to giving such pledge or deposit, such contract had already been voided, or if the person taking the pledge or deposit knew that the object given as pledge or deposit is not owned by the person giving it, then the person taking the pledge or deposit shall have no right over such object, and they may recover the amount due or get the work to be completed from other assets of the person giving the pledge or deposit. (3) If the person giving the pledge or deposit has a partial or limited right or ownership over the object kept as pledge or deposit, the person taking the pledge or deposit shall have rights only to that extent.

59. Creditors to be in equal position: (1) If a person has taken loans from more than one creditor by pledging any of their objects once or multiple times, and the object so pledged is insufficient to repay the debts of all creditors, then, unless otherwise provided in the contract, all creditors taking the object as security shall be deemed to be in an equal (*pari passu*) position regarding the remaining debt, and the claim of all creditors over such object shall be in proportionate shares. (2) A contract made in the future whereby another creditor is given priority over an object already given as pledge under sub-section (1) shall be void. If a creditor, despite knowing that there are other creditors in relation to such debt, has already recovered the debt from such pledge before the rescission of such contract, then such amount shall be returned to the other creditors, and the creditor shall recover from other assets of the person giving the pledge. 50.

Limitation: A person who suffers loss from any act done under this Chapter may file a suit within two years from the date on which the cause of action arose. Chapter-10 Provisions relating to Agency Contract 51. Agency contract deemed to have been made: Except in matters related to a person's personal competence, a person may appoint another as an agent to do any work on their behalf, carry on a business as an agent, transact with a third person, represent them before such person, or establish any kind of legal relationship between the person appointing the agent (the principal) and the third person; and upon such appointment, an agency contract shall be deemed to have been made. 52. Validity of transactions done by agent: (1) Subject to law, a person may do or cause to be done through an agent any act which they themselves can do. Provided that an act which must be done personally according to law cannot be done through an agent. (2) Any contract made through an agent appointed under section 51, or any act done by an agent, shall be deemed to be done by the concerned person (principal), and any liability arising from such act shall be implemented as if it were a contract or act done by the principal. Provided that if the agent has done any act exceeding the authority granted to them, the principal shall not be liable for such act unless accepted by the principal. (3) Notwithstanding anything written in sub-section (1), if among acts done exceeding authority, some acts are within the scope of authority and some are outside the scope, if the part within the scope of authority can be separated, the principal shall be liable for such acts to the extent of the part falling within the scope of authority. 53. Power to appoint sub-agent: (1) Unless otherwise provided in the contract, if according to the nature of any trade, business, or transaction a sub-agent must be appointed, or if a sub-agent may be appointed according to the provisions of the agency contract or practice, the agent may, with the consent of the principal, appoint a sub-agent.

Provided that an agent appointed to personally represent or perform the work shall not appoint a sub-agent.

(2) If a sub-agent is appointed under sub-section (1), the principal shall be informed of this fact, and the rights and duties of the sub-agent so appointed shall be the same as those of an agent appointed by the principal.

(3) If an agent appoints a sub-agent without the consent of the principal, the principal shall not be liable for any act done by such sub-agent.

(4) The agent who appointed the sub-agent under sub-section (3) shall be personally liable for such acts. 54. Matters to be observed by the agent: (1) Unless otherwise provided in the contract, the agent shall observe the following matters: -

(a) Act in accordance with the terms of the agency contract and the instructions given by the principal,

(b) If no condition is mentioned in the contract or no instruction is given by the principal, the agent shall perform the entrusted work with good faith, complete diligence, and necessary skill and competence according to the nature of the work, trade, business, and the law and practice of the place where the transaction is carried out,

Provided that if the principal was aware at the time of the contract that the agent lacked skill or competence in a particular matter, such agent shall not be liable for loss or damage caused by such lack of skill or incompetence.

(c) After being removed from the agency, the agent shall not do any work in the same matter in the former capacity as an agent,

(d) When requested by the principal, the agent shall provide or show details of accounts relating to the agency business,

(e) If any obstacle, hindrance, or difficulty arises in the course of the agency work, the agent shall, as soon as possible, inform the principal and obtain necessary instructions, and the principal shall be liable for acts done in accordance with such instructions.

(2) If the principal suffers any loss or damage due to failure to perform the duties required under clauses (a), (b), and (c) of sub-section (1), the agent shall personally bear such loss or damage. 55.

Agent to be liable: (1) Unless otherwise provided in the contract, the agent shall be personally liable for transactions done on behalf of the principal in any of the following circumstances: - (a) If the agent enters into a contract in relation to any transaction with a third party on terms of personal liability, (b) If the agent works for an undisclosed principal or on behalf of such person without revealing the principal, (c) If, for any reason, a suit cannot be filed against the principal, (d) If the contract is made in the agent's own name, (e) If the agent acts beyond the contract of appointment or authority, (f) If the agent commits fraud or deceit in the course of the transaction, (g) If according to the nature of the business, the agent must be personally liable, (h) If the agent has an interest in the transaction. (2) Unless otherwise provided in the contract between the agent and the third person, the third person shall not be deemed to be barred from making any claim against the principal merely because the agent is personally liable under sub-section (1), and legal action may also be initiated against the principal for any amount not recoverable from the agent. (3) For the purpose of initiating legal action against the principal under sub-section (2), the limitation period shall be deemed to commence from the date of final recovery from the agent. 56. Principal liable if authority represented: (1) If the principal informs or leads a third party to believe that another person has been authorized to do any work on their

behalf, the principal shall be liable for the acts done by the agent on their behalf, except where the third party knew or had reasonable cause to know that such authority was not given. (2) In the circumstance under sub-section (1), even if the agent has acted beyond authority, the principal may be liable for the acts of the agent if there was reasonable ground for the third party to believe that the agent had authority. 57.

Termination of agency: (1) Unless otherwise provided in the contract, the agency shall be deemed to have ended automatically in the following circumstances: - (a) If the agent voluntarily gives notice to the principal of ceasing to be an agent, (b) If the principal revokes the authority or contract given to the agent, or gives notice to the agent that performance of the contract has become impossible, (c) If the agent was appointed for a specific task and that task is completed, (d) If the agent was appointed for a specific period and that period expires, (e) If the principal or agent dies or becomes of unsound mind, (f) If the principal becomes insolvent, (g) If the subject matter for which the agent was appointed ceases to exist, (h) If an incorporated body appoints an agent and such incorporated body is dissolved or liquidated. (2) The principal may revoke the authority given to the agent, wholly or partially, before the agent exercises it, and upon such revocation, the agent shall be given immediate notice thereof. Provided that if the agent has already exercised some authority, such authority shall not be deemed revoked for the acts already done in accordance with it. (3) Notwithstanding anything written elsewhere in this section, if the agent also has a share in the property related to the main subject for which the agency was created, the agent shall not be removed in a manner that adversely affects such share. 598. Prohibition on removal of agent: (1) Unless otherwise provided in the contract, if an agent is appointed for a specific time or task, the principal shall not remove the agent before such time or before the completion of the task without a just and sufficient cause. (2) An agent appointed without specifying a time or task shall not be removed without prior notice with a reasonable cause. (3) If the principal removes an agent contrary to sub-section (1) or (2), such agent shall be given reasonable compensation. 599. Agent not to abandon agency: (1) Notwithstanding anything written elsewhere in this Chapter, unless otherwise provided in the contract, an agent appointed for a specific time or task shall not cease to act as an agent before the expiry of the stipulated time or completion of the task without a just and sufficient cause. (2) An agent appointed without specifying a time or task under sub-section (1) shall not cease to act without giving prior notice with cause to the principal. (3) If any agent ceases to act in such capacity contrary to sub-section (1) or (2), the principal may claim reasonable compensation. 600.

Termination of sub-agent upon termination of agent: If the agent ceases to hold office under this Part, the sub-agent appointed by such agent shall also be deemed to have automatically ceased. 601. Limitation: A person who suffers loss from any act done under this Chapter may file a suit within two years from the date on which the cause of action arose. Chapter-11 Provisions relating to Contract for Carriage of Goods 602. Contract of carriage deemed to have been made: (1) If there is a contract regarding the carriage of any goods from one place to another, it shall be deemed to be a contract of carriage. (2) Unless otherwise provided in the contract, a receipt or acknowledgment given by the carrier to the owner of the goods at the time of delivery of the goods for carriage shall be deemed evidence of a contract between the carrier and the owner of the goods. Explanation: For the purposes of this Chapter, "carrier" means a person operating transport other than air transport or maritime transport, or engaging in the business of such activity, and the term also includes a person operating carriage by inland water transport, ropeway, animals, or any other means. Provided that if goods are carried by a person employed on wages by the owner of the goods, or by the agent or subordinate of such owner, such person shall not be deemed a carrier for the purposes of this Chapter. 603. Liability of the carrier: (1) The carrier shall have the duty to carry goods taken from the owner for carriage in good condition and deliver them to the specified destination. (2) If goods taken from the owner for carriage are lost, destroyed, broken, damaged, or harmed, or if they do not reach the specified destination in

good condition in any other way, the carrier shall be liable. (3) The carrier shall carry the goods within the time mentioned in the contract, or if no time for completion of carriage is mentioned in the contract, within a reasonable time, and deliver them to the owner of the goods, their representative, or the person designated by them. 604. Carrier to be liable: (1) If goods need to be carried by more than one carrier or by more than one mode of transport, unless otherwise provided in the contract, the carrier to whom the owner of the goods delivered the goods shall be liable. (2) If goods carried by a person are stolen, lost, destroyed, or spoiled before delivery to the concerned person, the carrier shall be liable.

Provided that the carrier shall not be liable if such goods are lost, destroyed, or spoiled due to a calamity or accident. 605. Power to sell goods without owner's consent: (1) If, during the carriage of goods, a calamity or accident occurs and the goods cannot be delivered to the destination within the stipulated time, and the goods are likely to be destroyed or their value or quality substantially diminished, the person carrying the goods may sell such goods even without the consent of the owner.

(2) If sold under sub-section (1), the carrier shall pay the amount so received to the owner of such goods. 606. Limitation of carrier's liability: (1) Unless the owner of the goods or their representative has expressly declared the higher value of the goods to be carried at the time of making the contract, or unless otherwise provided in the contract, the compensation payable by the carrier for loss or damage to the goods carried shall not exceed one hundred thousand rupees.

(2) Notwithstanding anything written in sub-section (1), the carrier shall not be liable for loss or damage to gold, silver, diamonds, jewels, articles made of such valuables, precious stones, bills of exchange, securities, instruments executed by courts, certificates issued by educational and other institutions, currency, bank notes, postage stamps, fish, meat, fresh fruits and vegetables, insecticides and pesticides, flammable substances, petroleum products, valuable paintings, statues, curios, goods made of glass or easily breakable or perishable items, wild or domestic animals and birds, handicraft materials, arms and ammunition, electrical equipment (radio, television, computer, mobile or similar other items) and parts thereof, machinery goods, and goods specified by law as items to be declared by the owner prior to carriage, unless the owner or their representative has expressly declared such goods at the time of making the contract or at the time of delivering the goods to the carrier for carriage.

(3) For the risk to be borne for the carriage of goods under sub-section (2), the owner of the goods or their representative may arrange insurance against the risk, or the carrier may arrange insurance by charging a separate fee, or the carrier may make other necessary arrangements to prevent the risk. 607.

Compensation to be borne: Subject to Chapter-5 of this Part, for loss, damage, or harm arising during the carriage of goods declared or required to be declared at the time of making the contract under this Chapter or at the time of delivering the goods to the carrier, the carrier shall bear compensation as mentioned in the contract, and if not mentioned, with the consent of the owner of the goods, the reimbursement for the goods carried, or if no such consent exists or cannot be obtained, the prevailing price of such goods, and if price cannot be determined, a reasonable price, along with reasonable compensation for the loss or damage suffered by the owner of the goods. 608. Termination of carrier's liability: Unless otherwise provided in the contract, the carrier's liability shall be deemed to have terminated in any of the following circumstances: - (a) If the carrier or their representative carries the goods and delivers them to the owner of the goods, their representative, or the person designated by them, (b) If the goods delivered to the carrier are taken back by the owner or their representative before carriage, (c) If, due to the circumstances under clause (b) of sub-section (2) of section 531, the carrier or their representative returns the goods to the owner or their

representative, showing cause that the goods cannot be carried within the stipulated time. 609. Limitation: A person who suffers loss from any act done under this Chapter may file a suit within two years from the date on which the cause of action arose. Chapter-12 Provisions relating to Lease Contract 610. Lease contract deemed to have been made: (1) If there is a contract whereby a person gives any object subject to their right and ownership to another person for possession and use and to derive benefit therefrom for a certain period under the condition of receiving regular rent, it shall be deemed to be a lease contract.

Explanation: For the purposes of this Chapter, "object" means any property that can be used, possessed, or enjoyed without being consumed, and from which benefit can be derived.

(2) If a lease contract is made under sub-section (1), unless otherwise provided in such contract, the lessor shall ensure the following to the lessee: -

(a) To transfer a specific object for possession and use according to the contract,

(b) To keep the object transferred under clause (a) in a usable or operable condition at the time of transfer,

(c) To make arrangements so that the object transferred under clause (a) or (b) can be used or enjoyed peacefully and without hindrance.

(3) Notwithstanding anything written elsewhere in this section, objects that are consumed or destroyed during use cannot be leased. 611. Not to alter form of leased object: The lessee shall not alter the original form of the leased object during the term of the lease without the consent of the owner. Provided that nothing written in this section shall prevent the repair, maintenance, improvement, or renovation of the leased object. 612. Leased object to be used in good faith: (1) The lessee may use and enjoy the leased object in good faith, in a prudent manner, as if it were their own property.

(2) When using and enjoying the leased object under sub-section (1), it must be done in accordance with the purpose of the lease contract.

(3) If it is proven that the leased object has been used or consumed contrary to sub-section (1) or (2), the lessor may terminate such contract at any time. 613. Maintenance and repair of leased object: (1) Unless otherwise provided in the lease contract, the lessor shall carry out the maintenance and repair of the leased object.

(2) Notwithstanding anything written in sub-section (1), if the leased object cannot be used or enjoyed without immediate repair, maintenance, or improvement, the lessee may, after informing the lessor, carry out such repair, maintenance, or improvement themselves.

(3) The cost of repair, maintenance, or improvement under sub-section (2) shall be reimbursed by the lessor or adjusted against the lease rent. 614.

Lessor to be informed if object not usable: (1) If the leased object or any part thereof is damaged, harmed, or lost in any way, or becomes unusable for any reason, or if any person makes any claim or disturbance over such object or any part thereof, or if any hindrance or obstruction arises from anyone during possession and use, the lessee shall immediately inform the lessor thereof. (2) Upon being informed under sub-section (1), the lessor shall, within fifteen days, carry out such repair, maintenance, improvement, or legal remedy as necessary to restore the leased object to its former condition according to its nature. (3) If the leased object cannot be restored to its former condition within the period under sub-section (2), the lease rent shall be reduced in proportion to the damage, loss, unusability, claim, disturbance, or hindrance. 615. Lessee to be

liable: (1) To prevent loss or damage to the leased object, the lessee shall use or enjoy the object by taking adequate security measures according to its nature. (2) If, during the term of the lease, the leased object is destroyed or ruined for any reason, or if any loss or damage occurs to it, or if due to negligence of the lessee, a member of their family, their agent, or a third party, the object is damaged and its value diminishes, the lessee shall be liable therefor and shall restore such object to its former condition accordingly, and if unable to do so, shall pay compensation therefor. (3) Notwithstanding anything written in sub-section (1) or (2), the lessee shall not be liable for loss or damage to the leased object due to force majeure. (4) If the leased object is partially lost or damaged due to force majeure under sub-section (3), and the lessor does not restore it to its former condition or it cannot be restored, the lessor shall reduce the lease rent in proportion to such loss or damage. Explanation: For the purposes of this section, "force majeure" means any of the following circumstances: - (1) Storm, earthquake, volcano, (2) Excessive rain, flood, landslide, landslip, lightning, (3) Fire caused by any means other than bad faith, negligence, or carelessness of the lessee, their family, employees, workers, or a third party, (4) Terror, civil rebellion, civil war, (5) Other natural disasters of a similar nature beyond human control. 616.

Payment of lease rent: (1) The lessee shall pay the lease rent amount to the lessor according to the terms mentioned in the lease contract. (2) If the condition for paying the lease rent under sub-section (1) is not mentioned, in the case of movable property, the lease rent shall be paid by the day following the end of each month; in the case of land taken for farming, easement, industrial or infrastructure construction, or house building, within fifteen days after the end of each fiscal year; and in the case of other objects, within one week after the end of each month. (3) Notwithstanding anything written elsewhere in this section, if any person claims a right over the leased object or any part thereof, creates any hindrance or obstruction, or makes a claim, thereby preventing the lessee from fully enjoying the object or any part thereof, the lessee may reduce the lease rent proportionately. 617. Duration of lease contract: (1) A lease contract relating to the following objects shall not remain in force for a period longer than the following: - (a) In the case of land taken for house building or a house built and under use, thirty-five years, (b) In the case of land taken for the purpose of servitude, thirty-five years, (c) In the case of land taken for the construction, development, and operation of industrial structures or infrastructure such as roads, canals, electricity generation, forty years, (d) In the case of agricultural land, twenty years, (e) In the case of land taken for purposes other than those mentioned in clauses (a), (b), (c), or (d), nineteen years, (f) In the case of vehicles, fifteen years, (g) In the case of mechanical equipment other than vehicles, fifteen years, (h) In the case of other equipment not mentioned in clauses (f) or (g), fifteen years, (i) In the case of domestic animals, ten years, (j) In the case of other objects not mentioned in this section, ten years, considering the lifespan and nature of such object. (2) Notwithstanding anything written in sub-section (1), before the expiry of the period mentioned in that sub-section, the parties may extend the term of the lease contract subject to the applicable term. (3) Notwithstanding anything written in sub-section (2), the parties to the contract may decide to extend or not to extend the term of the lease considering the location of the house and land taken on lease and the nature of the object. 618.

Leased object may be sub-leased: (1) The lessee may, with the prior consent of the lessor, sub-lease the leased object or any part thereof to any person by another lease contract. (2) The lessee shall not be relieved of their liability towards the lessor by reason of sub-leasing under sub-section (1). (3) The terms of the sub-lease contract under sub-section (1) shall not be different from the terms of the original lease contract regarding the sub-leased object. (4) When determining the terms of the sub-lease contract under sub-section (3), it may be provided that the sub-lessee shall be directly liable towards the lessor in relation to the sub-leased object, and if such provision is made, the sub-lessee shall be liable towards the lessor to the

extent of the sub-lease contract. (5) The duration of a sub-lease contract made under sub-section (1) shall not exceed the duration of the contract between the lessor and the lessee. (6) If the lessor makes any legal remedy or claim against the lessee under this Chapter, the sub-lessee shall not be liable therefor, except in the circumstance under sub-section (4). (7) Amended by the Some Nepal Acts Amendment Relating to the Civil Code Act, 2075. Nothing written in this section shall be deemed to hinder in any way the rights that the lessor may exercise under the lease contract. 619. Leased object to be returned: (1) Unless otherwise mentioned in the lease contract, if the lease contract is terminated for any reason, the lessee shall deliver the leased object under this Chapter to the lessor within thirty-five days of such termination. Provided that in the case of immovable property, after thirty-five days of the termination of the lease contract, the lessor's right to possession of such object shall be deemed to have accrued automatically. (2) Under sub-section (1), the lessee shall return the leased object to the lessor in the same condition as it was received at the time of taking the lease. Provided that the lessee shall not be liable for normal wear and tear arising from the use or enjoyment of the object. (3) If at the time of taking the lease, an inventory of the leased object and its accessories and spare parts was prepared, then when returning the leased object under sub-section (1) or (2), the object and its accessories and spare parts shall be returned according to that inventory. Provided that accessory or spare parts which are destroyed, ruined, or consumed in the course of normal use according to the nature of such object need not be returned. 620.

Special provision relating to lease of immovable property: (1) Notwithstanding anything written elsewhere in this Chapter, a lease contract for immovable property shall be made in writing. (2) When leasing immovable property for a period exceeding ten years, such content shall be registered with the authority competent according to law. (3) Notwithstanding anything written elsewhere in this Chapter, immovable property shall not be leased for the purpose of farming, house building, or land development to a person who cannot acquire ownership of immovable property within Nepal according to law, without the approval of the Government of Nepal. (4) Unless otherwise provided in the contract, upon the expiry of the lease term and return of the land taken under the lease contract, houses, sheds, or other structures built by the lessee on such land, or gardens, forests, or trees thereon, the lessee's right and ownership over such houses, sheds, or other structures, or gardens, forests, or trees shall be deemed to continue, and accordingly, the lessee shall remove such houses, sheds, or structures, or gardens, forests, or trees from the land. (5) Notwithstanding anything written in sub-section (4), if the lessor wishes to take such houses, sheds, or other structures, or gardens, forests, or trees as they are, the lessor shall pay the mutually agreed price therefor. 621.

Termination of lease contract: (1) The lessor may terminate the lease contract in any of the following circumstances: - (a) If the lessee fails to pay the lease rent for ninety days after the due date for payment, unless the lessor has otherwise permitted, (b) If the lessee uses or enjoys the leased object contrary to section 612, (c) If the lessee fails to inform or give notice regarding matters under sub-section (1) of section 614, (d) If the lessee fails to restore the leased object to its former condition within a reasonable time according to its nature under sub-section (2) of section 615, (e) If the lessee sub-leases without the prior consent of the lessor. (2) The lessee may terminate the lease contract in any of the following circumstances: - (a) If the leased object becomes unusable or unenjoyable for the purpose or objective for which it was taken, (b) If the lessor fails to reimburse the cost of repair and maintenance or adjust it against the lease rent under sub-section (3) of section 613, (c) If the lessor fails to reduce the lease rent or does not agree to reduce it under sub-section (3) of section 614 or sub-section (4) of section 615. 622. Provisions relating to house rent to apply: Notwithstanding anything written elsewhere in this Chapter, the provisions of Chapter-9 of Part-4 shall apply to house rent. 623. Limitation: A person who suffers loss from any act done under this Chapter may file a suit within two years from the date on which the cause of action arose. Chapter-13 Provisions

relating to Hire Purchase Contract 624. Hire purchase contract deemed to be made: (1) A hire purchase contract shall be deemed to be made if a person hires any object to another person under the following conditions: - (a) The owner of the object hires the object to a person on payment of periodic installments, and the person hiring has the right to possess and use the object, (b) The person hiring may purchase the hired object according to the terms of the contract, (c) After payment of the last installment, ownership of such object is transferred to the person hiring, (d) At any time before the transfer of ownership under clause (c), the person hiring may terminate the contract. (2) A contract under sub-section (1) shall be in writing. (3) A copy of the contract made under this section shall be provided free of charge by the owner of the object to the person hiring immediately upon conclusion of the contract.

Explanation: For the purposes of this Chapter, -

(1) "Object" means any movable property that can be hired for use.

(2) "Person hiring" means a person who obtains any object on hire for use under a hire purchase contract, and the term also includes, in the event of the death of such person, their legal heirs or any other third person entitled to receive such object under the contract. 625. Matters to be mentioned in hire purchase contract: (1) A hire purchase contract under section 624 shall mention the following matters: -

(a) The object and a brief description thereof,

(b) The hire purchase price of the object,

(c) The cash price of the object,

(d) The date on which the contract is deemed to have commenced,

(e) The amount of each installment payable by the person hiring to the owner of the object and the number thereof,

(f) The due date for payment of each installment and the mode of payment,

(g) The person and place to whom the amount under clause (f) shall be paid.

(2) If installments under clause (f) of sub-section (1) may be paid by any means other than cash, a brief description thereof shall be mentioned in the hire purchase contract.

(3) If a hire purchase contract is made without mentioning any of the conditions under this section, the person hiring may file a complaint to have such contract rescinded, and if it appears that the failure to mention any such condition has adversely affected the person hiring, the court may rescind such contract or issue any other order it deems appropriate. Explanation: For the purposes of this Chapter, -

(1) "Hire purchase price" means the total amount payable by the person hiring to purchase or acquire the full ownership of the object, and the term also includes any amount payable as a deposit or initial payment.

(2) "Cash price" means the price at which the person hiring could purchase the object by paying cash. 626.

627. Effect of hire purchase contract: (1) Unless otherwise written in the contract, the following conditions shall be deemed to be implied in a hire purchase contract between the parties: -

(a) The person hiring has the right to possess and use the hired object without hindrance,

(b) At the time of transfer of the object by the owner to the person hiring for possession and use, no fee is

payable and the object is free from any claim by anyone,

(c) The owner of the object has given assurance that the person hiring will have a reasonable opportunity to compare the object with a sample,

(d) At the time of transfer of the object by the owner to the person hiring, the owner had the right to sell such object,

(e) At the time of transfer of the object, the object under clause (a) is of satisfactory quality,

(f) If the person hiring informed the owner that an object was being hired for a particular purpose, the owner has guaranteed that such object or its quality is suitable for that purpose.

(2) Notwithstanding anything written in clause (e) of sub-section (1), the owner shall not be liable for the quality of the object in the following circumstances: -

(a) If, at the time of making the hire purchase contract relating to the object, the owner could not have known of the defect,

(b) If the hire purchase contract itself mentions the inferior quality of the object,

(c) If the person hiring collected and examined any sample of the object and the quality of the object matches that sample,

(d) If the hire purchase contract relates to a used object and the contract mentions such fact.

(3) If the person hiring has hired an object on the basis of a sample, the owner of such object shall be deemed to have assured that the entire object will match the sample.

(4) If a contract is made under this Chapter and a description of the object or its quality is mentioned in the contract, the owner shall be deemed to have guaranteed that the object or its quality is as per the contract.

Provided that if a sample is also mentioned in the contract, it shall not be sufficient that the quality of the consignment of the object matches the sample; it must also match the description in the contract.

(2) For the purpose of sub-section (1), the owner shall give approval or refusal within fifteen days of the written request made by the hirer with the intention of obtaining approval from the owner to transfer his right, interest or liability to another person, and if approval is not received within such period, he shall be deemed to have refused to give approval.

(3) If the owner refuses pursuant to sub-section (2), the hirer may file a suit in court within thirty-five days to have such refusal annulled, and if the court orders that such refusal was not reasonable, it shall be deemed that approval has been obtained from the owner.

(4) Nothing contained in this section shall be deemed to prevent the use or enforcement of such right, interest or liability from being transferred to another person by operation of law. 634. Liability if the goods are used contrary to condition: If the hirer uses the goods related to the hire purchase agreement in a manner contrary to the condition relating to such agreement, he shall be liable therefor. 635. Information of the actual condition of the goods to be given: The person using the goods related to the hire purchase agreement shall, within fifteen days of the owner requesting information, give the owner details regarding the place where such goods are located and the condition of the benefit obtainable from such goods. 636.

Owner may terminate the agreement: (1) If the hirer fails to pay more than one installment amount of the hire

purchase price payable under the hire purchase agreement, the owner may terminate the hire purchase agreement at any time by giving prior notice as follows to such person:- (a) If the installment amount is payable at intervals of one week or less, one week's notice, (b) In cases other than those mentioned in clause (a), fifteen days' notice. (2) Notwithstanding anything contained in sub-section (1), if before the expiry of the period for giving prior notice under that sub-section, the hirer pays to the owner the installment amount due up to that period and, if interest is chargeable under the hire purchase agreement, such interest as well, the hire purchase agreement shall not be terminable. (3) If the hirer fails to comply with the hire purchase agreement or the condition of section 629 or 635, the owner may terminate the hire purchase agreement by giving notice of at least fifteen days. (4) Upon termination of the agreement under sub-section (1) or (3), the owner may exercise the following rights in relation to the goods hired:- (a) To take back such goods wherever and in whatever condition they are, and if unable to take back, to repossess them, (b) To determine from the amount already paid in respect of such goods the amount that he may receive as hire, and notify the hirer to take back the surplus amount, (c) To forfeit any deposit amount taken from the hirer at the time of hiring the goods, (d) To enter the house where the goods are located with the assistance of the police in the course of repossessing the hired goods, (e) To recover compensation from the amount paid or claim such compensation for any loss or damage to the goods caused by failure to return the hired goods in time or by non-compliance with the agreement or the condition of section 629 or 635. (5) Notwithstanding anything else contained in this section, if at least the base value of the hired goods has been paid by the hirer, surety, or investor, the owner shall not be entitled to terminate the hire purchase agreement under this section.

Explanation: For the purpose of this section, "base value" means, for a hire purchase price up to fifty thousand rupees, three-fourths thereof, and for a hire purchase price exceeding that, at least half of such price.

(6) If the owner terminates the hire purchase agreement contrary to sub-section (5), the hirer or the surety shall be discharged from all obligations to be fulfilled under the hire purchase agreement, and he shall be entitled to a refund of the entire amount paid in respect of the hired goods. Provided that he shall return the hired goods to the owner.

(7) Notwithstanding anything contained in sub-section (5), nothing shall be deemed to prevent the right to claim the hire purchase price amount receivable from the hirer under the hire purchase agreement due to the inability to terminate the agreement.

(8) Notwithstanding anything else contained in this section, the owner may terminate the hire purchase agreement with a person who fails to provide the details as per section 635, and may also claim compensation for any loss or damage caused to such goods in any manner. 637. Rights of the hirer upon repossession of goods: (1) If the goods given on hire are repossessed by the owner under clause (a) of sub-section (4) of section 636, the hirer shall receive from such person the amount paid in relation to the hire purchase price up to the day of repossession and an amount equal to the value of the goods on the day of repossession. Explanation: For the purpose of this section, "value on the day of repossession" means the amount that would be obtained upon sale of the repossessed goods after deducting the following expenses or amounts:-

- (1) Reasonable expenses incurred in repossessing the goods,
- (2) Reasonable expenses for storage and maintenance incurred until the sale of the goods,
- (3) Reasonable expenses incurred in selling or otherwise transferring the goods,
- (4) Amount paid on account of any tax, duty, fee, or any outstanding amount payable by the hirer under applicable law in respect of the goods.

(2) The amount under sub-section (1) shall be paid to the hirer within thirty days from the date of repossession of the goods, and if payment is made after such period, interest at the rate of ten percent per annum shall also be paid. 638.

Status of hired goods if the hirer becomes insolvent: (1) If, during the subsistence of a hire purchase agreement, the court determines that the hirer has become or is about to become insolvent under applicable law, the liquidator or any other person having similar authority who takes control of such person's property as a result thereof shall exercise the rights and discharge the liabilities in respect of the goods related to the hire purchase agreement as if he were the hirer. (2) If the hirer becomes insolvent and proceedings relating thereto are pending in any court, the liquidator or the person exercising similar authority under sub-section (1) may, with the permission of such court, transfer the goods related to the hire purchase agreement to any other person in any manner, and if such goods are so transferred, the person receiving the goods upon transfer shall exercise the rights and discharge the liabilities under the hire purchase agreement as if he were the hirer. 639. Limitation: A person aggrieved by any act or action done under this Chapter may file a suit within two years from the date on which the cause of action arose. Chapter-14 Provisions Relating to Wages and Labour 640. Persons who may be employed: (1) Any person who has attained the age of at least fourteen years may be employed with his consent. Provided that a person who has not completed the age of sixteen years shall not be employed in a hazardous occupation or work. (2) When employing a person under sub-section (1), the provisions of this Chapter shall be complied with or caused to be complied with. 641. Wages or remuneration to be paid: (1) When any person is employed in any work under section 640, the employer shall pay wages or remuneration to the worker in proportion to the work, unless the worker voluntarily agrees to work without wages or remuneration. (2) When paying wages or remuneration under sub-section (1), if a specific wage has been fixed by agreement between the employer and the worker, the same shall be paid; if not fixed, the wage or remuneration shall be paid at the rate prevailing in the locality for such work. (3) When paying wages or remuneration under sub-section (1) or (2), the wages or remuneration shall be paid after the completion of the work, unless otherwise agreed between the employer and the worker. (4) When determining wages or remuneration under this section, the wages or remuneration shall be determined on the basis of each day worked, unless otherwise agreed between the worker and the employer. 642.

Explanation: For the purpose of this Chapter, "domestic help" means a person employed in household work in such a manner that he may be employed at any time as required. 644. Special provisions relating to domestic help: (1) If any person employs another as a domestic help, the employer shall also comply with the following conditions in respect of him:-

- (a) Wages or remuneration shall be fixed and paid on a monthly or annual basis,
- (b) According to the status of the employer, meals three times a day (morning, afternoon, and evening) and clothing suitable for the season shall be provided,
- (c) According to his status, suitable accommodation, toilet, and bathing facilities shall be provided,
- (d) If the person is below the age of eighteen years, if he so desires, arrangements for study shall be made at an appropriate time considering the household work,
- (e) If he falls ill, arrangements for his medical treatment shall be made,

Provided that the expenses thereof shall not be deducted from his monthly or annual wages or remuneration.

- (f) He shall not be employed during illness, and in other circumstances, he shall not be given work that he is unable to do due to his age, capacity, or condition,
- (g) In the event of his death, the expenses for his funeral and ordinary mourning rites shall be borne,

(h) Inhuman or humiliating behavior added by the Act to Amend Some Nepal Acts relating to the Civil Code, 2075. or domestic violence shall not be committed,

(i) Other conditions to which the domestic help has agreed shall be complied with.

(2) The expenses incurred under clauses (b), (c), and (d) of sub-section (1) shall not be deducted from the monthly or annual wages or remuneration of the domestic help.

(3) If any person employs another as a domestic help, he may inform the concerned ward committee of the concerned local level in writing within one month from the date of such employment. 645. Not to abandon work taken: (1) After any person has undertaken or promised to do any work, he shall not abandon such work midway without completing it without reasonable cause.

(2) If any person abandons work midway under sub-section (1), the liability therefor shall be borne by the person abandoning the work. 646. Wages or remuneration to be paid to the worker: (1) The wages or remuneration payable by the employer for the work done shall be paid to the worker or to any other person authorized by him.

(2) If the worker dies before the payment of wages or remuneration under sub-section (1), the wages or remuneration payable to him shall be received by his nearest heir. 647.

Limitation: A person aggrieved by the matters under this Chapter may, in the case of section 644, file a suit within three months from the date on which the cause of action arose, and in the case of other matters, within thirty-five days. Chapter-15 Provisions Relating to Quasi-Contract or Implied Contract 648. When quasi-contract or implied contract is deemed: (1) Notwithstanding anything contained in Chapter 2 of this Part, if any person does any definite, lawful, voluntary, or unilateral act that may create a juridical relation, an implied contract or quasi-contract shall be deemed to have been made. (2) If a quasi-contract or implied contract is made under sub-section (1), a liability shall arise under this Chapter from the same facts. 649. Not to voluntarily abandon management of another's property (Negotiorum Gestio): If any person voluntarily manages or operates the closed business or property of another person without the knowledge or authority of such person, he shall not abandon it midway until such closed business or property continues to exist, unless he hands it over to such person or his heir or representative, or unless such person removes him. 650. Person undertaking property to take care or manage: (1) If any person undertakes in any manner to take care of or manage the property of another, he shall take care of or manage it in good faith as if it were his own property. (2) If the person who has undertaken the property under sub-section (1) causes loss or damage due to bad faith or negligence, he shall bear the compensation therefor. 651. Person delegating authority not to be freed from liability: If any person has been entrusted with the responsibility of doing any work by another person, he shall not be freed from his liability to such person by reason of delegating all or any of his authority to do such work to another person, provided that the liability towards such person is not adversely affected. 652. Reasonable expenses to be paid for saving property in a disaster: If any person saves or protects any property without the knowledge of the owner in the event of a disaster such as fire, flood, landslide, storm, or earthquake, the owner of the property shall reimburse the reasonable expenses incurred in saving or protecting such property to such person. 653.

Right to claim reimbursement: (1) If, even though a person was not legally obliged to fulfill any liability, he fulfills such liability at his own expense, and thereby another person receives any thing or benefit, the person fulfilling the liability shall be entitled to claim reimbursement of the amount incurred from the person receiving such thing or benefit. (2) Notwithstanding anything contained in sub-section (1), if any person fulfills a liability for an unlawful purpose, he shall not be entitled to claim reimbursement therefor. 654. Right to claim for

maintenance provided: If any person provides maintenance to another person without the knowledge of the person who has the duty to provide maintenance to such person, the person providing maintenance may claim the amount therefor from such person. Provided that if he provided maintenance out of affection or favor to the person maintained, or with the intention of not claiming the amount therefor, such amount shall not be claimable. 655. Heir to reimburse expenses for funeral of deceased: If any person dies and his funeral, required to be performed according to his custom, tradition, and culture, is performed by another person without the knowledge of the heir or nearest relative of the deceased, and such person claims the expenses incurred in so performing the funeral, the nearest heir of the deceased, or if there is none, the relative, shall reimburse such expenses to him. 656. Expenses for maintenance of an incapable person deleted by the Act to Amend Some Nepal Acts relating to the Civil Code, 2075. to be borne: If a person who has the duty to provide maintenance or care for a helpless minor who is of unsound mind, physically disabled, or has no means of livelihood, refuses to provide maintenance or care, and another person provides maintenance or care, the person providing such maintenance or care may claim reimbursement of the expenses therefor from the person having such duty. 657. Expenses for treatment to be reimbursed: If a person is injured in an accident or becomes seriously ill due to any other reason, and someone other than his immediate heir, relative, or kin voluntarily provides or arranges treatment, the expenses incurred in such treatment shall be reimbursed by the heir, relative, or kin to the person providing or arranging such treatment. Provided that if he provided or arranged treatment with the intention of not claiming the expenses, reimbursement shall not be required. 658.

Expenses incurred by a public body to be borne: If any person voluntarily fails to comply with the necessary health or safety measures required to be observed under law for the protection of his own or the public's body, life, or property, and any government or public body complies or causes the compliance of such measures, such person, even without his consent, shall bear the reasonable expenses incurred in complying or causing to comply such measures. 659. Reimbursement of amount paid by an interested party: If there is an agreement that another person shall pay an amount payable by a person under law, and such other person fails to pay such amount, and the person who is required to pay such amount pays it, the person making the agreement shall reimburse him. 660. Price or remuneration to be paid: If any person gives any goods to another person or employs another person for any work, the price according to such goods or service or the remuneration according to such work shall be paid. 661. May recover price of goods or services: If any person provides any goods or services to a person who is legally incompetent to make a contract or to any person who has the responsibility to maintain such incompetent person, the price of such goods or services may be recovered from the person receiving such goods or services. 662. Property in possession to be kept as a trust: If any person, in any manner, keeps in his possession the property of another which he is entitled to keep under law, he shall keep such property as a trust. 663. Limitation: A person aggrieved by any act or action done under this Chapter may file a suit within two years from the date on which the cause of action arose. Chapter-16 Provisions Relating to Unjust Enrichment 664.

When deemed unjust enrichment: (1) If any person obtains any benefit or facility from another person without any lawful reason for doing work or fulfilling a duty, the person obtaining such benefit or facility shall be deemed to have obtained unjust enrichment. (2) Unjust enrichment under sub-section (1) shall be obtained in the following circumstances:- (a) If there is an increase in his property or a decrease in his liability, (b) If he receives the service of another or has another do work, (c) If another's property is used for his benefit. (3) Notwithstanding anything contained in sub-section (1) or (2), if any person obtains any thing, service, benefit, or facility in any manner, it shall be deemed to be unjust enrichment except in the following circumstances:- (a) If he is entitled to obtain any thing, service, benefit, or facility from a person under law or contract, (b) If he

has obtained it by free consent from the person from whom he obtained any thing, service, benefit, or facility, without the intention of claiming return or reimbursement. (4) When determining whether a person has obtained unjust enrichment under this Chapter and to what extent, no consideration shall be given to any disadvantage or loss, damage suffered by such person after obtaining the unjust enrichment due to the cause thereof. (5) If any person has obtained unjust enrichment under this section, he shall bear liability under this Chapter. 665. If thing not receivable is taken, to be returned (*Solutio Indebiti*): If any person mistakenly takes or obtains any thing that he ought not to take, he shall return such thing to the person from whom he took or obtained it. 666. Debt paid by mistake to be returned: If any person mistakenly believes himself to be a debtor to another and pays a debt amount that he did not have to pay, and he proves that he did not have to pay such debt, the person receiving such amount shall return such amount to him. 667.

Thing or amount obtained in bad faith and its benefit to be returned: (1) If any person maliciously obtains from another any amount or thing to which he has no claim, he shall return such amount or thing, along with the interest legally applicable on such amount from the day of obtaining such amount or thing until the day of return, or the benefit or return obtained from such thing. (2) If any loss or damage has been caused due to the amount or thing obtained under sub-section (1), he shall also pay compensation therefor. 668. Debt paid by a third person to be settled: If a debt payable by a person is paid by another third person without his knowledge, he shall pay the debt paid to the person who so paid it. 669. If another pays a tax payable, may claim reimbursement: If a tax payable by one person is paid by another person, the person who pays such tax may claim reimbursement from the person who has the duty to pay such tax. Explanation: For the purpose of this Chapter, "tax" means any type of government fee, duty, charge, or penalty, and the word also includes local taxes. 670. Found property may be kept after informing police: (1) If any person finds any property in any manner, he may inform the police with its true details and keep such property safely with himself until the owner is found. (2) The expenses incurred in locating the owner of the property under sub-section (1) and in keeping such property shall be borne by the owner, and until such expenses are paid, the person who found the property may keep it. (3) If no one claims the property kept under sub-section (1) within three years, such property shall belong to the finder. 671. Limitation: A person aggrieved by any act or action done under this Chapter may file a suit within two years from the date on which the cause of action arose. Chapter-17 Provisions Relating to Torts 672. When deemed to have committed a tort: (1) No person shall, by any act (commission) or omission, whether due to his own fault, negligence, or carelessness or that of another for whom he is liable under this Chapter, cause any loss or damage in any manner to the body, life, or property of another, or to any right or interest protected by law. (2) If there is no prior contractual relationship between the parties concerning the act or omission under sub-section (1), the loss or damage arising as a result of such act or negligence shall be deemed to be a tort.

Explanation: For the purpose of this Chapter, "omission" means a situation where a person fails to do what ought to be done.

(3) If a tort has been committed under sub-section (2), the person committing such act shall bear liability under this Chapter.

(4) deleted by the Act to Amend Some Nepal Acts relating to the Civil Code, 2075

673. Mother and father to bear liability: For a tort committed by a minor who has not completed the age of fourteen years, the mother and father with whom he resides, or if there is no mother or father, the person exercising maternal or paternal authority over him, shall bear the liability. 674. Guardian or trustee to bear liability: For loss or damage caused by a person of unsound mind, his guardian or trustee shall be

responsible, and accordingly, he shall bear the liability. 675. Employer to bear liability: (1) If any domestic help, other worker, or employee employed by a person causes loss or damage to another person by any act done in good faith in the course of such work, the person, firm, company, or organization employing him shall bear the liability therefor.

(2) Notwithstanding anything contained in sub-section (1), for any act done by a worker or employee through carelessness or bad faith, such worker or employee shall bear the liability. 676. Owner of animal to bear liability for loss or damage caused by the animal: The owner of an animal shall bear liability amended by the Act to Amend Some Nepal Acts relating to the Civil Code, 2075. for loss or damage caused by the animal kept by him or under his control. Provided that the owner shall not be liable if the animal caused the loss or damage while under appropriate control with adequate safety measures taken by the owner according to the nature of such animal, or if the loss or damage was caused by the act, fault, or negligence of the person who suffered the loss or damage. Explanation: For the purpose of this section, "animal" means any type of domestic or wild animal or bird under one's control, and the word also includes pets, reptiles, or wild birds. 677. Owner of house to bear liability if house collapses and causes loss or damage: If a house, whether during construction or after construction, wholly or partially collapses and any part thereof causes any type of loss or damage to any person, the owner of the house shall bear the liability. 678.

Owner of property to bear liability: If any loss or damage is caused to any person due to any of the following reasons, the owner of the property concerned shall bear the liability:- (a) If any machine, equipment, or device explodes due to failure to take appropriate safety measures according to its nature, (b) If any flammable or explosive substance catches fire or explodes due to failure to take appropriate safety measures according to its nature, (c) If any industrial establishment produces excessive smoke or noise contrary to the prescribed standards, (d) If a tree falls or is felled on any highway, road, lane, or path, except due to a disaster or the act of a third person, (e) If polluted, toxic, or infectious substances are discharged openly from a canal, ditch, pipe, or drain without taking appropriate precautionary measures according to prescribed standards. 679. Head of household to bear liability: If any person is caused loss or damage due to throwing any type of garbage or thing from any house, the head of the house concerned shall bear the liability. Explanation: For the purpose of this section,- (1) "House" means a house or hut, and the word also includes the structure of the house. (2) "Head of household" means the person who is the main working member of the family, and the word also includes, in the case of a person living as a tenant in someone's house, the main working member of the tenant's family. 680. Liability for trespass to be borne: For loss or damage caused by trespass on another's property, the person committing the trespass shall bear the liability. Explanation: For the purpose of this section, "trespass" means, in the case of immovable property, unlawful entry into property under the right, possession, or ownership of another, amended by the Act to Amend Some Nepal Acts relating to the Civil Code, 2075. possession of its produce, unauthorized damage, interference, or unlawful disturbance; and in the case of movable property, forcibly taking possession, taking away, taking benefit therefrom, or obstructing or opposing the use or enjoyment of property under the right, possession, or ownership of another; and the word also includes the act of controlling any type of property without authorization. 681.

Joint liability to be borne: (1) If an act deemed a tort under this Chapter is committed by more than one person, unless otherwise proved, each such person shall be personally and jointly responsible for the loss caused by such act in proportion to the extent of the tort committed by them. (2) If separate liability can be determined in proportion to the extent of the tort under sub-section (1), accordingly; if not, all persons responsible for the tort shall bear liability equally. 682. Compensation to be borne for liability: (1) When

bearing liability for a tort under this Chapter, the person committing the tort shall bear compensation. (2) Notwithstanding anything contained in sub-section (1), if a tort has been caused due to the omission, fault, negligence, or carelessness of the person himself as well under this Chapter, the amount of such compensation shall be reduced. (3) Compensation under sub-section (1) shall be limited to the subject matter of actual loss or damage, and fictitious or unrealistic compensation shall not be borne. (4) Compensation may be in the form of cash, kind, or service. (5) If loss or damage is caused under this Chapter, the person who suffered such loss or damage may claim compensation subject to this Chapter. (6) If compensation is claimed under sub-section (5), the court may order the payment of reasonable compensation. 683. Liability not to be borne if separate provision exists: (1) Notwithstanding anything elsewhere contained in this Chapter, if a tort for which liability would be borne under this Chapter is deemed a criminal offense under law, or if there is a separate provision or separate legal remedy in this Code or other law concerning such tort, the liability under this Chapter shall not be borne. (2) Subject to sub-section (1), if a person proves that a tort for which liability would be borne under this Chapter was caused by some other reason and not as a result of the carelessness, negligence, fault, or omission of the person alleged to have committed such tort, he shall be freed from the liability to be borne for such tort. 684. Limitation: A person aggrieved by any act or action done under this Chapter may file a suit within six months from the date on which such act or action was done. Chapter-18 Provisions Relating to Liability for Defective Products 685.

Liability to be borne for defective product: (1) No person shall manufacture, sell, or distribute any goods or services that are defective. (2) If a manufacturer sells or distributes a defective product under sub-section (1), and while consuming such goods, the body, life, or property of any person is caused loss or damage, the manufacturer shall bear liability under this Chapter therefor. Explanation: For the purpose of this Chapter:- (1) "Defective product" means any goods or services that, when consumed, lack the minimum safety measures that an ordinary person would reasonably expect, due to any of the following reasons:- (a) Defective design, manufacture, processing, or installation, (b) Defective packaging, preservation, or storage, (c) Defective presentation, (d) Lack of adequate measures or precautions to control the potential risk or danger according to the nature of the manufactured goods or services. (2) "Manufacturer" means the manufacturer who finally produces and sells or distributes the defective goods or services, and the word also includes the following persons:- (a) If the manufacturer is not found, the distributor or seller who sells or distributes the defective goods, (b) In the case of imported goods, the importer who imports the defective goods, or the distributor or seller who sells or distributes such goods. (3) "Goods" means any industrial product consumed by the general public. 686. Defective product to be proved: If any person claims that any goods or services were a defective product and that his body, life, or property suffered damage due to consuming the same, he shall prove the relationship between such defective product and the damage, and that the damage was caused precisely because of consuming such product. 687.

Exemption from liability: Notwithstanding anything contained in section 685, the manufacturer shall not bear liability if he proves the following:- (a) That he did not manufacture, sell, or distribute the defective product, (b) That the goods or services he manufactured, imported, or sold or distributed were not defective at the time of manufacture, import, or sale or distribution, or became defective after sale or distribution, (c) That the goods or services he manufactured were not on sale or were not sold, (d) That the damage was caused because the consumer did not follow the instructions to be observed when consuming the manufactured goods or services, (e) That the damage was caused because the consumer did not consume the product correctly or consumed it in a manner that should not have been done, (f) That at the time of manufacturing or distributing the goods or services, there was no scientific or technical knowledge that such goods or services were defective, (g) That at the time of sale, information was given that damage could occur if the product from

which the damage occurred was not used properly, (h) That the goods or services were consumed knowingly, or with reasonable cause to know, that loss or damage would occur. 688. Quantum of liability may be reduced: Notwithstanding anything elsewhere contained in this Chapter, if it is proved that the damage was caused due to both the person making the defective product and the person consuming it, the liability of the manufacturer may be reduced proportionately. Provided that if a third party suffers loss or damage from such damage, the quantum of liability shall not be reduced in respect of such party. 689. Not deemed a defective product: A product shall not be deemed defective merely because goods or services of a higher quality than the quality of the goods or services consumed by a person are available in the market. 690. No adverse effect on other rights: Nothing contained in this Chapter shall adversely affect any right, interest, or claim available to a person affected in body, life, or property due to a defective product under law or contract. 691. Limitation: A person aggrieved by any act or action done under this Chapter may file a suit within one year from the date on which such act or action was done. Part-6 Provisions Relating to Private International Law 692.

Provisions of this Part to apply: (1) The provisions of this Part shall apply to any matter relating to a private legal relationship involving a foreigner, foreign goods, or an act done abroad. (2) Without prejudice to the generality of sub-section (1), the provisions of this sub-section shall apply specifically to the following matters:- (a) The legal status of a foreigner and his capacity, (b) Matters relating to marital relationship, paternal and maternal, and other family relationships, or matters relating to partition or inheritance, or acts related thereto, where at least one of the parties is a foreigner and the place where the act took place is outside Nepal, (c) Matters relating to the property of a foreigner located abroad, where at least one interested party is a foreigner, (d) Matters relating to contract or non-contractual rights or obligations where at least one party is a foreigner, (e) Matters relating to a contract concluded abroad. Explanation: For the purpose of this Part, "foreigner" means a foreign natural person or an organized institution, and the word also includes a foreign country. 693. Determination of legal capacity of a foreigner: (1) The legal capacity of a foreign natural person shall be determined according to the law of the country of his nationality. (2) If the nationality of the foreign natural person under sub-section (1) cannot be ascertained, his capacity shall be determined according to the law of the country where he habitually resides, and if such residence also cannot be ascertained, according to the law of the country where he currently resides. (3) When determining the legal capacity or legal status of an organized institution, it shall be determined according to the law of the country where such institution is registered; if the country of registration cannot be ascertained, according to the law of the country where its head office is located; and if such country also cannot be identified, according to the law of the country where such institution conducts its business. 694.

Presumption of disappearance or death of a foreign person: (1) When it is necessary to presume that a foreign person has disappeared or died, it shall be determined according to the law of the country of his nationality. (2) If the nationality of the foreign person under sub-section (1) cannot be ascertained, it shall be determined according to the law of the country where he habitually resides; and if such residence also cannot be ascertained, according to the law of the country where he resided immediately before the presumption of his disappearance or death. 695. Determination of heir according to foreign law: When determining the heir to the property of a foreigner residing in Nepal upon succession, it shall be determined according to the law of the country of such foreigner's nationality; if such nationality cannot be identified, according to the law of the country where he habitually resides; and if such residence also cannot be ascertained, according to the law of the country where he last resided. 696. Determination of succession of a deceased person: (1) If succession opens due to the death of a foreign person in Nepal and it is necessary to determine the heir to his property located in Nepal and the order of priority, it shall be determined according to the law of the

country of which such person was a national at the time of his death. (2) If the law under sub-section (1) cannot be ascertained, it shall be determined according to the law of the country where his habitual residence was at the time of his death; and if such country also cannot be ascertained, according to the law of Nepal. 697. Determination of nature of an organized institution: When determining whether a company, foundation, or other organized institution is public or private, it shall be determined according to the law of the country where such company, foundation, or organized institution is registered; if such law cannot be ascertained, 707. Substance of Ownership to be According to Law of Country Where Property is Situated: (1) The substance of ownership or right of enjoyment of any property shall be determined according to the law of the country where such property is situated. (2) The circumstances under which ownership over immovable property is established or extinguished shall be determined according to the law of the country where such property is situated. 708. Goods to be Regulated by Law of Destination: While any goods are in transit during transportation, such goods shall be regulated according to the law of the place of destination. 709.

Contract Law to be as Determined by Parties: (1) The law governing any contract shall be as determined by the parties to such contract in the contract. (2) Where the law is not determined pursuant to sub-section (1), such contract shall be governed by the law of the country where such contract is to be performed, and if such country also cannot be ascertained, by the law of the country where such contract is concluded. Provided that a contract concluded in Nepal shall be governed by Nepali law. 710. Instrument Made Abroad to be Recognized: The validity of any contract or instrument made outside Nepal shall be determined according to the law of the country where such contract or instrument was made, and if the formalities according to the law of such country have been complied with, such contract or instrument shall be deemed to be legally valid and shall be recognized in Nepal. 711. Gift or Bequest to be Regulated by Law of Donor's Nationality: (1) The validity of a gift or bequest shall be regulated according to the law of the nationality of the donor at the time of making the gift or bequest. (2) If the formalities have been completed according to the law of the country where the gift or bequest is made, the gift or bequest shall be deemed to have been duly made. 712. Determination of Liability for Delict: (1) When determining liability for an act deemed a delict according to law involving a foreigner, foreign goods, or an act done abroad, it shall be determined according to the law of the country where such act occurred. (2) If the act under sub-section (1) commences in one country and the consequence thereof arises in another country, liability shall be determined according to the law of the country where the consequence arises. (3) If liability cannot be determined pursuant to sub-section (2), it shall be determined according to the law of the country where the act deemed a delict occurred. 713. Liability for Quasi-Contract or Unjust Enrichment: When liability for quasi-contract or unjust enrichment is to be determined, it shall be determined according to the law of the country where such act occurred. 714. Other Matters to be According to Accepted Principles of Private International Law: (1) Amended by the Act Amending Some Nepal Acts Relating to the Civil Code, 2075.

Where a matter involving a foreigner, foreign goods, or an act done abroad, not mentioned in this Part, is to be determined, if there is a separate provision in Nepali law regarding such matter, it shall be determined according to Nepali law, and if there is no such provision, it shall be determined according to the accepted principles of private international law. (2) Notwithstanding anything written in sub-section (1), if all parties concerned with the subject matter agree that the matter pursuant to that sub-section should be determined according to Nepali law, such matter shall be determined according to Nepali law. 715. In Case of Dual Nationality, According to Law of Country of Habitual Residence: (1) In this Amended by the Act Amending Some Nepal Acts Relating to the Civil Code, 2075. Part, where it is stated that a matter shall be determined according to the law of the country of nationality, if a person has the nationality of two or more countries at the same time, it shall be according to the law of the country where such person holds nationality and has

been habitually residing. (2) If such matter cannot be determined according to the law of the country under sub-section (1), it shall be determined according to the law of the country with the most closest connection where the person holds nationality. Provided that in the case of a person who also holds Nepali nationality, has habitual residence in Nepal, or is a non-resident Nepali citizen, it shall be determined according to Nepali law. (3) If the matter under sub-section (1) is in respect of a refugee or a stateless person, it shall be determined according to the law of the country where such person has habitual residence, and if such law also cannot be determined, according to the law of the country where such person is currently residing. 716.

Permission May Be Given for Proceedings in a Foreign Court: (1) If, in a case pending in any court in Nepal involving a foreign party, both parties to the case file a joint petition in the court stating reasons that it is appropriate and practical for the case to be resolved by a court of the country where such party resides, and upon examining the petition so filed it appears reasonable, the court may grant permission for the proceedings of the case to be conducted by a foreign court as requested by the parties. (2) After the court has granted permission for proceedings to be conducted by a foreign court in respect of any case pursuant to sub-section (1), no further proceedings on the same subject matter shall be conducted by a court in Nepal.

717. Case Pending in Nepal Court May Be Stayed: If a case is pending between parties in a court in Nepal, and a case on the same subject matter is also pending between such parties in any court abroad, and it appears that the decision in the case pending in the other country may directly affect the case pending in the court of Nepal, and the parties file a petition to stay the case pending in Nepal, the court may stay such case until the case pending between them abroad is decided.

718. Nepal Court to Have Jurisdiction: The court in Nepal shall have jurisdiction to conduct proceedings and adjudicate disputes arising in relation to the following matters: - (a) Matters regulated according to this Code or other law between foreigners residing in Nepal, or between a foreigner and a Nepali citizen, (b) The subject matter of a case in which a foreigner residing in Nepal is the defendant, (c) Matters of succession of a foreigner residing in Nepal who had property in Nepal at the time of death, (d) Matters where a transaction, dealing, or business has occurred abroad between a Nepali citizen and a foreigner, and the payment thereof is to be made within Nepal, (e) Matters relating to property situated within Nepal, between foreigners or between a foreigner and a Nepali citizen, (f) Matters relating to a contract concluded within Nepal or to be performed in Nepal, between foreign persons or in which at least one party is a citizen or an organized institution of Nepal, (g) Matters relating to delict, quasi-contract, or unjust enrichment occurring outside Nepal, where both the plaintiff and defendant are Nepali citizens, or are foreigners with habitual residence in Nepal, (h) Matters under sub-section (2) of section 699 which are to be adjudicated by the courts of Nepal. 719.

Other Matters Related to the Case May Also Be Resolved by Nepal Court: In any case pending in a court in Nepal under its jurisdiction to resolve a principal dispute involving a foreigner, if it appears that other matters related thereto also need to be resolved, the court may assume jurisdiction over such matters as well and resolve them. 720.

To be According to Treaty if Exists: If there is a separate provision in any treaty to which Nepal is a party concerning any matter mentioned in this Amended by the Act Amending Some Nepal Acts Relating to the Civil Code, 2075. Part, nothing written in this Chapter shall affect such provision. 721.

Provisions of this Chapter Not to Apply: (1) Notwithstanding anything else written in this Amended by the Act Amending Some Nepal Acts Relating to the Civil Code, 2075. Part, if applying the legal provisions under this Part in Nepal would be contrary to public order, then in such a situation the provisions of this Amended by the Act Amending Some Nepal Acts Relating to the Civil Code, 2075. Part shall not apply. (2) If a situation under sub-section (1) arises, the matters of this Amended by the Act Amending Some Nepal Acts Relating to the Civil Code, 2075. Part shall be regulated by other relevant linking criteria, and if such criteria cannot be determined, by Nepali law.